OECD ECONOMIC SURVEYS

MEXICO

1997

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MEXICO

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BASIC STATISTICS OF MEXICO

THE LAND

Area (sq. km)	1 967 183
Agricultural area (sq. km) (1990)	394 600

Inhabitants in major cities (thousands, 1990):	
Mexico City	15 048
Guadalajara	3 044
Monterrey	2 651

THE PEOPLE

Population (thousands, 1995)	90 164
Inhabitants per sq. km	45.8
Annual population growth (1980-1995)	1.7

Employment (thousands, 1995)	33 881

PRODUCTION

Structure of production (per cent of total, 1995):	
Agriculture	5.6
Industry	27.4
of which: Manufacturing	20.3
Services	66.9

GDP (US$ billion, 1995)	246.4
GDP per capita (US$, using PPPs, 1995)	6 781.0
Gross fixed capital formation (per cent of GDP, 1995)	16.0

THE GOVERNMENT

General government consumption (per cent of GDP, 1995)	10.6
Federal government capital expenditure (per cent of GDP, 1995)	1.8
Federal government revenue (per cent of GDP, 1995)	15.8
Public sector debt (per cent of GDP, 1995)	30.2

Composition of Parliament (1995):	Senate	Chamber of Deputies
PRI	95	300
PAN	25	119
PRD	8	71
Other	0	10

FOREIGN TRADE

Exports of goods and services (per cent of GDP, 1995)	24.4
Main exports (per cent of total, 1995):	
Manufactures	83.7
Petroleum products	10.6
Agriculture	5.0

Imports of goods and services (per cent of GDP, 1995)	21.5
Main imports (per cent of total, 1995):	
Intermediate goods	80.6
Capital goods	12.0
Consumer goods	7.4

THE CURRENCY

Monetary unit: Peso

Currency units per US dollar, average of daily figures:	
Year 1995	6.43
September 1996	7.54

This Survey is based on the Secretariat's study prepared for the annual review of Mexico by the Economic and Development Review Committee on 7th October 1996.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 18th November 1996.

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The previous Survey of Mexico was issued in September 1995.

Assessment and recommendations

A painful but promising adjustment process is under way, with inflation falling...

Since the adoption of drastic stabilisation measures in the wake of the collapse of the peso at the end of 1994 the Mexican economy has been undergoing a painful but promising adjustment process. Output fell 6.2 per cent in 1995. Labour markets were hit hard by the recession. Despite large falls in real wages, employment in the formal sector fell significantly, though it has begun to recover; and informal-sector employment with low pay is likely to have increased. The sharp rise in interest rates aggravated the financial positions of the already heavily indebted households and companies. But economic growth has resumed, supported initially by booming exports and strong investment by outward-oriented enterprises. More recently there have been some signs that the recovery is becoming more broadly based. Consumer price inflation is on a descending course, with monthly rates close to 1.5 per cent in the three months to September 1996.

... financial imbalances being improved and financial volatility reduced

The contraction of domestic demand and improved competitiveness brought the current account close to balance in 1995; and it will probably post only a small deficit in 1996. With the support of the international financial package, Mexico met its short-term external obligations and accumulated some foreign reserves, although these are in major part borrowed reserves. The recovery of the real economy and progress in disinflation have helped restore

market confidence and provided an environment conducive to lower interest rates. The stock market index has been rising and by the start of 1996 outstripped its pre-crisis peak of February 1994. The peso has been more stable – fluctuating around 7.5 pesos per dollar during most of 1996 – notwithstanding short periods of turbulence. At the start of October 1996, short-term interest rates fell to their lowest level since December 1994 (25 per cent for the 3-month *Cetes*). The improving financial conditions, together with government initiatives, helped to prevent the outbreak of a banking crisis, and the past-due loan ratio has been stable since March 1996.

Policies played a crucial role in this process

Following the strategy defined in the March 1995 stabilisation package, monetary policy has prevented the start-up of a wage-price spiral. The Central Bank has been regularly providing markets with information that has permitted a better understanding of its assessment of economic and financial developments and their monetary implications. Furthermore, despite the weak economy, the Bank has not hesitated to tighten monetary conditions in episodes of financial market turbulence, which has enhanced credibility in its commitment to disinflation. The monetary programme for 1996, in the current context of reduced volatility of financial markets, lower inflation and moderate response of wages due to labour market slack, appears to be conducive to further disinflation in the short term while allowing interest rates to continue to fall. It again set an upper limit to the growth of net domestic credit consistent with the expected increase in the monetary base. Monetary policy operations will be conducted with a view to underpinning the continuing declining trend of inflation expectations.

The public sector too contributed to the adjustment process by increasing its saving in 1995. Thanks to past fiscal consolidation, public finances were near balance when the

peso crisis erupted. With cuts in expenditure and increased fiscal pressure, fiscal policy inevitably provided a contractionary impact on activity. However, the comfortable primary surplus achieved in 1995 has made it possible to give a fiscal stimulus to the recovery in 1996, without endangering budget balance. Furthermore, making provision for part of the estimated cost of support to banks and debtors already in 1995 was a prudent move, which served to reassure markets and enhance credibility in the government's actions. The increased access to financial markets and improved conditions of funding (on international capital markets in particular) are evidence of this strengthening of confidence.

The outlook to 1997 is for a gradual pick-up in growth, just enough to recover the ground lost, but significant risks remain

Assuming that the on-going descent of interest rates continues in line with further disinflation and some reduction in the risk premium, GDP is projected by the Secretariat to grow at around 4 per cent in 1996 and 5 per cent in 1997; only then would it be above its pre-crisis level. Positive demand effects of continued growth in the tradeables sector and lower interest rates are expected to spread through the economy. But the recovery of domestic demand is likely to be a gradual process. Despite on-going adjustments – helped *inter alia* by recent support programmes – some banks may still be hesitant to grant new credit for some time to come. The over-indebtedness of households and business, which is directly addressed by several programmes, and still high past-due loan ratios will continue to some extent to weigh on private demand. There are both downside and upside risks surrounding the projected pace of the upturn. Uncertainties related to the unravelling of financial problems represent the main downside risk. While interest rates are expected to decline, episodes of financial turbulence cannot be ruled out. Higher short-term interest rates that may ensue could, in turn, aggravate the situation of debtors and financial institutions – although banks are in

a stronger position in 1996 than they were in 1995. Such factors could constitute elements of a vicious circle and hence constrain growth more and for a longer period than envisaged. On the other hand, should the current improvement in confidence continue, the positive impact of export expansion and lower interest rates may permeate through the economy more quickly and the economy could well be stronger than envisaged in the Secretariat projections.

A medium-term policy framework can help to foster investor confidence

Fostering investor confidence is thus key to higher economic growth, and efforts towards establishing an explicit medium-term policy framework would be helpful in this regard. As the policy focus moves beyond immediate management of the post-crisis adjustment, it becomes increasingly important for the authorities to formulate an explicit medium-term approach to the conduct of policy. Typically, the public has to wait till the last months of the year to find out what policies for the coming year are: the social pact is generally signed in September or October; the Budget is presented in November; the monetary programme is announced at the turn of the year. Providing as much information as possible on key aspects of medium-term policy orientations would contribute to reducing the risk premium in interest rates.

Experience shows that when the conduct of monetary policy is not well understood and not deemed appropriate by financial market participants, there is a risk that it be frustrated by market turbulence. Reassuring markets by showing that there is continuity in policies appears all the more necessary in Mexico in the aftermath of the crisis. In this context, the Committee welcomes the increased availability of information provided by the Central Bank and the improvement in the operating system. Given the new economic environment in which monetary policy operates, evaluating the development of inflationary pressure may

require monitoring additional indicators. Even though the Bank of Mexico has a clear over-riding policy objective – price stability –, it would be useful to establish a more clearly defined medium-term policy framework. Setting out a path for inflation reduction over the coming years – perhaps restating with more precision the objectives announced in early 1995 – would be appropriate. In this context, it would be useful to provide more frequently information on the Bank's assessment of economic and financial developments, how these are related to future inflation pressures and how this in turn is translated into policy action. If adoption of a precise disinflation path still seems to be premature, an early announcement of the inflation target range for the following year – even an informal one – could help guide expectations and ensure that inflation is on the right path as the year ends and the current target expires.

In a similar vein, the fact that past achievements in fiscal consolidation have been remarkable does not preclude the usefulness of a medium-term fiscal framework. The official objective of maintaining a balanced budget in the medium-term, though welcome in itself, is too rough an indication. As immediate stabilisation objectives are now largely met, it would be time to define a well-articulated medium-term strategy, including fiscal projections beyond the current budget year. There are considerable longer-term spending needs, notably physical and social infrastructures, human capital development and alleviation of extreme poverty through basic nutrition and health services. As well, contingent liabilities – debt issued to resolve the banking crisis, cost of the reform of the national pension and health insurance system – will eventually add pressure on public finances. There is a clear need to explain to the public how spending requirements are to be met and how policy changes may affect future budget positions.

Further progress in structural reform has been achieved

Although macroeconomic adjustment has been at the forefront of the policy agenda since the currency crisis, a number of initiatives have been taken to further structural reform. Legislation was passed and regulations established to prepare the ground for the opening of new sectors to private investment and foreign competition. During 1995, liberalisation measures were implemented to allow foreign investment in railroad and related services. Bidding rules were announced in 1996 for concessions in railways. Rules for competition in long-distance telecommunications were also established in 1996. Private and foreign participation has been allowed in power plant construction and in the transportation, distribution and storage of natural gas. Regarding the privatisation of secondary petrochemicals, the government's strategy has been redefined. The Mexican authorities announced in October 1996 that PEMEX, the state-owned enterprise, will hold up to 51 per cent of the equity of petrochemical plants, the remaining share being sold to domestic and foreing investors. Foreign investment in new plants has been allowed up to 100 per cent. Some legal changes, however, are needed before the privatisation. Improving efficiency in the transport and telecommunication sectors and the provision of public utilities is important as it bears on the productivity and competitiveness of the business sector, helping small and medium-size enterprises in particular; it can also contribute to attracting foreign direct investment and may help the catching up in development of more backward regions.

The major achievement has been the reform of the social security system of the private sector (IMSS), which has introduced a capitalisation scheme for pensions and reduced contributions to health insurance. Rules governing the application of the law (passed in December 1995) were established at the beginning of 1996, defining in particular how individual pension accounts will be managed. The new pension system is to come into force in mid-1997. The

introduction of a mandatory capitalisation scheme for retirement (with contributions put into individual accounts) goes some way towards stimulating private saving. It is a significant initiative as neither the demographic structure – nearly half of the population being under 20 – nor the low level of income of a large portion of the population are conducive to high national saving in the short and medium-term. Mandatory saving might substitute discretionary savings in various forms. But, given the rather illiquid nature of pension accounts, they may not be a full substitute for more liquid savings of households; improved savings account management – with a choice of administrator (AFORES) and fund (SIEFORES) – can also induce voluntary saving; moreover, as some of the low income population will have to participate in the pension scheme, household saving will probably rise.

Some efforts have also been made to improve delivery of health care. Measures have been put in place over the last year to this purpose: there is a pilot programme to introduce choice of physician by the patient for people insured by the social security institute IMSS; for the eight to ten million inhabitants who had little or no access to medical attention, a basic health package has been introduced, providing key services in nutrition, vaccination, family planning, maternity and child care.

But problems of low incomes and lack of adequate jobs persist

The speed and extent of deregulation and market opening pursued since the mid-1980s has led to greater exposure of the Mexican economy to foreign trade and increased the degree of competition in certain sectors. The transformation has had important implications for jobs and incomes and it will continue to do so. Unlike most OECD countries in Europe, however, the Mexican labour market appears to have managed to adjust to economic shocks without generating much open unemployment (an average rate of 4 per cent and peaks just above 6 per cent in recession years).

Part of this is due to the fact that the price of labour has been rather flexible, thereby dampening the consequences on employment. Also, Mexico differs from most OECD countries: problems do not manifest themselves in open unemployment, but rather in the form of poverty or informal activities, characteristics of less industrialised countries. Since there is no unemployment insurance, most people have no other choice than to work. As employment creation in the formal sector of the economy has been insufficient to meet fast-growing labour supply, people have moved to informal activities or migrated abroad or back to subsistence occupations in rural areas.

Human capital should be improved...

Over the longer term, the greatest potential to enhance jobs and incomes and thereby alleviate poverty is by building up human capital, which requires developing greater opportunities for and more equal access to adequate education and training across regions and income categories. In Mexico improvement in basic education is closely linked to poverty alleviation as poverty is widespread and a significant share of the population lives in conditions of extreme poverty. The ability to learn is conditioned by good health, which in turn is largely determined by availability of essential nutrients and basic health care. This is why the introduction of the basic health package mentioned above is so important. And so are measures which provide incentives to the poorest to attend schools, such as scholarships for children. To the extent that these measures help to improve school achievement in rural areas (including for women), they can also reinforce the slowdown in population growth that started two decades ago but has so far taken place at very uneven speed across regions.

The multi-pronged approach adopted by the government – as laid-out in the National Development Plan for 1995-2000 and reflected in several recent initiatives – is

appropriate. Substantial achievements have been made in upgrading basic skills and competences and efforts are increasingly being focused on delivering education and training services that respond to the new competitive environment. At the same time, the government is moving forward in developing economic and social infrastructure and measures have been taken to foster R&D activities and intensify links of small and medium-size enterprises with the more modern productive sector. By enhancing human capital, on the one hand, and improving the economy's capacity to offer better jobs, on the other, this approach – which is more akin to economic development policies than to labour market measures *per se* – seems likely to be the most promising, if effectively implemented.

... and impediments to job creation in the formal sector reduced

Employment outcomes in part result from rationalisation of the industrial sector in a changing environment. But policies and institutional settings also may have contributed to this pattern of employment by creating biases against job creation in the formal sector. The way forward is to introduce a range of measures that would favour formal activity. With the shift from informality to formal activity, the tax base would increase; this in turn would allow a reduction in tax rates without weakening the position of public finances, and/or improved delivery of services to workers and firms in the formal sector, thereby strengthening incentives to switch to formal activity. The IMSS reform is a key first step to trigger such a virtuous circle. But the list of desirable measures is long: modernisation of legislation governing collective agreements; greater flexibility of work arrangements; moving towards some easing of job protection regulations while at the same time considering various options so as to develop an adequate safety net; and lowering payroll taxes and improving benefits, notably through the reform of the housing scheme (INFONAVIT). An agreement between social partners was signed in

August 1996 setting principles of a New Labour Culture. To the extent that it provides a more formal basis for the development of practices – by employers and workers alike – that can facilitate adjustment to new economic conditions and help raise productivity levels, this agreement is welcome.

Growth prospects over the medium-term are better but challenges remain

Looking beyond 1997, major challenges remain if Mexico is to achieve the objectives set out in the National Development Plan over the remaining years of the decade. Fast growth is required to recoup the income losses that occurred in 1995 and catch up on the delays in infrastructure investment and social development; but in order to ensure strong and sustainable growth in the medium term, much has to be done still to promote national saving. Impressive progress in structural reform that started in the later part of the 1980s has not yet revealed its benefits in terms of stronger output and employment growth, but now seems set to bear fruit given the considerable adjustment in the exchange rate and the progress made in stabilisation. It is incumbent on the authorities to pursue policies that ensure that this happens to the fullest extent possible.

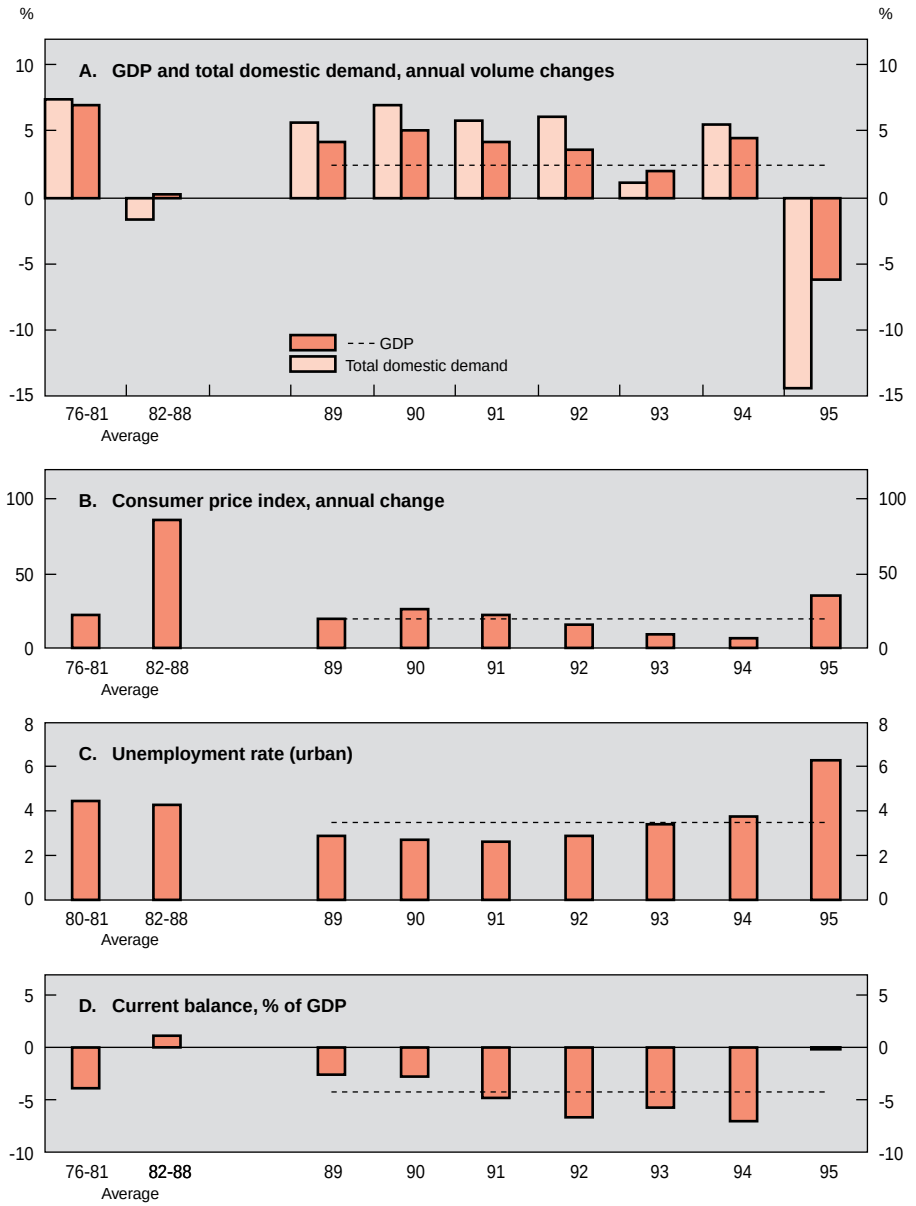
I. Recent trends and prospects

Features of economic adjustment

Following the peso crisis, the Mexican economy experienced in 1995 its worst recession in decades (Figure 1). GDP fell by 6.2 per cent, the boom in exports having been insufficient to offset the collapse of domestic demand; but growth has resumed and is expected to reach around 4 per cent in 1996. On the whole, the adjustment this time has been quite different from the one which followed the 1982 debt crisis. The latest recession was much sharper, but the recovery has been more rapid. Following the March 1995 stabilisation measures, the fall of total domestic demand was immediate – a 14 per cent decline for the last year – compared with 17 per cent over two years in the previous episode (Figure 2). Real export growth was roughly of the same magnitude in both episodes; but this time, the momentum came from trade in manufactured goods – more than 80 per cent of total exports – whereas at the start of the 1980s, oil exports predominated. On the import side as well there were significant differences: in 1982, import contraction played the major role in the adjustment, this time imports fell by much less, and it was rather the export boom that drove the adjustment. The response of imports reflects the increased import content of exporting activities. (It also means that the pulling force on domestic sectors that can be expected from booming exports is muted.)

To some extent the cyclical pattern observed in 1995-96 constitutes evidence of the enhanced capacity of the economy to respond after the deep structural adjustment of the past decade or so. Mexico is now a more open economy, with exports (and imports) representing a much larger share of GDP than 15 years ago. A second important factor at play is the balanced fiscal position in 1994, and the low public sector debt, thanks to impressive fiscal consolidation in earlier years – despite some relaxation in 1993 and 1994. Fiscal policy was tightened

Figure 1. **KEY ASPECTS OF ECONOMIC ACTIVITY**[1]

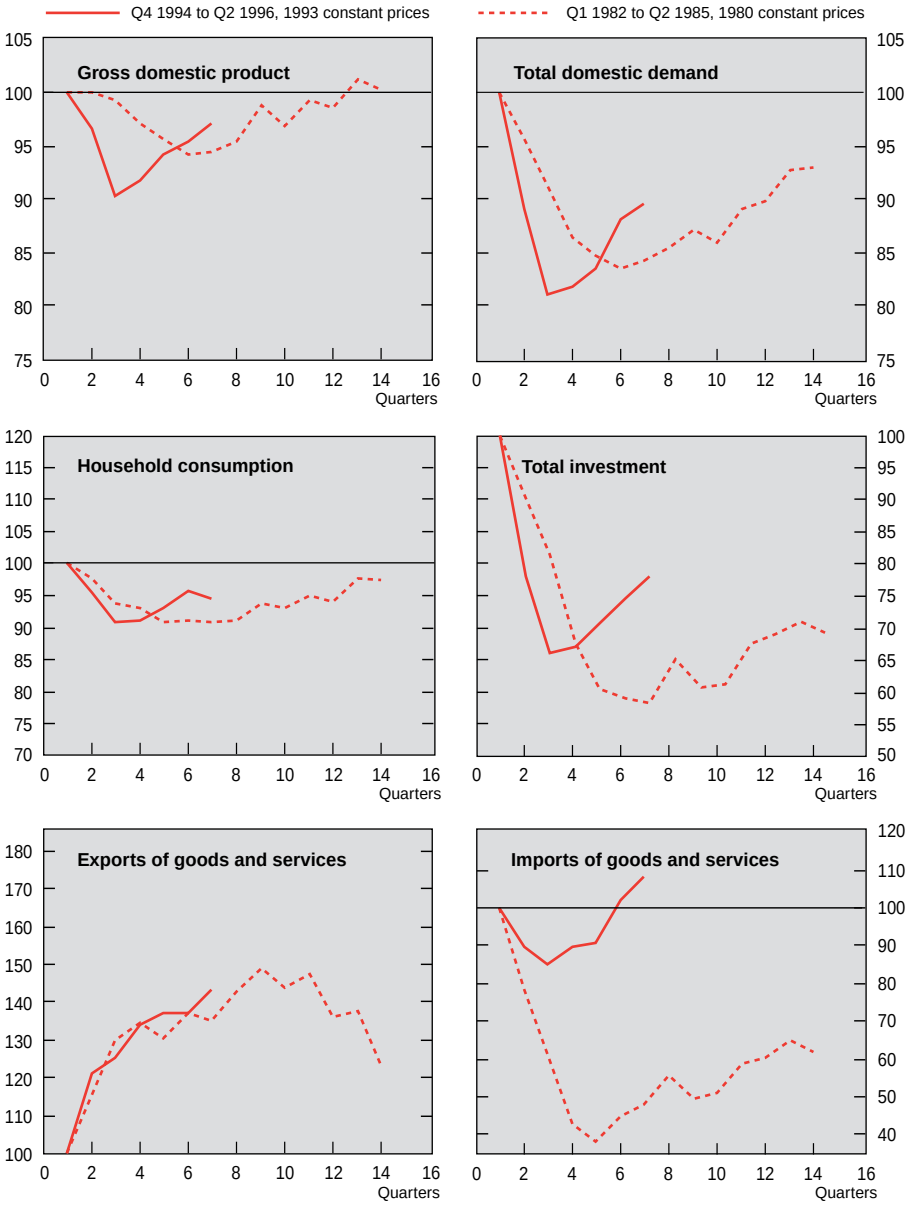


1. The broken line is the average for 1989-95; average annual changes are calculated from 1975 to 1981, 1981 to 1988 and 1988 to 1995 respectively.

Source: OECD and INEGI.

Figure 2. **COMPARISON OF TWO CYCLES**

Indices of seasonally-adjusted data, volumes



Source: OECD.

in 1995 to increase public savings, with an undeniable contractionary effect on activity in that year; but this has created some margin for cautious easing in 1996 without jeopardising the public sector financial position, which remains one of the best balanced among OECD countries. This stands in sharp contrast with the situation in the early 1980s when the public sector deficit amounted to over 15 per cent of GDP, requiring major fiscal consolidation; the tightening of policy between 1982 and 1983 to build up a primary surplus was equivalent to 12 per cent of GDP. On the other hand, this time, unlike the previous episode, the private sector is heavily indebted.

An export-led recovery[1]

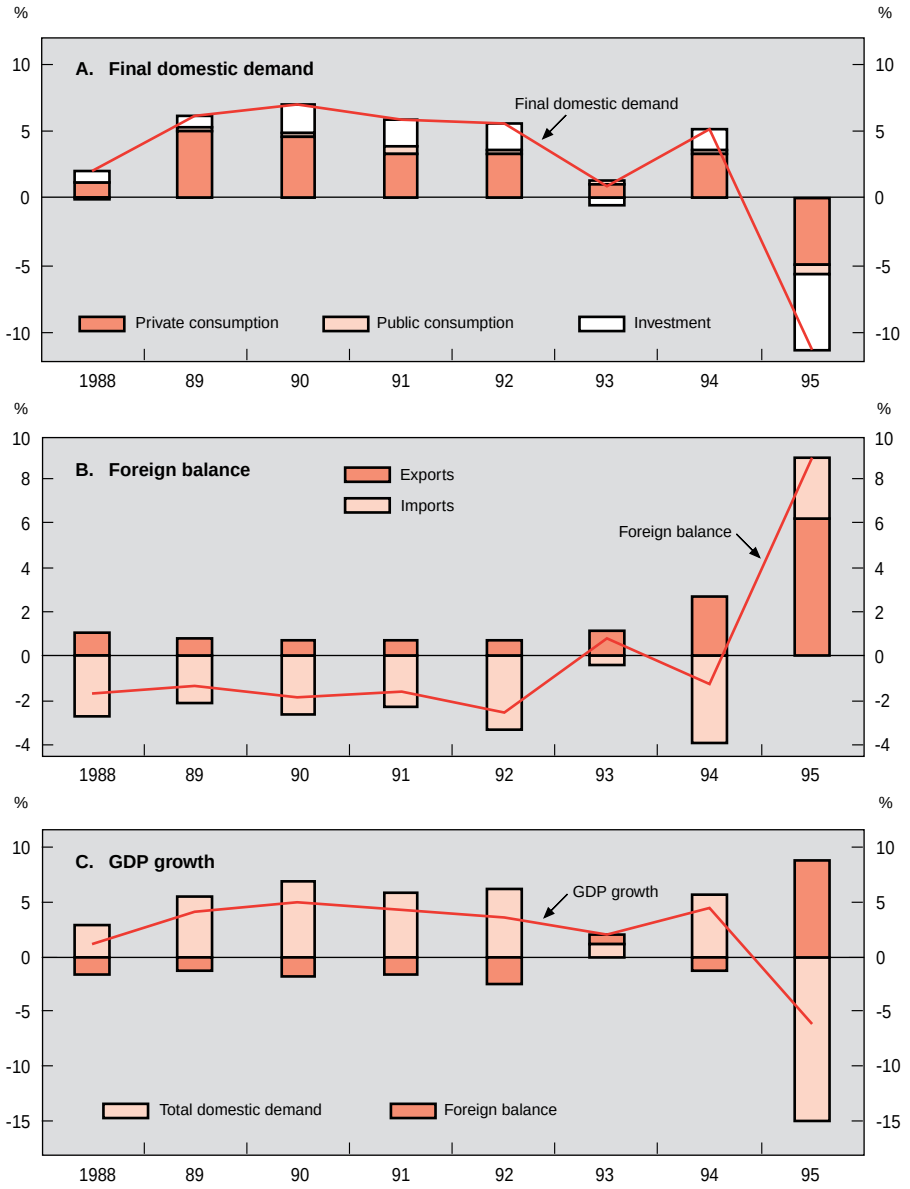
Exports of goods and services have been the driving force of economic activity since the collapse of the peso, rising by 36 per cent (in volume) in 1995, about twice the growth rate in 1994, the year NAFTA entered into force (Table 1).[2] Although slowing down in the first part of 1996, export growth has remained the main engine of activity. The fall in domestic demand, combined with the depreciation of the peso, has led many enterprises to re-orient their production towards external markets. Mexico's export performance was all the more remarkable given that export market growth slowed (in the United States and Canada in particular).[3] Although some diversion back to the domestic market is to be expected once domestic demand picks up, a structural shift in the orientation of production may have occurred, to the extent that firms have developed their export networks. The surge in exports, has been concentrated in a few industries (often very reliant on imported inputs);[4] there is some evidence, however, that the number of the exporting enterprises has increased significantly. At the same time, import volumes fell. The considerable improvement in the real foreign balance that resulted attenuated the contraction of real GDP in 1995 (Figure 3). The contribution of net exports to GDP growth is expected to be close to zero in 1996, or perhaps slightly negative.

The ''bust'' in domestic demand

Private investment was the weakest demand component in 1995; its fall (32 per cent in real terms) contributed to half of the decline in total domestic

Figure 3. **CONTRIBUTIONS TO REAL GDP GROWTH**

As a percentage of real GDP in the previous year



Source: OECD.

Table 1. **Demand and output**

Percentage changes, volume, 1993 prices

	1992 Current prices[1]	1989-92[2]	1993	1994	1995
Demand					
Private consumption	808.1	5.8	1.5	4.6	–6.9
Government consumption	111.8	3.2	2.4	2.9	–6.4
Gross fixed capital formation	220.5	10.2	–2.5	8.4	–29.1
Public sector	42.6	3.9	0.4	2.9	–17.0
Private sector	177.9	12.1	–3.2	9.8	–32.0
Final domestic demand	1 140.4	6.2	0.8	5.1	–11.0
Change in stockbuilding[3]	41.6	0.0	0.3	0.5	–3.8
Total domestic demand	1 182.0	6.1	1.1	5.5	–14.4
Exports of goods and services	171.5	5.3	8.1	17.4	36.4
Imports of goods and services	228.1	18.1	1.9	20.5	–12.1
Change in foreign balance[3]	–56.6	–1.8	0.8	–1.3	8.9
GDP at market prices	1 125.3	4.3	2.0	4.4	–6.2
Output					
Agriculture, forestry, fishing	68.8	1.7	3.1	0.9	–2.5
Mining (including petroleum)	18.0	1.4	1.8	2.5	–3.4
Manufacturing	208.4	5.6	–0.7	4.1	–4.6
Construction	46.4	5.6	3.0	8.4	–23.3
Electricity	16.4	2.6	2.6	4.8	2.1
Commerce	234.8	5.6	0.1	6.8	–14.1
Transport and communication	98.0	4.2	4.0	8.7	–4.5
Financial services	149.0	4.3	5.4	5.4	–0.4
Community services	212.9	3.1	3.3	1.3	–2.9

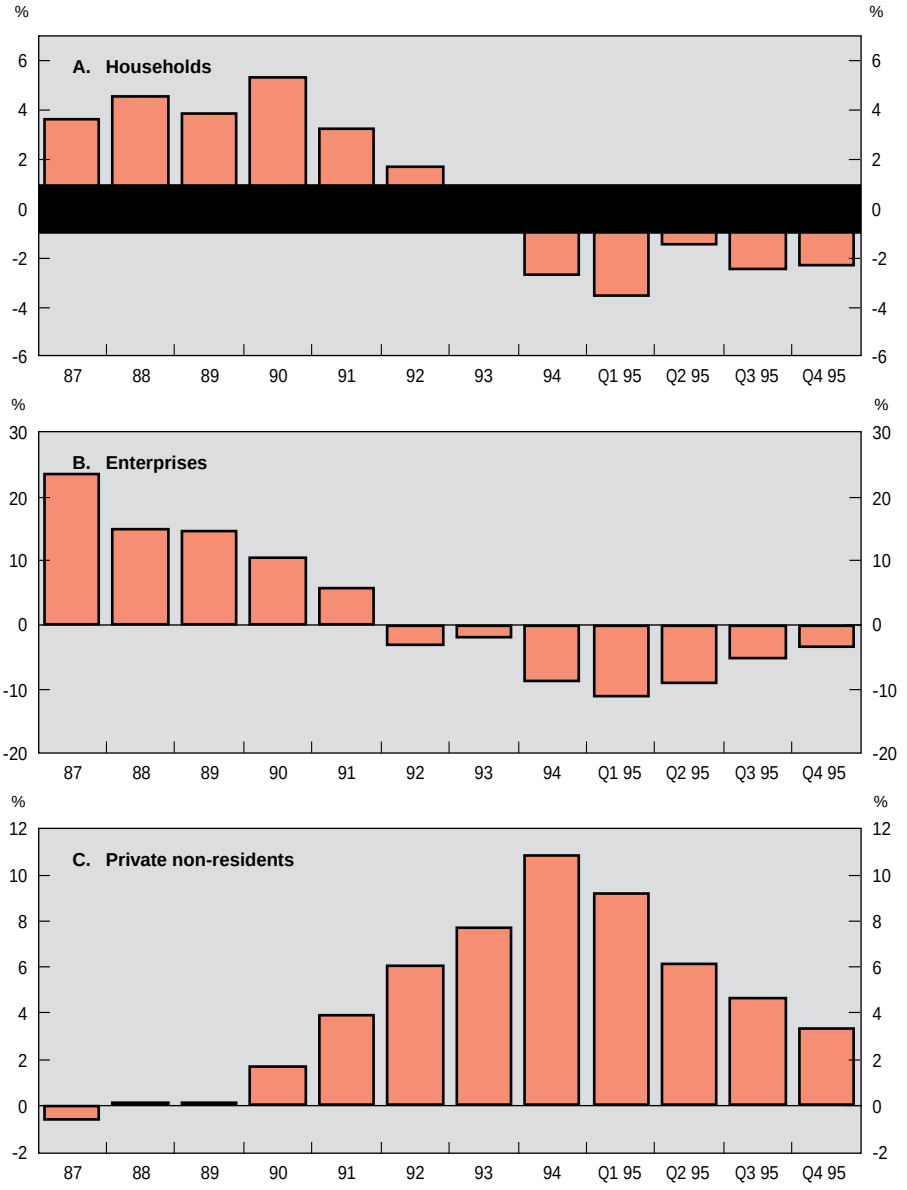
1. Billion pesos.
2. Annual growth rate.
3. As a percentage of GDP in the previous period.

Source: INEGI.

demand. Damaged business confidence and a strong rise in interest rates can explain the fall. High indebtedness of firms compounded the negative impact of higher interest rates (Figure 4). Both imports of capital goods and domestic production of machinery and equipment fell sharply (Table 2). Foreign direct investment inflows were also down from the 1994 record level, although they were still above the annual average in 1990-93. The recent decline in interest rates and improved business climate since the turn of the year are supporting the recovery in capital spending, although the expansion appears to be concentrated in export-oriented activities, where strong imports of capital goods were seen at

Figure 4. **NET POSITION *VIS-A-VIS* THE DOMESTIC FINANCIAL SYSTEM**

Percentage of GDP



Source: Banco de México, *Informe anual 1995.*

Table 2. **Indicators of investment activity**[1]

Volumes, percentage changes from same period of previous year

	1994	1995	1994		1995				1996	
	Average	Average	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
Gross capital formation	8.4	–29.1	9.0	10.4	–19.5	–35.3	–32.1	–29.1	–4.1	17.6
Construction added value	7.3	–23.3	7.0	3.9	–15.1	–30.3	–26.0	–21.4	–6.8	7.8
Domestic production of machinery and equipment	–1.8	–38.2	0.8	4.5	–30.2	–47.4	–41.8	–33.4	0.4	34.2
Imports of capital goods	21.2	–33.7	21.6	31.5	–20.0	–35.9	–37.1	–39.9	–1.3	29.4

1. 1993 constant price basis.
Source: Banco de México.

the start of 1996. Following significant cuts in 1995, an increase in public investment is budgeted for 1996. Although such spending occurs with some delay, this should contribute to the growth of total investment for the year as a whole.

Since access to foreign savings was cut (by about 7 per cent of GDP between 1994 and 1995), Mexican capital formation has had to be financed entirely with domestic savings. The rise of domestic saving – from 15.6 per cent in 1994 to 19.2 per cent of GDP in 1995, a level which nevertheless remains low given investment needs – occurred mainly in the private sector (Table 3). With the return of foreign capital inflows to the securities market in 1996, foreign savings are likely once again to contribute to investment financing.

Table 3. **Savings and investment**

Percentage of GDP

	1990	1991	1992	1993	1994	1995[1]
Gross capital formation	22.6	23.4	24.4	23.2	23.5	19.4
Gross domestic savings	19.6	18.4	17.1	16.8	15.6	19.2
Private	13.2	10.6	10.5	11.9	12.0	14.9
Public	6.5	7.8	6.6	5.0	3.7	4.3
Foreign savings	3.0	5.0	7.3	6.4	7.8	0.3

1. Preliminary.
Source: Banco de México.

Real private consumption also dropped sharply in 1995 (by 7 per cent, and more on a per capita basis), reflecting lower real incomes and negative wealth effects. Real wages and employment fell; the ensuing decline in household disposable income saw its impact compounded by the increase of the general VAT rate. In addition, after a rapid expansion of their borrowing (consumption and mortgage loans) when access to credit became easier in 1991-94, household debt reached very high levels, so that the rise in interest rates aggravated the effect of falling income.[5] The debt burden was also compounded by the sharp fall in house prices, which meant that many households had negative equity. Partly helped by the government's debt relief measures, private consumption rebounded after mid-1995, and purchases of durable goods, which were the most affected by the recession following the boom of previous years, recovered in 1996 (notably imported cars).[6] Nonetheless, prevailing uncertainties regarding employment and wage developments are likely to continue to weaken consumers' confidence, and household consumption will get back to its 1994 level only gradually.

GDP growth resumed in the third quarter of 1995 (seasonally adjusted quarter to quarter changes); but the rate of expansion weakened somewhat in the first quarter of 1996, and the ground lost in 1995 is unlikely to be recuperated in one year. Supply-side developments in 1995 mirrored those on the demand side. Output fell in all sectors, but activities oriented to the domestic market (notably construction, commerce, restaurant and hotel sectors) were the most affected and the slowest to recover. Some manufacturing branches cushioned the impact of the fall in domestic demand by producing previously imported goods for the domestic market and by supplying inputs to exporting industries.[7] Leading the recovery, manufacturing output picked up after mid-1995, and services recovered later in the year. Agricultural GDP declined 2.5 per cent in 1995, because of a severe drought in the northern region of the country, the restrictive impact of high interest rates, and reduced bank lending. Scarce water resources for irrigation also augurs badly for agricultural production in 1996.

Protracted labour market slack

The dismal performance of the economy in 1995 had severe repercussions on the labour market, increasing the size of the informal sector – already large before the peso crisis because for years job creation in the formal sector was too

slow to absorb a rapidly rising labour force (Chapter III). Despite the large adjustment in wages during the year (with a 22 per cent decline in real terms), employment in the formal sector fell significantly (4.2 per cent for insured employees of the private sector) (Table 4). In contrast to the early 1980s, there was no increase in public sector employment to offset job losses in the private sector, except for some targeted and temporary employment creation in rural areas (see below). Employment decreased most in sectors producing goods and services for the domestic market (*i.e.* construction, trade and services), while employment in in-bond industries (*maquiladoras*), grew even faster than in

Table 4. **Labour market indicators**

	1992	1993	1994	1995	1995 I	1995 II	1996 I
	Thousands	Annual percentage changes					
Insured employment (private sector)	11 295	0.2	1.1	–4.2	–2.0	–6.3	0.3
Permanent	9 993	0.4	1.4	–1.6	–0.4	–2.9	2.3
Manufacturing	3 066	–3.2	–0.8	–2.5	–1.0	–3.9	3.0
Construction	265	6.2	2.9	–18.4	11.9	–24.7	–7.5
Trade	1 686	1.0	1.4	–3.1	–0.9	–5.2	–1.8
Personal services	1 633	2.3	1.9	–1.9	0.1	–3.9	–0.3
Temporary	1 302	–1.2	–1.4	–24.4	–15.3	–33.4	–18.3
Employment in manufacturing[1]							
Non-maquiladoras	. .	–7.3	–3.0	–9.0	–8.2	–9.9	0.2
Maquiladoras	. .	7.2	7.6	10.4	10.8	10.0	15.4
		Percentages					
Urban areas[2]							
Participation rate[3]	53.8	55.2	54.7	55.0	54.4	55.6	55.0
Open unemployment rate	2.8	3.4	3.6	6.3	5.8	6.7	5.9
Unemployment rate (wider definition)[4]	4.8	5.5	6.2	8.6	8.4	8.8	7.1
Employment in small enterprises/total employment[5]	43.2	42.3	42.2	44.4	44.2	44.6	44.6
Uninsured wage earners/total wage earners	20.7	21.4	22.5	23.8	23.0	24.5	23.7
Part-time workers/total employment[6]	24.2	25.4	23.9	25.4	25.8	25.0	26.9

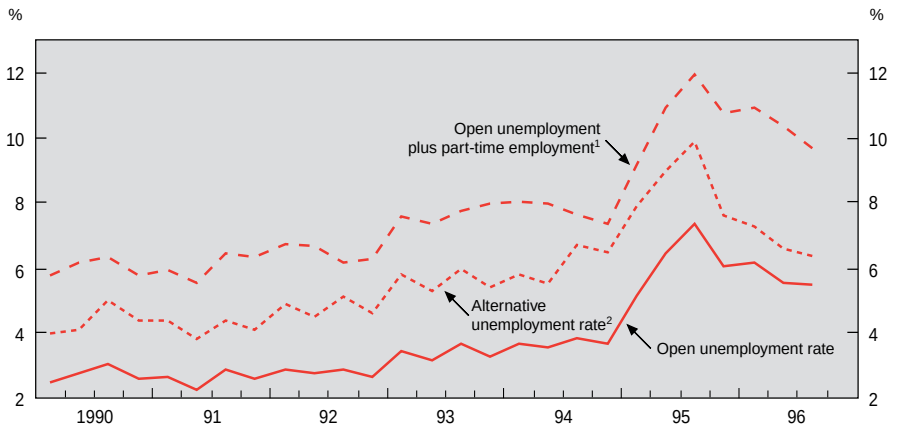
1. According to the National accounts at 1993 constant prices.
2. The *Encuesta Nacional de Empleo Urbano* only covers a limited number of areas (initially 16, raised to 32 in 1992 and 41 since 1996).
3. ''Economically active'' population as a percentage of population 12 year and over.
4. Open unemployment *plus* people who gave up seeking employment and are no longer included in the labour force but are available for work.
5. Small enterprises are defined as those with 1 to 5 employees.
6. Part-time workers are defined as those working less than 35 hours.

Source: INEGI, *Encuesta Nacional de Empleo* (ENE) 1991, 1993, 1995; *Encuesta Industrial Mensual, Estadistica de la Industria Maquiladora de Exportación; Encuesta Nacional de Empleo Urbano* (ENEU); IMSS.

recent years (10 per cent in 1995, and similarly high rates so far in 1996). Since December 1995, insured employment (seasonally adjusted) has been increasing, and the unemployment rate has been declining (the number of insured workers on temporary contracts, which fell dramatically in 1995, has not recovered yet).

According to the national employment survey conducted every two years, the labour force is still growing by almost 3 per cent a year (data for 1993-95), due to rapid expansion of working age population and rising female participation rates. While the decline in real earnings may have somewhat discouraged labour market participation, the need for the bulk of the population to support household income – because of low levels of personal savings and the lack of unemployment insurance – has forced workers dismissed from the formal sector (as well as new entrants) to join the informal sector, which played a role of buffer in the recession. Furthermore, as suggested by the simultaneous drop in 1995 of the labour force and employment in urban areas (16 main areas) scarcity of jobs in these areas has pushed part of the labour force out of towns (probably back to subsistence activities in rural regions) (Annex Figure A1). Nonetheless, the open unemployment rate in urban areas rose sharply, peaking near 7 per cent in

Figure 5. **UNEMPLOYMENT IN URBAN AREAS**
As a percentage of labour force 12 years and over



1. Part-time refers to employees working less than 15 hours a week.
2. Includes those who stopped searching for a job but are still available for work.

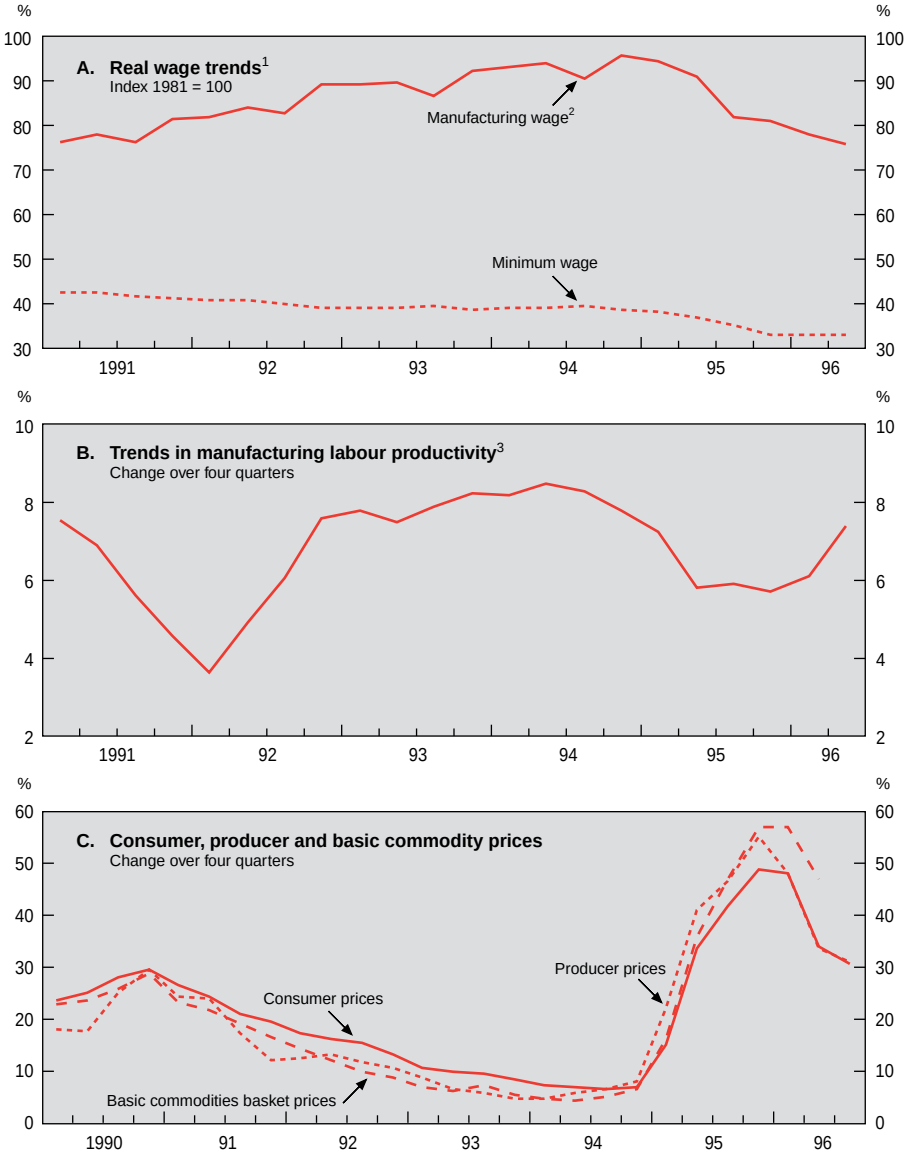
Source: INEGI.

August 1995, up from 4 per cent in December 1994 (seasonally adjusted); it has declined since, to 5.2 per cent in June 1996. Reflecting job scarcity, the duration of unemployment also increased, though it remains much shorter than in most European countries (the share of those unemployed for more than nine weeks went up from 36 per cent in December 1994 to 43 per cent in 1995). In Mexico, the open unemployment rate constitutes only a lower bound of labour market slack. The wider definition of urban unemployment, including discouraged job seekers (which adds about 2 percentage points to the open unemployment rate) followed the same path (Figure 5). The impact of the recession in 1995 also affected employment quality, as illustrated by the growing share of employment in micro-enterprises, on a part-time basis (less than 35 hours), with no social security, or those earning very low wages, thereby accentuating developments that characterised the 1980s. By mid-1996, improvements in these trends had yet to be seen.

Disinflation is under way

In the aftermath of the currency crisis, inflation on a 12-month basis shot up from 7 per cent in December 1994 to 52 per cent in December 1995 (for the consumer price index), 10 percentage points above the government's projection. In August 1996, it had fallen back to around 30 per cent. Monthly inflation peaked in April 1995, when the general VAT rate was raised from 10 to 15 per cent.[8] After declining to 2 per cent in the following months, it turned up again in the last months of the year, as public tariffs were raised and the peso depreciated anew. In 1996, after a hike in April 1996, when public tariffs were raised again, monthly inflation fell to around 1.5 per cent in the three months to September. The main factor behind the surge in inflation in 1995 was the dive of the peso exchange rate after December 1994 (from 3.5 pesos per US dollar to 7.7 in December 1995).[9] Tight monetary and fiscal policy, however, appear to have been effective in limiting inflation expectations, as reflected in moderate wage developments in 1995-96. The price index of the basic consumption basket rose at higher rates than the CPI, largely as a result of the upward adjustment of publicly-provided services and of goods with government-controlled prices (which have a larger weight in the basic basket index than in the CPI). On the other hand, service prices which essentially reflect wage cost developments increased at a much lower rate.

Figure 6. **REAL WAGES, LABOUR PRODUCTIVITY AND PRICE TRENDS**



1. Moving average over three quarters.
2. Wages, salaries and social benefits, based on INEGI monthly industrial survey.
3. Real output per man-hour, moving averages.

Source: INEGI and Banco de México.

Real wages have declined after the depreciation and there is no evidence of a price-wage spiral developing. Increased labour market slack had a moderating impact in the bargaining process and real wages dropped – by 22 per cent over the 12 months to December 1995 on the basis of average compensation of workers insured at IMSS. The minimum wage was raised cumulatively by 19 per cent in nominal terms in 1995, implying also a substantial real decline.[10] Since then, following the social pact negotiated for 1996, the minimum wage was further raised (10 per cent in December 1995 and 12 per cent in April 1996). As a result, contrary to trends in recent years, the real minimum wage has kept up with average real earnings since the currency crisis (Figure 6). In line with stronger activity, wages increased more in the *maquiladora* sector than in the rest of manufacturing. Recent indicators suggest that wage increases remained moderate in the first half of 1996, reflecting the labour market slack. Wage increases negotiated at the start of this year have been roughly in line with the cumulative 12-month rise in the minimum wage – and not far from the 20.5 per cent official projection for inflation at the end of 1996, which would suggest that wage negotiations tend to be forward looking and settlements are not providing for a catch up on past losses. Real compensation of insured workers declined by 15.6 per cent in the first half of 1996, from a year earlier.

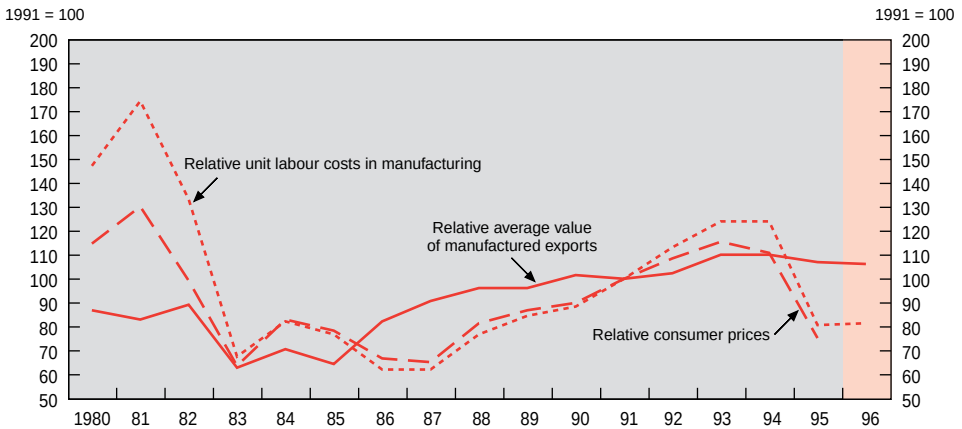
With employment in manufacturing (the non-*maquiladora* sector) falling by more than output, productivity increased by 1.6 per cent in 1995. Labour shedding in response to the downswing seems to have compounded the impact of continuing restructuring of industry. This, combined with the fall in the peso and wage restraint, has been translated into substantial gains in the international competitiveness of Mexican products (Figure 7).

A stronger external position

After the current account deficit reached close to 7 per cent of GDP in 1994, the reversal of foreign capital flows forced a drastic adjustment in 1995. In the event, the deficit was brought to virtually zero (US$0.7 billion, 0.2 per cent of GDP). This improvement reflects essentially the considerable turnaround in the trade balance – from a US$18.5 billion deficit in 1994 to a 7.1 billion surplus in 1995 – and a small improvement in non-factor services (Table 5). In the first half of 1996, the trade balance posted a surplus of US$8.3 billion (annualised), as

Figure 7. **MEXICO'S RELATIVE COMPETITIVE POSITION**

Indices in US$ terms



Note: 1996 data are estimated; a fall indicates improvement in competitive position.
Source: OECD (1996), *Economic Outlook,* No. 60.

Table 5. **Balance of payments, current account**

US$ billion, annualised

	1992	1993	1994	1995	1995 I	1995 II	1996 I
Exports (fob)	46.2	51.9	60.9	79.5	76.8	82.2	90.9
Imports (fob)	62.1	65.4	79.3	72.5	70.4	74.5	82.7
Trade balance	**–15.9**	**–13.5**	**–18.5**	**7.1**	**6.4**	**7.8**	**8.3**
(as per cent of GDP)	(-4.4)	(-3.3)	(-4.4)	(2.5)	(2.3)	(2.7)	(2.7)
of which: Maquiladoras	4.7	5.4	5.8	4.9	4.7	5.2	5.8
Non-factor services, net	–2.3	–2.1	–2.0	1.2	1.7	0.7	1.8
of which: Tourism	0.0	0.6	1.0	3.0	3.4	2.6	4.2
Investment income, net	–9.6	–11.4	–13.0	–12.9	–13.5	–12.4	–13.4
Transfers, net	3.4	3.6	3.8	4.0	3.9	4.0	4.4
Current account balance	**–24.4**	**–23.4**	**–29.7**	**–0.7**	**–1.5**	**0.1**	**1.0**
(as per cent of GDP)	(-6.7)	(-5.8)	(-7.1)	(-0.2)	(-0.6)	(0.0)	(0.3)

Source: Banco de México.

continued growth of exports outpaced the recovery in imports. In July and August, the trade balance continued to be in surplus. The current account registered a surplus of US$1 billion (annualised) in the first half of 1996, or 0.3 per cent of GDP.

Exports grew by 31 per cent in dollar terms in 1995, the highest rate since 1980, with the strongest contribution made by manufacturing exports (from the auto industry in particular). Thanks to the expansion, the share of manufacturing production sold abroad almost doubled, to 22 per cent in 1995, from 12 per cent in the early 1990s. Export growth by non-*maquiladoras* surpassed that of *maquiladoras*, so that in 1995, for the first time in a decade, their share in total merchandise exports was above 50 per cent. These trends continued, though at a lower pace, in the eight months to August 1996, with total exports growing around 19 per cent from a year earlier (those from the auto sector were up by 40 per cent). Although *maquiladora* exports continued to grow swiftly, exports by the rest of the manufacturing sector remained the most dynamic component of merchandise exports. Oil exports, which amounted to US$8.4 billion in 1995, are expected to be slightly higher in 1996, due to higher oil prices (Figure 8). Agricultural exports, which contributed 2 percentage points to total export growth in 1995, contracted in the first half of 1996, because of the drought which has also required increased imports of agricultural goods.

With the contraction of aggregate demand and the increase in relative price of foreign goods after the depreciation of the exchange rate, imports fell by 9 per cent in dollar terms in 1995. The sharpest decline was observed in consumption goods (where imports dropped 44 per cent in dollars) followed by capital goods (–34 per cent). Due to the incipient recovery in consumption and investment, this trend reversed and in the first semester of 1996, these categories of imports have expanded. Imports of intermediate goods – which continued to grow last year in response to the expansion of the import-intensive export sector – also strengthened this year. Overall, imports grew by 20 per cent in January-August of 1996 compared with a year earlier, of which 3 percentage points were due to agricultural imports.

The swing in the trade balance after January 1995 is essentially attributable to changes in volumes. The deterioration in the terms of trade after the depreciation was dampened by the fact that exports are largely priced in dollars (oil, but also manufactured goods for which Mexico is a price taker, in particular goods

Figure 8. **FOREIGN TRADE, CURRENT ACCOUNT AND EXPORT PERFORMANCE**

1. Ratio of Mexico's exports of manufactures to its main partners imports of manufactures in volume terms.
2. Relative export unit value of manufactured goods. A rise indicates a deterioration.

Source: OECD and Banco de México.

produced by foreign firms for export markets, such as cars); export prices on the aggregate increased about 80 per cent in peso terms in 1995, thus absorbing most of the depreciation effect. Nonetheless, export volumes soared (by 28 per cent according to national account data at 1980 constant prices but 36 per cent at 1993 constant prices, which better represent the current structure of production).[11]

The swing in the balance of non-factor services, from a US$2 billion deficit to a US$1.2 billion surplus, mainly reflected the reduction in tourism expenditures by Mexican residents, which more than offset the losses in receipts from foreign tourists in Mexico (despite an increase in the number of tourists coming to Mexico, average expenditure in dollars decreased). The deficit on factor services remained broadly stable, as lower repatriation of profits by foreign companies operating in Mexico and increased revenues from interest payments – because of higher international interest rates – offset higher interest payments by Mexican residents. In the first half of 1996, net interest payments increased.

The capital account posted a US$12 billion deficit in 1995, excluding the resources disbursed from the international financial package. However, despite the prevailing uncertainties, foreign investment flows started to recover in the last quarter of 1995, and on the same basis (*i.e.* considering market-determined flows only), the capital account was in surplus in the first half of 1996. This results from renewed foreign investment on the stock and bond markets, particularly in securities issued by the private sector in foreign currency. Foreign direct investment, for its part, was substantial in 1995 (about US$7 billion, more than in any other year except 1994) and in the first half of 1996, mirroring Mexico's integration in the world economy. If borrowing from the international financial package is included, the capital account posted a US$14.1 billion surplus in 1995 (Table 6). Funds drawn from the support package were used in the repayment of dollar-linked government securities to foreign holders and to rebuild reserves from US$6 billion at the end of 1994 to US$15.4 billion at mid-1996 – of which US$1.6 billion were non-borrowed reserves.

Mexico's obligations *vis-à-vis* its external creditors have soared since December 1994, the external debt increasing by US$28 billion, to US$170 billion at end-1995. Combined with the fall of the Mexican GDP in dollar term resulting from the depreciation, this led to a rise in the external debt/GDP ratio from 38 per cent at end-1994 to 69 per cent at end-1995.[12] Although the increase in external debt reflected substitution of external for domestic debt instruments, the operation was carried out in costly conditions. In the first half of 1996, the government has

Table 6. **Balance of payments, capital account**

US$ billion, annualised

	1991	1992	1993	1994	1995	1995 I	1995 II	1996 I
Capital account	24.5	26.4	32.5	14.6	14.1	9.1	19.1	3.4
Liabilities	25.5	20.9	36.1	20.3	20.1	11.9	28.2	5.1
Loans and deposits	8.0	–1.6	2.8	1.1	23.2	26.4	20.1	–10.5
Public sector	0.1	–3.5	–2.2	–0.4	11.5	12.8	10.1	–5.3
Development banks	1.7	1.2	0.2	1.3	1.0	–1.1	3.0	–3.7
Non-financial public sector	–1.6	–4.7	–2.4	–1.7	10.5	13.9	7.1	–1.6
Bank of Mexico	–0.2	–0.5	–1.2	–1.2	13.3	18.7	8.0	–4.0
Commercial banks	5.8	0.3	3.3	1.5	–5.0	–8.3	–1.7	–2.1
Non-financial private sector	2.4	2.1	2.8	1.2	3.4	3.2	3.7	0.8
Total foreign investments	17.5	22.4	33.3	19.2	–3.2	–14.5	8.2	15.6
Direct investment	4.8	4.4	4.4	11.0	7.0	7.9	6.1	6.3
Portfolio investment	12.8	18.0	28.9	8.2	–10.1	–22.4	2.1	9.3
of which: stock market	6.3	4.8	10.7	4.1	0.5	0.5	0.6	4.5
Assets	–1.0	5.6	–3.6	–5.7	–6.0	–2.8	–9.1	–1.6
In foreign banks	0.9	2.2	–1.3	–3.7	–3.1	–0.5	–5.7	–1.9
Credits to non-residents	0.0	0.1	–0.3	0.0	–0.3	0.1	–0.7	–0.6
External debt guarantees	–0.6	1.2	–0.6	–0.6	–0.7	–0.7	–0.7	0.8
Other	–1.3	2.1	–1.5	–1.3	–1.9	–1.8	–2.1	0.1
Errors and omissions	–2.2	–1.0	–3.1	–3.3	–3.8	0.2	–7.9	–5.2
Changes in reserves (increase = –)	–7.4	–1.0	6.0	18.4	–9.6	–7.9	–11.3	0.7

Source: Banco de México.

started to refinance the public debt at longer maturities and lower cost (Chapter II), but repayments will still weigh strongly on the capital account this year.

Short-term outlook

The recovery that started around mid-1995 had been narrowly-based, at least up until the first quarter of 1996. Domestic demand, restrained by private agent's uncertainties on future income and the high level of indebtedness, at first remained hesitant. National accounts for the first half of 1996, however, point to a strengthening of the recovery, leading the Secretariat to revise upwards the estimate for the year published in *Economic Outlook, No. 59* (June 1996). Real GDP growth is now projected to reach 4 per cent in 1996, picking-up to some 5 per cent in 1997 as the expansion becomes more broadly based.

The projections presented here were elaborated on the basis of Mexico's national accounts at constant 1993 prices. They rely upon the following main assumptions:

- in accordance, with the usual technical hypothesis underlying the OECD Secretariat's projections, the exchange rate is unchanged (at 7.9 pesos to a dollar, the rate prevailing on 4 November 1996);
- the average dollar price of internationally traded oil is assumed to fall progressively from its high current level, to US$18 per barrel by June 1997 and remain at that level in the second half of 1997;
- Mexico's export market growth for manufactures is estimated to grow by 6½-7 per cent in 1996 and 1997 (down from 11 per cent in 1995), as economic growth slows in North America in particular;
- a mild stimulus to activity is expected to come from a reduction of the public sector primary surplus again in 1997 (in line with the budget proposals that were sent to Congress in early November 1996);
- short-term interest rates will come down gradually along with the reduction in inflation and a reduction of the risk premium, reflecting improved investor confidence, albeit with possible transitory volatility.

In the near term, the high level of household indebtedness continues to curtail demand for consumption goods and housing. Population growth and falling house prices may lead to some revival of residential investment as of next year. Before then, some impetus to construction will be given by increased public investment in infrastructure. An improved business climate and the easing of monetary conditions – recent and prospective – should underpin investment growth in an increasing range of activities, beyond the outward-oriented ones. As the economy grows more firmly, consumers are expected to overcome their current cautiousness and the growth of consumption should pick up. The household saving ratio is assumed to remain broadly unchanged. Two opposing forces are likely to be playing a role in the longer run: substantial pent-up demand for durables will boost consumer purchases, while the introduction of individual saving accounts following the IMSS pension reform may provide some incentive to save more. Overall, total domestic demand is expected to grow by a cumulative 9 per cent in 1996 and 1997, making up only part of the 1995 loss (Table 7).

The improvement in international competitiveness and the expansion of the export base achieved in 1995 suggest that Mexican exporters are likely to gain market shares again in 1996, although to a smaller extent than in the previous

Table 7. **Short-term projections**

Percentage changes

	1993	1994	1995	1996	1997
Demand and output[1]					
Private consumption	1.5	4.6	–6.9	2.7	3.8
Public consumption	2.4	2.9	–6.4	0.5	1.0
Gross fixed capital formation	–2.5	8.4	–29.1	8.8	11.2
Final domestic demand	0.8	5.1	–11.0	3.4	4.7
Change in stockbuilding[2]	0.3	0.5	–3.8	1.0	0.8
Total domestic demand	1.1	5.5	–14.4	4.4	5.5
Exports of goods and services	8.1	17.4	36.4	14.0	12.5
Imports of goods and services	1.9	20.5	–12.1	18.0	16.0
Change in foreign balance[2]	0.8	–1.3	8.9	–0.2	–0.3
GDP at market prices	2.0	4.4	–6.2	4.0	5.0
Inflation (average)					
GDP deflator	9.5	8.3	34.5	28.5	15.0
Private consumption deflator	10.1	7.6	37.8	35.0	17.0
Current balance					
Per cent of GDP	–5.8	–7.1	–0.2	0	–1.2
US$ billion	–23.4	–29.7	–0.7	–0.1	–4.0

1. At 1993 constant prices.
2. As a percentage of GDP of previous period.

Source: OECD projections.

year. The trade surplus is expected to narrow gradually as import growth picks up with domestic demand. The severe drought in the autumn-winter 1995-96, as well as higher international grain prices, could have a negative impact of perhaps US$1 billion on the trade balance in 1996. Nonetheless, this is expected to be offset by increased export revenue both in the oil and non-oil sectors. Accordingly, the 1996 trade surplus is likely to remain at about the same level as in 1995 (US$7 billion). The current account is expected to be close to balance in 1996 and return to a moderate deficit of perhaps US$4 billion (slightly above 1 per cent of GDP) in 1997.

Labour market conditions are expected to improve gradually over time. As total employment growth strengthens, labour force participation may increase; as a result, the decline in the open unemployment rate that is already under way is unlikely to be very rapid, and the rate at the end of 1997 (around above 5 per cent) would still be higher than its pre-crisis level. The main improvement is

expected to be in a change of the nature of employment, rather than a strong rate of expansion of total employment. As more jobs are created in the modern sector of the economy, labour is expected to shift from informal activities to insured and better remunerated occupations. With continuing slack in labour and product markets for some time, the average annual rate of inflation is expected to come down progressively, from 35 per cent in 1996 (for the private consumption deflator) to 17 per cent in 1997.[13]

Although prospects appear reasonably favourable, they hinge on the assumption that investor confidence is maintained, allowing a further reduction of the risk premium embodied in interest rates. Financial market stability and the level of interest rates are key determinants of banks' capacity to emerge from their current difficulties (Chapter II). At present, the system's weaknesses would constitute a constraint if credit demand picked-up rapidly.

II. Economic Policies

In response to the collapse of confidence in the peso and the suspension of net international inflows, the Mexican authorities adopted stabilisation measures at the beginning of 1995 aimed at restoring orderly conditions for economic recovery. The immediate objective of the programme was to reduce the current account deficit and to prevent a price-wage spiral resulting from currency depreciation. Macroeconomic policies were complemented by a programme of structural reforms, while special schemes were put in place to address difficulties of the banking system. Support from multilateral financial institutions and the authorities from the United States and Canada helped Mexico meet its short-term obligations. A social pact was signed in October 1995, providing broad lines of economic policies for 1996. The budget and monetary programme for 1996 follow the economic strategy adopted in 1995. This part reviews macroeconomic policy developments over the past year and a half and discusses requirements over the medium term.[14] The banking sector support mechanisms are then examined. Structural initiatives launched since the middle of 1995, when the previous *Economic Survey* was finalised, are reviewed at the end of Chapter III – ''Implementing the Jobs Strategy''.

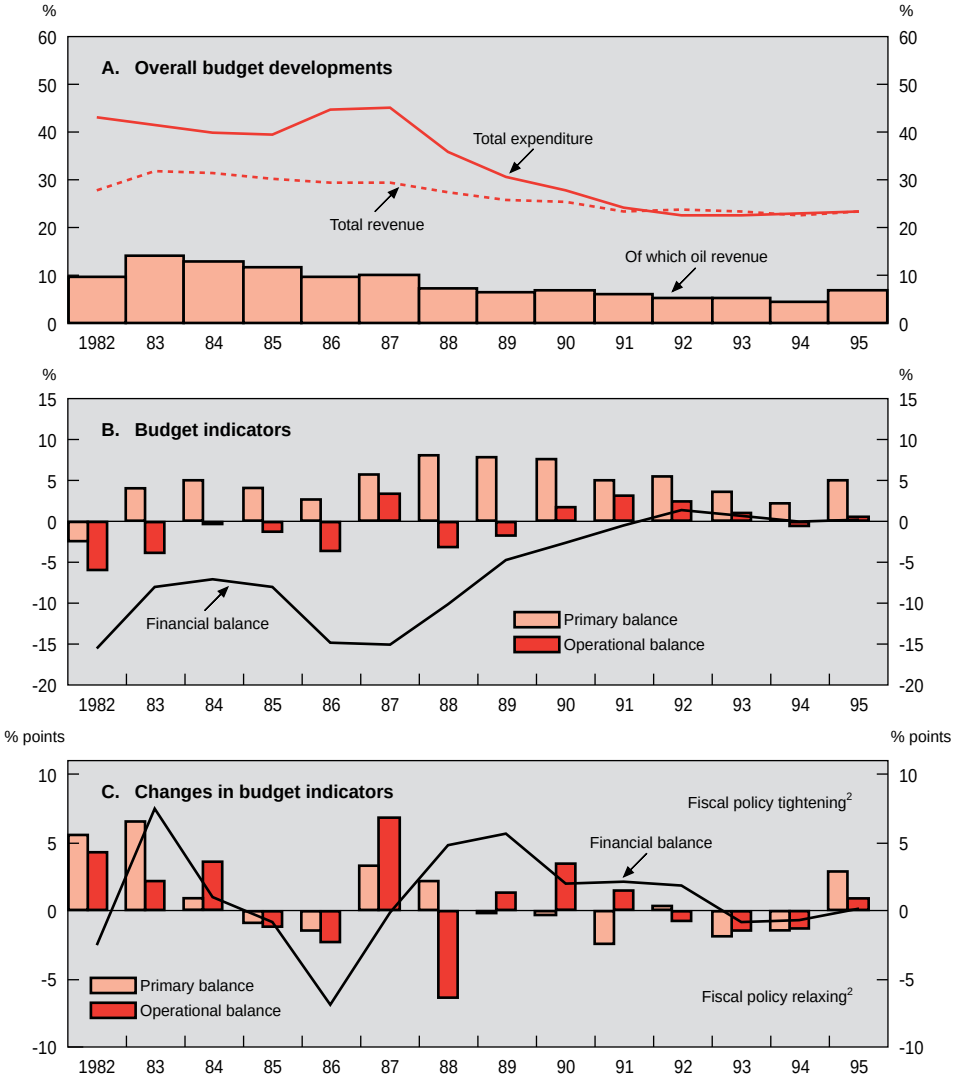
Fiscal policy

Budgetary developments in 1995

The public sector financial accounts (including public entities under budget control) turned out to be in balance in 1995, as in 1994, instead of the small surplus (½ per cent of GDP) projected in the March stabilisation programme. The 1995 outturn was achieved while making provision for some of the interest costs of the support programme for small debtors (ADE).[15] Excluding transfers

Figure 9. **BUDGET INDICATORS**[1]

Per cent of GDP



1. The public sector comprises federal government and public enterprises under budgetary control (such as PEMEX). Privatisation receipts and financial intermediation by development banks are not included; the financial balance is the "economic" balance according to the Mexican terminology; the primary balance is the financial balance less net interest payments while the operational balance is adjusted for inflation.
2. Tightening is measured as a widening surplus or narrowing deficit while relaxing is a falling surplus or widening deficit.

Source: Ministry of Finance and Banco de México.

made to cover these costs, the overall surplus reached 1 per cent of GDP. Interest payments – including provisions for the ADE cost – stood at 4 per cent of GDP, twice the figure a year earlier. The increased cost of public debt servicing in 1995 reflected high prevailing inflation and the incidence of the peso depreciation on the foreign currency debt component. However, high rates of inflation, while inflating nominal interest payments, eroded the real value of the government debt – for the peso-denominated and non-indexed part – so that a part of interest payments corresponded to accelerated amortisation of the principal. The ''operational balance'', which eliminates the inflation component from nominal interest payments, was in surplus in 1995, following a deficit the year before. The primary surplus (financial balance less interest payments) widened from 2.2 per cent of GDP in 1994 to 4.7 per cent – an outturn slightly larger than projected (Figure 9). With an increase in the primary surplus of 2.5 percentage points of GDP, fiscal policy can be considered to have been restrictive. Since the increase was achieved while the economy turned into deep recession, it implies a substantial degree of fiscal tightening.[16] The move – which turned out to be pro-cyclical in 1995 – was necessary to help narrow the gap between domestic saving and investment, thereby contributing to balancing the current account.

Public sector revenue was projected to be roughly unchanged in relation to GDP, but on the aggregate, it increased (Table 8). Yet non-oil revenue, particularly taxes, were lower than budgeted because of the unexpected harshness of the recession. Tax reforms were implemented in 1995 with a view to permanently strengthening tax revenue (while enhancing incentives to save and invest) and to simplifying the legislation so as to improve tax compliance and reduce the cost of tax administration. The general VAT rate was raised from 10 to 15 per cent in April 1995, which made it possible to maintain VAT revenue at its 1994 level in relation to GDP, despite the fall in final consumption; but income tax and excise tax revenue fell. The shortfall was more than compensated by larger-than-projected oil revenues following the hike in export prices of crude oil.[17]

Public sector expenditure fell by 4.2 per cent in real terms. With interest payments larger than expected, discretionary spending was cut by 14.4 per cent in real terms, compared with the 9.8 per cent cut envisaged in the stabilisation plan. Wages and salaries (one-fifth of non-interest expenditure) declined by 13 per cent in real terms, as hirings were frozen and wage adjustments fell short of inflation. Public investment was cut more severely than current expenditure, as new

Table 8. **Public sector accounts: budget and outturn**

Percentage of GDP

	Outturn 1994	Projected[1] 1995	Outturn 1995	Budget 1996
Public sector				
Revenue	22.7	22.6	23.3	22.3
Expenditure	23.0	22.1	23.5	22.3
Financial balance[2]	**–0.1**	**0.4**	**0.0**	**0.0**
Primary balance[3]	**2.2**	**3.9**	**4.7**	**3.7**
Public saving	**3.3**	**..**	**4.1**	**3.1**
Federal governement revenue	**15.2**	**15.2**	**15.6**	**15.0**
Contribution of PEMEX	2.2	3.2	4.0	3.4
Other non-tax revenue	1.7	1.2	2.1	1.9
Tax revenue	11.3	10.8	9.5	9.8
Income tax	5.1	4.1	4.1	3.8
VAT	2.7	3.8	2.9	3.3
Excise taxes	2.0	1.5	1.4	1.7
Import duties	0.9	0.9	0.6	0.6
Other taxes	0.6	0.6	0.5	0.4
Federal government expenditure	**15.9**	**..**	**16.5**	**15.6**
Programmable	10.4	..	9.7	9.2
Current expenditure	8.3	..	8.0	..
Wages, salaries, goods and services	3.2	..	2.9	..
Current transfers	5.1	..	5.1	..
Capital expenditure	2.4	..	1.9	..
Investment	1.2	..	1.0	..
Capital transfers	1.2	..	0.9	..
Delayed payments	–0.4	–0.6	–0.2	–0.5
Non-programmable	5.5	..	6.7	6.4
Revenue sharing	2.9	..	2.7	3.0
Interest payments	2.0	..	3.9	2.9
Others[4]	0.5	..	0.2	0.4
Public enterprises under budgetary control				
Budgetary revenue	**8.8**	**..**	**9.1**	**8.3**
PEMEX	2.2	2.6	2.7	2.9
Public enterprises (excluding PEMEX)	5.3	4.7	5.0	4.4
Transfers	1.3	..	1.4	1.0
Budgetary expenditure	**8.4**	**..**	**8.5**	**7.8**
Current expenditure	6.2	..	6.0	5.4
Capital expenditure	1.8	..	1.7	1.7
Interest payments	0.4	..	0.8	0.7

1. Reinforced plan (March 1995). Percentages calculated relative to GDP on the 1993 price basis to facilitate comparison.
2. ''Economic balance'' in the Mexican terminology.
3. Financial balance *less* net interest payments.
4. Includes accounts payable from previous fiscal period and net expenditure made by the Government on behalf of state-owned entities.

Source: Ministry of Finance.

investment projects were postponed, and implementation of those under way delayed; the total volume of capital formation contracted by some 20 per cent. Revenue sharing (transfers to States and municipalities) declined only marginally in relation to GDP – to 2.7 per cent of GDP against 2.9 per cent in the two previous years – but at the same time, with decentralisation, States have been getting increasing spending responsibilities. On the other hand, social programmes were largely spared and special emergency actions were put in place, priority being given to basic education, health care and poverty alleviation (Table 9). The most notable developments in 1995 were: enhanced food distribution to the poor, a rise in preschool enrolment and the expansion of services in preventive medicine, maternity/infant care and curative care. Funds were also set aside to provide some safety net to those hit by the recession by creating temporary jobs in areas of extreme poverty, expanding the number of training scholarships and lengthening the duration of health benefits in case of job loss. In the second half of 1995, when the economic situation turned out to be worse than expected, the authorities allocated additional resources to these programmes and the share of social expenditure increased.

Table 9. **Public programmable expenditure by sector, 1995**

	Expenditure peso billion	Per cent of total	Real growth
Total	**286.3**	**100.0**	**–13.0**
Social development	152.3	53.2	–12.0
Education	68.2	23.8	–9.7
Health and labour	64.1	22.4	–11.5
Solidaridad	9.1	3.2	–15.3
Urban development, drinking water and environment	6.6	2.3	–39.8
Social nutrition programme	4.5	1.6	23.6
Rural development	17.1	6.0	–20.9
Communications and transport	15.2	5.3	–27.4
Energy	67.4	23.5	–2.7
Industry, commerce, fishing and tourism	14.5	3.0	–40.0
Justice and security	14.5	5.1	–17.5
Administration	11.3	4.0	–9.4

Source: Ministry of Finance.

The 1996 Budget

The thrust of the budget for 1996 – to achieve a balanced budget while stimulating productive investment and employment growth – was announced in the Social Pact for 1996. The Pact set the broad lines of economic policy and included macroeconomic projections for 1996 (including the inflation target) and a schedule of upward adjustments in the minimum wage and public tariffs as well as tax deductions for business.[18] The context in which fiscal policy has operated in 1996 has been more favourable than in 1995. First, the amortisation schedule for the public debt has been lighter, since, by January, all *Tesobonos* had been redeemed and short-term swaps with NAFTA partners reimbursed. Second, an estimate of the fiscal cost of the various bank support schemes was announced with the fiscal projections; this has helped reduce uncertainties to some extent, although initial underestimates had to be revised at the beginning of 1996, and this estimate had to be revised upwards when additional measures were undertaken (see section below). In accordance with the usual accounting practices in Mexico, the Budget for 1996 did not include revenue to be obtained from privatisation. With the overall financial balance again close to zero and the primary surplus still at 3.7 per cent of GDP, compared with 4.7 per cent in 1995, the government has maintained a cautious policy stance in 1996. There are grounds to believe that the target will be realised. If the outturn is close to the projections, with output growth of 3 per cent and a decline of the primary surplus of more than 1 per cent of GDP, the budget will have provided some stimulus to activity.

The main policy actions in 1996 have been:

- Tax deductions in favour of small- and medium-size enterprises, as well as for all enterprises that expand investment or create jobs in 1996 on a wider scale than in 1995.
- Simplified taxation for smaller enterprises and modernisation of the tax administration. A Bill was sent to Congress to establish a ‘‘Tax Administration Service’’ as an autonomous public entity to take responsibility for all matters concerning tax and customs administration previously under the authority of the Ministry of Finance.
- Reinforced public spending on economic infrastructure (with public fixed investment projected to grow by 4 per cent in real terms, after the substantial reduction in 1995).

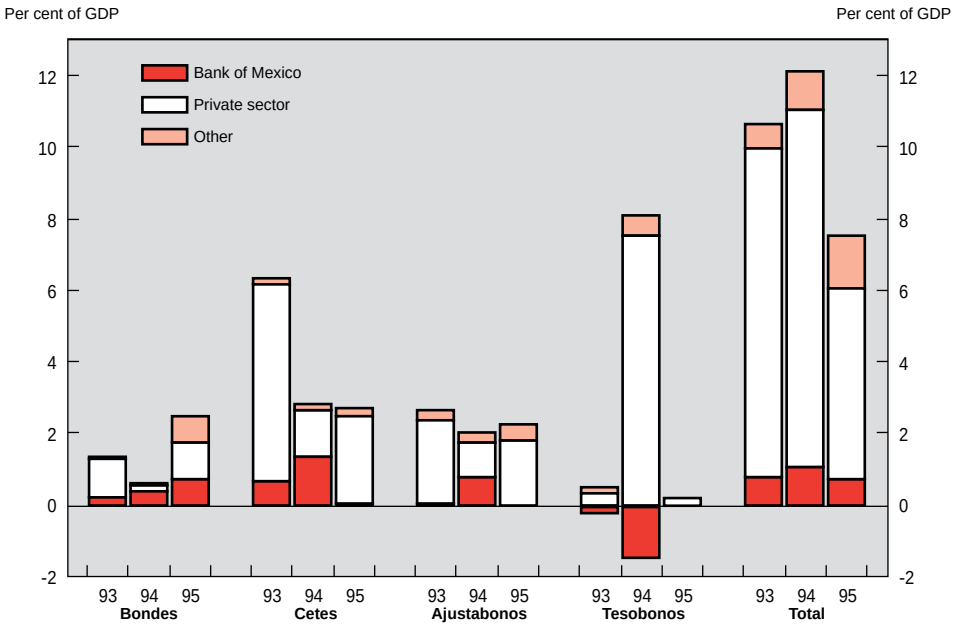
– Renewed efforts to alleviate the cost of the crisis on the poor, with expanded training programmes, creation of more temporary jobs in public works and wider distribution of school breakfasts, in particular.
– Further social policy initiatives. A new programme, the ''basic health package'' has been set up on a permanent basis, to provide a range of health services to the population not covered by social security institutes. The programme has already been implemented.

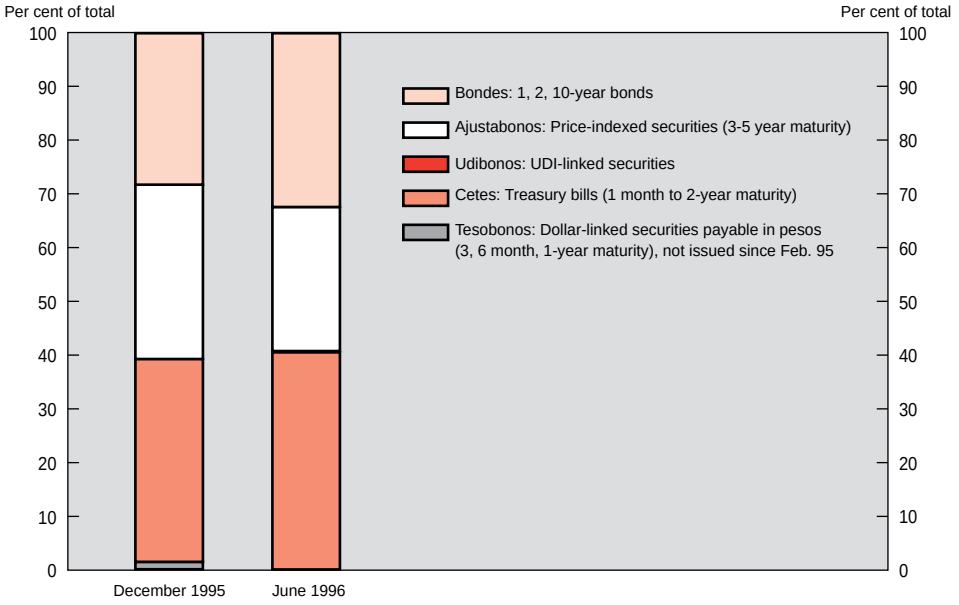
Debt management

In the aftermath of the currency crisis, public debt management was oriented towards two immediate objectives: to refinance and extend the maturity of short-term securities, replacing in particular the dollar-linked Tesobonos (most of which had a six-month maturity); second, attracting new private capital on international markets. The first objective was achieved by the end of 1995 (most of the amortisation was actually completed by the end of August that year). The two-thirds of the total $29 billion outstanding *Tesobonos* – essentially all those in the hands of the public – were refinanced with borrowings from the United States Government and the IMF (the remaining third was held at the Central Bank). As a result of the refinancing, part of the short-term domestic debt was replaced by medium- and long-term borrowing from abroad (denominated in dollar, yen and several European currencies). At the same time, the domestic debt structure was modified, with the share of two-year *Bondes* increasing (Figure 10). The second objective was achieved as the government and public enterprises (development banks and PEMEX) placed longer-term debt on international markets on an increasing scale – and on improving terms – throughout the year. By December 1995, the total net debt of the public sector amounted to 31 per cent of GDP, 10 percentage points above the level a year earlier,[19] all the increase attributable to foreign debt.

In 1996, the Mexican authorities have aimed at consolidating 1995 results in debt management. Three considerations have prevailed in their strategy: to further lengthen the average maturity of the public debt, to lower funding costs for the public sector and to reduce the vulnerability of debt servicing to swings in exchange rates and interest rates. With the reimbursement in January 1996 of all remaining *Tesobonos* held by the public, an increase of the share of two-year *Bondes* in total holdings and large issues of three to ten-year bonds on

Figure 10. **COMPOSITION OF GROSS PUBLIC DEBT**





Source: Banco de México.

international capital markets, some progress was made in extending the public debt amortisation schedule into the future. Three noteworthy operations were undertaken in the first half of 1996 as part of the government strategy: *i)* in April, an offer to exchange Brady bonds for new 30-year Global bonds issued by the Federal Government; *ii)* the issue, in May of government bonds denominated in UDIs (*Unidades de Inversion*), units of account indexed to inflation, with a three-year maturity – *Udibonos* – which are comparable to the existing price-indexed *Ajustabonos;*[20] *iii)* the anticipated repayment in June of part of the United States government loan, for an amount close to US$5 billion (almost one half of the United States credit outstanding), an operation financed with resources borrowed at lower costs and longer maturity than the United States funds.

Fiscal policy in the medium-term

Between 1995 and 1996, the emphasis in fiscal policy has shifted from managing the post-crisis adjustment, to fostering orderly recovery. Now that more urgent concerns are behind, defining fiscal policy with a forward looking view would appear to be useful to inform, and thereby reassure, market participants. The medium-term fiscal policy objective of the present administration is to maintain a balanced budget (National Development Plan, 1995-2000). The main advantage of this objective is its simplicity, and indeed, a balanced budget may be required for several years to come to make available resources for the financing of investment in the face of low private saving. But announcing balanced public finances as an objective is only a rough indication of where fiscal policy is heading. It would seem preferable to define a well-articulated medium-term strategy, including fiscal projections beyond the current budget year.

In setting a medium-term fiscal strategy there are certain key considerations that must be taken into account. On the one hand, there are long-standing gaps justifying higher spending in such areas as infrastructure investment (transport, communications, water distribution, etc.), human capital development (education and training) and to meet basic needs in terms of nutrition and health services – as highlighted in the 1995 *Economic Survey*. On the other hand, although some uncertainty remains about their precise fiscal impact, contingent liabilities will eventually put public finances under some pressure: first, continuing to reimburse external public borrowing on account of the international financial support of 1995; second, taking on the cost of the support package to debtors and banks;

third, paying the cost of the pension and health insurance reform recently enacted, although pension-related liabilities are expected to be relatively slow-growing given demographic trends in Mexico. Finally, the budget is sensitive to changes in exogenous variables (notably, the world crude oil price and interest rates abroad). In view of these considerations any easing of fiscal settings can only be prudent. The main source of funding to accommodate priority needs will have to be improved effectiveness of public spending and taxation. Further privatisation and concessions for private provision of public services, if accompanied by appropriate regulatory reform, would also increase efficiency and reduce the drain on the budget. Structural reforms can indeed be a useful complement to macroeconomic policy in this regard.

A medium-term fiscal strategy would have to take into account the impact on the budget of fluctuations in economic activity to avoid changes in the policy stance becoming procyclical. An indicator of the underlying budget position (such as a measure of the structural budget) would be useful for that purpose. It requires prudent measurement of growth potential over the medium term. It would also be appropriate to provide indications on the fiscal position on the basis of unchanged policy, an equivalent of current services estimates provided by the US Congressional Budget Office. Policy changes that may be required can then be identified, and the impact of different measures assessed, so as to guide policy making. Given the large uncertainties about the effect of the on-going decentralisation process and privatisation, quantitative projections may be difficult. A well articulated strategy, and publication of some of the key elements accompanied by illustrative calculations would nevertheless be enlightening.

Monetary management

Policy strategy and realisation

Since the peso crisis and the floating of the exchange rate, monetary policy has had a single objective, to contain the inflationary effects of the depreciation and bring down inflation on a sustainable basis. In 1995, the Central Bank formulated its monetary programme around an announced ceiling on the annual growth of its net domestic credit (defined as the monetary base less net foreign exchange reserves).[21] Monetary authorities established this ceiling wishing to

indicate unambiguously their commitment to monetary control; it was also considered by the authorities to be a useful benchmark to help economic agents evaluate the conduct of monetary policy. It was made clear that the ceiling on net domestic credit was an upper limit, not a target. The Bank would manage its net domestic credit within the ceiling so that the supply of liquidity would match the expected demand for base money under the assumption that net foreign reserves remained unchanged, an assumption which seemed reasonable under the current floating exchange rate regime. A number of indicators of inflationary pressures – exchange rate developments, differences between observed and target inflation, wage settlements, the level of resource utilisation, etc. – would be used to determine the desired evolution of net domestic credit under the stated limit. Due attention would also be given to the evolution of net foreign reserves.

Complementary to this strategy, the Central Bank took several initiatives in 1995 to promote a better understanding of monetary policy and facilitate monetary management. It adopted a new information policy as of March 1995 to enhance transparency – publishing in particular weekly balance-sheet summaries with key variables such as the monetary base, net domestic credit and foreign exchange reserves. It introduced a zero-reserve requirement mechanism to improve its management of domestic credit. Under this mechanism, credit institutions would have to maintain on average over a month a zero (or else positive) cash balance at the Central Bank, by compensating negative balances with positive ones. In case of non-compliance, a penalty rate would be imposed.[22] A new operating procedure was also put in place for daily auctions of central bank credit, whereby the Bank would indicate its ''desired'' aggregate settlement balance for the system. This would provide the market with a signal of policy intentions, without indicating particular targets for interest rate levels.[23] By setting the requirement as an average over a period of time, the Bank could tighten policy without exerting excessive pressure on interest rates at a given point in time, thereby containing unnecessary volatility in these rates.

To address some of the problems created by volatility on exchange markets, the Bank authorised selected banks to operate with forwards. A futures market for the peso has been operating on an increasing scale since April 1995 at the Chicago Mercantile Exchange. A new scheme was adopted at end-July 1996 to facilitate the rebuilding of foreign exchange reserves by the Central Bank, as deemed appropriate by the Foreign Exchange Commission. The mechanism

which started to operate in August 1996 favours purchases by the Central Bank when the market is in abundant supply: the Bank of Mexico auctions rights to commercial banks to sell foreign exchange to the Central Bank (at the exchange rate of the previous day, under the condition that the foreign currency be not higher than its average during the previous over 20 days). The scheme can help reduce volatility in the exchange market; but operations are to take place on a small scale, so as to avoid exerting pressures on the exchange rate or sending signals that could be erroneously interpreted by economic agents. The expansionary effect of the purchases on the monetary base is to be compensated by the Central Bank through adjustments in net domestic credit.

The initial monetary programme for 1995 was formulated on the basis of the inflation assumption – 19 per cent over the 12 months to December – established in the first government stabilisation plan. A ceiling on net domestic credit growth was set at 10 billion pesos in January 1995 to allow an expansion of the monetary base of 21 per cent, close to the projected nominal GDP growth. The ceiling was unchanged in the new stabilisation programme announced in March, by which time inflation projections had been revised upwards – implying a tighter constraint.

In the event, the monetary base increased by 17.3 per cent in 1995, much below nominal GDP growth.[24] As expected in a period of rising inflation and interest rates, the velocity of money circulation increased. The evolution of net domestic credit – as it was defined in 1995 – was difficult to interpret because it was affected that year by the use of the foreign financial support package. Over the 12 months to December 1995, it fell significantly (by 77.7 billion pesos), the decline merely reflecting the accumulation of foreign reserves brought about by the availability of IMF loans (Table 10).

The monetary programme announced in January 1996 followed the line of the policy implemented during 1995, with the pursuit of disinflation as its primary objective. Considering the still large uncertainties prevailing at the start of 1996, the Central Bank decided that setting a ceiling on the expansion of its net domestic credit, as done in 1995, would be the best way to reassure economic agents of its commitment to monetary control. The Bank modified the definition of net domestic credit: obligations to the IMF would be deducted from net foreign assets, in accordance with IMF standard accounting rules. As a result, net domestic credit and net foreign assets would no longer be affected when the

Table 10. **Monetary base and net domestic credit**

	Projected in Monetary Programme 1995	Outturn 1995	Projected in Monetary Programme 1996
Changes in:			
Monetary base			
Million pesos	–	9 874	18 000
Percentage	21	17.3	27
Net domestic credit[1]			
Bank of Mexico Law definition	10 000 (ceiling)	–77 688	–
IMF definition	–	27 728	15 000 (ceiling)
Net foreign exchange reserves[2]			
Bank of Mexico Law definition	0	9 593	–
IMF definition	–	–2 781	400
Memorandum items:			
(Percentage changes)			
Inflation			
December to December	42[3]	52	20.5
Average	–	35	–
GDP, volume (1980 prices)	–2	–6.9	3
GDP, nominal	–	26.2	35

1. Million pesos.
2. US$ million.
3. As projected in the reinforced March stabilisation programme; the initial inflation projection (made in January) was 19 per cent.

Source: OECD, based on information provided by national authorities.

Central Bank received or amortised financing from the IMF.[25] The stated ceiling was calculated by reference to the expected increase in the monetary base – 27 per cent – derived itself from projected real GDP growth (3 per cent) and the inflation objective (20.5 per cent) for the year. The growth of monetary base was projected to be higher than nominal GDP growth to allow for some remonetisation of the economy, expected when inflation and interest rates decline. The ceiling set on net domestic credit expansion (15 billion pesos) was lower than the projected increase in the monetary base (18 billion pesos). If the remonetisation of the economy did materialise in 1996, and the demand for base money increased as projected, the additional liquidity would have to come from a small accumulation of net foreign assets (assumed to be close to US$0.4 billion

during the year, IMF definition). Again it was made clear that the ceiling was meant as an upper limit, and that the Bank would continue to use a range of indicators to guide its conduct of policy.[26] Furthermore, to avoid possible misinterpretations of developments in net domestic credit through the year, the authorities set a quarterly path on the ceiling, taking into account the seasonality of the demand for notes and coins in circulation (which in the absence of reserve requirements in Mexico determine almost exclusively the behaviour of the monetary base).[27]

In the first nine months of 1996, the monetary base contracted by 5.2 billion pesos due to seasonal factors – as projected in the monetary programme. In September 1996 it was 30.5 per cent above its level a year earlier. The accumulation of net foreign reserves in the first nine months of 1996 (US$3.5 billion or 26.6 billion pesos, IMF definition) was larger than assumed in the monetary programme; and net domestic credit contracted sharply, to a level well below the ceiling set for that period.

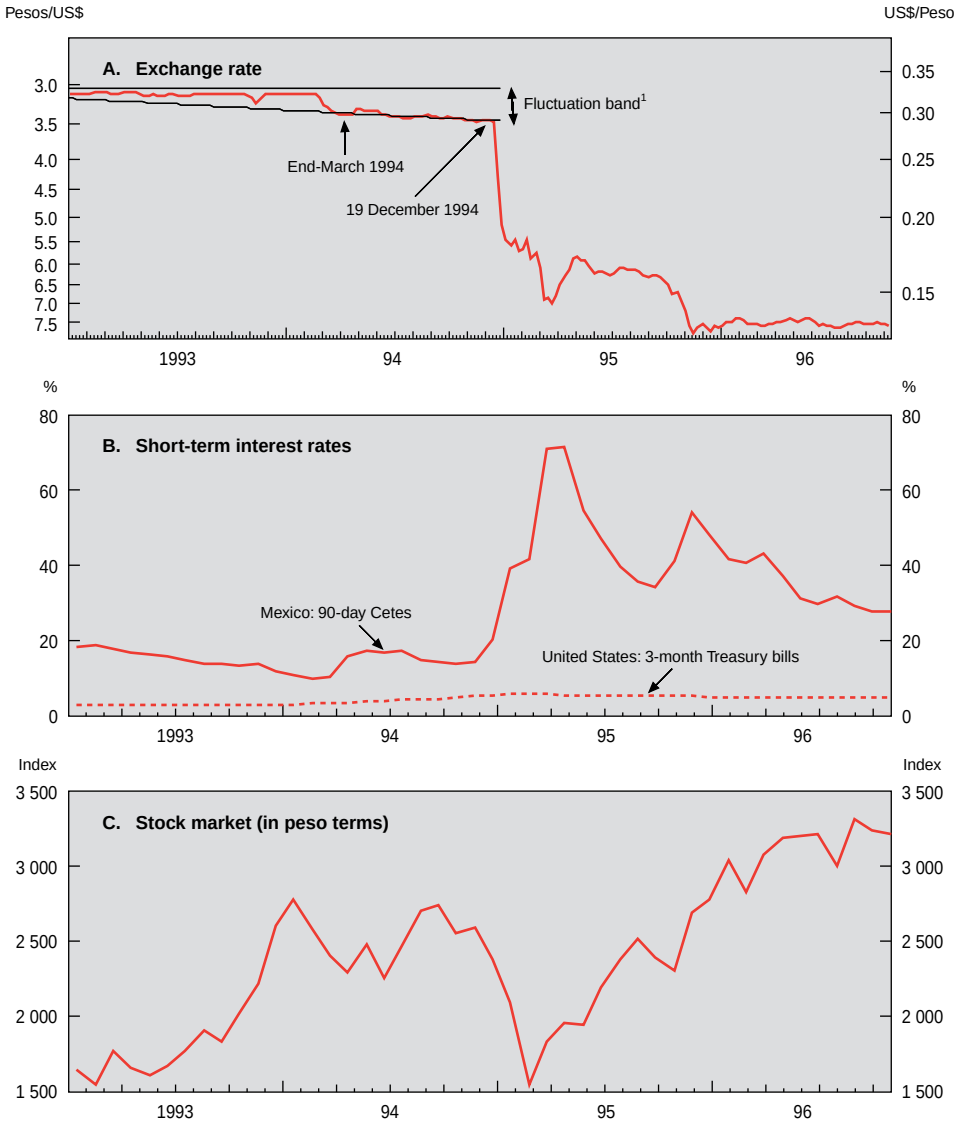
Since its peak in April 1995, inflation has followed a downward path. The reversal of the trend in the last months of 1995 and the blip in April 1996 largely reflected upward adjustments in public tariffs and increases in the minimum wages (elements of the Government's economic programme for 1996) as well as larger-than-expected depreciation of the peso.

Interest rate and exchange rate developments

To support their policy of disinflation, the monetary authorities have been concerned with reducing excess volatility in the foreign exchange market. In response to downward pressures against the peso, short-term interest rates rose and the Central Bank intervened on the foreign exchange market (on five occasions in November and December 1995, using small amounts of reserves). In the first eight months of 1996, the Bank did not intervene in the foreign exchange market. Later in the year, using the mechanism recently introduced to favour the accumulation of international reserves, it purchased small amounts of foreign exchange from commercial banks in August and September 1996 (for US$130 million and US$250 million respectively).

After March 1995, when the announcement of stabilisation measures and international financial support helped economic agents regain confidence, volatility in financial markets was reduced somewhat. The peso/dollar exchange rate

Figure 11. **EXCHANGE RATE, SHORT-TERM INTEREST RATES AND STOCK MARKET**



1. The upper limit of the fluctuation band was fixed at 3.05 pesos/dollar; its lower limit was depreciated by 0.0002 pesos per day from November 1991 to October 1992, and by 0.0004 per day from then till 19 December 1994.

Source: Banco de México and Bolsa Mexicana de Valores.

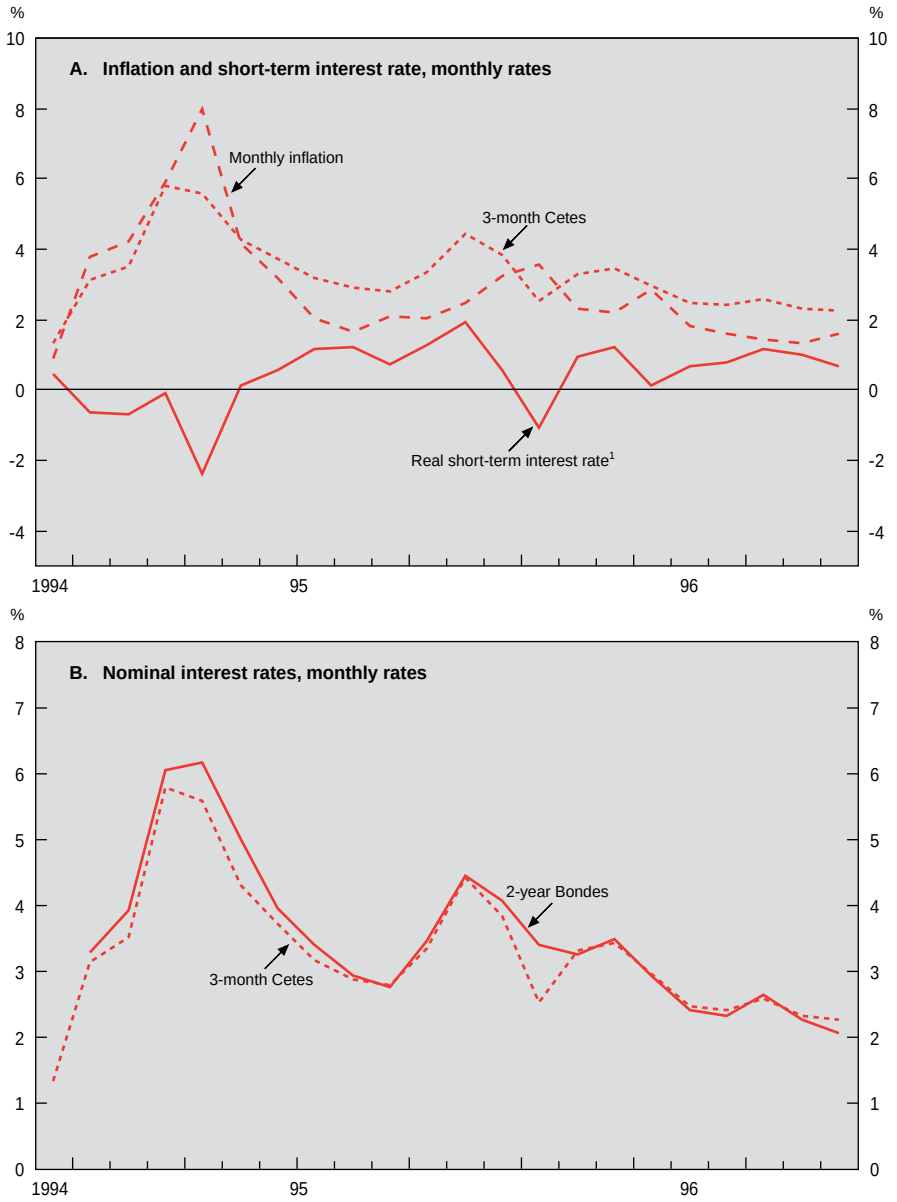
was relatively stable, fluctuating between 6 and 6.5 in April-September 1995; this phase was followed by a period of high volatility towards the end of 1995; since then the exchange rate has stabilised, around 7.5 pesos per dollar in the first nine months of 1996 (Figure 11). Nominal interest rates declined in 1995, from their crisis levels, as inflation slowed, and real interest rates were high (above 10 per cent for the three-month *Cetes*, Figure 12). The downward trend in nominal rates was interrupted in September by renewed pressures against the exchange rate in the following months and in early 1996 – although to a lesser extent then. During these episodes, the exchange rate slid, while nominal interest rates surged (to 55 per cent in November for the three-month *Cetes*). Real interest rates peaked at almost 20 per cent.[28] The spread between the three-month *Cetes* and the two-year *Bondes* widened, reflecting the high risk premium. Higher interest rates in turn worsened the already fragile situation of banks.

Since April 1996, pressures on financial markets appear to have calmed. The peso remained fairly stable, around 7.5 pesos per dollar during most of the year. Short-term interest rates fell to 28 per cent in September 1996, for the three-month *Cetes*. Other signs of improved investor confidence include the positive trends on the stock market (Figure 11, Panel C), and the fact that the Mexican government and some public and private enterprises were able to raise funds on international capital markets on an increasing scale in 1995 and in 1996.

Money and credit growth

The narrow aggregate M1 increased by only 7 per cent in the 12 months to December 1995, reflecting modest growth in holdings of cash and checking accounts due to weak economic activity and high nominal interest rates. The evolution through the year was contrasted: the decline in the early months of 1995 was followed by a steep rise after mid-year, continuing in 1996 (Figure 13). Two main factors have influenced M1: *i)* a seasonal rise in the demand for coins and notes in December 1995 (partly reversed in January 1996);[29] *ii)* an increase in business checking accounts towards year end, reflecting the incipient recovery. The larger aggregate M4, more representative of overall financial intermediation when high and volatile interest rates induce shifts in financial asset composition, grew at a rate of 20.6 per cent during the year 1995. This implied a decline of the same size in real terms, mainly attributable to reduced holdings of Mexican assets by foreigners, while residents'

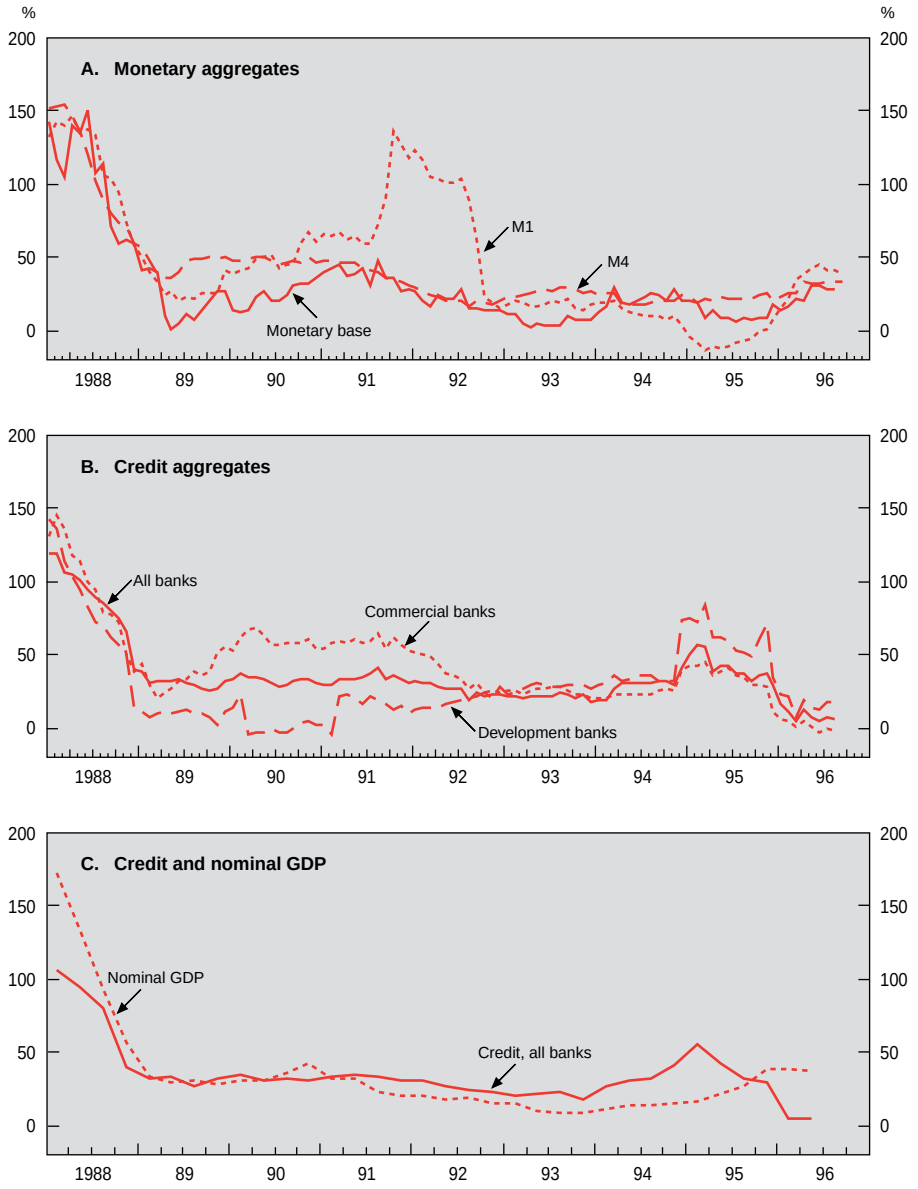
Figure 12. **INFLATION AND INTEREST RATES**



1. 3-month Cetes at monthly rate less monthly inflation.
Source: OECD, Banco de México.

Figure 13. **MONETARY INDICATORS**

Percentage change over twelve months



Source: Banco de México.

financial investments increased, in particular holdings of indexed instruments such as deposits on SAR accounts and Ajustabonos.[30] In relation to nominal GDP, M4 fell from 51 per cent in 1994 to 49 per cent in 1995 interrupting many years of financial deepening following financial deregulation. By July 1996, M4 was some 33 per cent above its level 12 months earlier (implying modest growth in real terms).

Total credit outstanding grew at 12-month rates of around 40 per cent during most of 1995. Growth of commercial bank lending to the private sector was under opposite influences, rising because of the impact of the peso depreciation on foreign currency loans outstanding, but at the same time the recession and the associated deterioration of banks' balance sheets had a negative incidence. The constrained supply of bank credit is unlikely to have been binding, since the demand for credit from business and households was also depressed. This view is supported by the substantial shortfall of development bank credit from authorised ceilings (see below).

Assessment

To sum up, monetary policy in 1995 was tight – as indicated by the moderate growth of the monetary base and high real interest rates which prevailed during most of the year – and inflation declined, though the 12-month price increase in December 1995 was significantly above the target. This was partly due to a further depreciation of the peso associated with financial market instability. On the basis of developments to mid-1996, monetary policy appears to have been effective in preventing the immediate inflationary impact of the depreciation from spreading through the economy and starting an inflationary spiral; the implementation of restrictive fiscal policy contributed to the process. However, the evolution of net domestic credit, as it was defined in 1995, was not easily interpreted by economic agents. In this respect the clarification of the definition presented in the monetary programme for 1996 has been helpful.

As the horizon for monetary programming moves away from managing the immediate post-crisis adjustment, it should be useful to establish a more explicit medium-term framework for monetary policy. This would help anchor expectations beyond the current year and promote confidence in policy. Because the banking system is a vehicle for the transmission of monetary policy, the starting point would be the restoration of the soundness of banks – a process currently

under way (as reviewed in the section below). Reforms in procedures already implemented in 1995 to improve the operation of the system are a key element of this medium-term framework, as well as the new information policy of the Central Bank. More comprehensive statistics on non-bank financial intermediation, corporate financial position and average bank interest margins would be useful.[31] Given the new economic environment in which monetary policy operates, evaluating the development of inflationary pressures requires monitoring additional indicators. While there is no ideal price index that could be used as a basis for setting policy, most countries use the CPI or a variant of the CPI for that purpose. It could be useful to develop an indicator of core inflation – by excluding the most volatile component of the consumer price and the direct effects of changes in indirect taxes (VAT) and public tariffs – to be able to better assess underlying trends. To adopt such a measure as an indicator would not imply that it should be retained as a target. Given Mexico's recent history of high and variable inflation, and the still high level of current inflation, simply changing the definition of the objective would be unlikely to have any moderating effect on inflation expectations. Furthermore, the switch to a new index could be viewed with suspicion.

The Bank of Mexico has a clear over-riding policy, price stability. Nevertheless, in the context of current disinflation efforts, moving towards a more clearly-defined medium-term framework would be useful. To this end, it would be appropriate to set-out a path for inflation reduction over the coming years. The medium-term inflation objective of the Bank of Mexico which was set in the programme for 1995 – less than 10 per cent inflation in two to three years, and a 0 to 3 per cent range in the longer run – will need to be reiterated, perhaps giving more precision about the immediate future. It would be useful to provide more frequent information on the Bank's assessment of economic and financial developments – how they are related to future inflation pressures and translated into policy action. It may still be too early to set a precise path in terms of inflation rates and time periods; if so, an early announcement of the inflation target range for next year – even an informal one – can help guide expectations and ensure that inflation is on the right path as the year ends and the current target expires.

The Mexican banking sector

Overview

Financial deregulation after 1988, privatisation of the commercial banks in 1991-92 and the correction of the public sector deficit all contributed to very dynamic growth of bank credit to the private sector. Total financial intermediation grew from 30 to 50 per cent of GDP between 1989 and 1994; and the level of non-performing loans rose continuously over the years, an indication that even before the financial crisis of end-1994 Mexican banks were facing serious problems of asset quality.[32] In the aftermath of the currency crisis, as borrowers became unable to meet their obligations, these problems of balance-sheet quality were aggravated.

Consequences of the currency crisis

The banking sector was affected by the crisis through three main channels: *i)* the depreciation of the peso; *ii)* very high domestic interest rates and the contraction of activity; *iii)* a liquidity crunch in foreign currency. The direct impact of the depreciation of the peso on bank financial statements was not significant because of prevailing, fairly restrictive, regulations on bank foreign currency exposure: banks' foreign currency liabilities are limited to a maximum of 20 per cent of total liabilities and net open foreign currency positions to 15 per cent of net capital. Accordingly, foreign currency liabilities were approximately matched by foreign currency-denominated assets. However, the depreciation had an important indirect effect on the banking system: it reduced domestic borrowers' capacity for repayment of foreign currency-denominated liabilities – these had risen from 22 to 30 per cent of commercial bank lending at the end of 1994 because of the devaluation effect. In addition, the peso depreciation had the effect of reducing bank capitalisation ratios (as outstanding loans denominated in foreign currency saw their peso value rise).[33]

The most important impact – in terms of scale and the time it may take to unfold – came from the reduced borrowers' capacity to repay loans as a result of high domestic interest rates and the sharp contraction of activity in 1995. Heavy indebtedness of firms and households even before the crisis added to difficulties. The ratio of past-due loans to total rose throughout the year, peaking at 12.1 per cent in August 1995 (a figure that does not include intervened banks or banks

under special situation and that is established under Mexican accounting principles). Nevertheless, the effect was dampened by the various debt restructuring programmes and the loan purchase mechanism that were implemented. Since March 1996, the past-due loan ratio has stabilised below 8 per cent. Deterioration of the loan portfolio quality, combined with tight regulations for setting reserves, made necessary greater resources for loan-loss provisions – which almost doubled in 1995.

Finally, there was a liquidity crunch effect: the loss of confidence made dollar-denominated CDs issued by Mexican banks difficult to roll over as external financing dried up. Banks' profitability suffered from this squeeze as the cost of funds rose.

The government's response

The Mexican government took steps in 1995 and 1996 to ease pressures on the financial system, while reinforcing supervision and tightening provision requirements. Restrictions on shareholdings were eased, both for foreign banks and Mexican corporations, to attract new investors and help recapitalise the banks. All in all, the various support schemes that were put in place over the past one and a half years and the provisions to facilitate the restructuring of debt have enabled banks to continue to operate and helped maintain the public's confidence in the financial system. The strengthening of weak banks was also considered as necessary to enable them to finance the economic recovery as demand for credit develops.

Several options typically are available to deal with banking difficulties. The choices that can be made fall into three broad categories: *i)* capital injection (including mergers or sales to new shareholders); *ii)* take over and management by a regulatory body; *iii)* bail-out. The choice of option depends on a number of constraints, such as the fiscal situation – which determines the extent to which public funds can be allocated to the restructuring; the existence or non existence of markets into which impaired institutions or financial assets held by the banks can be sold;[34] and the degree of systemic risk associated with the extent and distribution of bank impairment. Over the last one and a half years, the Mexican authorities have put in place a variety of measures aimed at providing support both to banks and to debtors. Since it was difficult to evaluate from the start the full effect that the crisis was likely to have on the quality of banks' portfolio,

policy makers chose a gradual approach. The strategy was defined to follow a set of basic principles, such as: avoiding systemic risk; promoting public confidence; supporting institutions, not shareholders; minimising fiscal and monetary impacts, and promoting a payment culture under existing market conditions. The various programmes implemented were designed in accordance with these principles, so as to form a consistent support package. Also, it was thought important that enough support be provided to maintain solid institutions in operation and preserve depositors' confidence in the banking system, while avoiding providing too much support which would create moral hazard problems.

The first move at the start of 1995 was to tighten prudential standards and increase provision requirements. A special dollar liquidity window was also opened at the Bank of Mexico to help banks repay their short-term foreign debt. By September 1995, the mechanism had served its purpose and therefore ceased operations. Financial institutions had extended the average term of their liabilities and reduced their funding rate.[35] In March 1995, a temporary capitalisation programme was put in place (PROCAPTE) to inject capital into the banking system in the form of mandatory convertible subordinated debentures. Under this scheme, stockholders are not receiving support; rather they are put under discipline by the mandatory conversion mechanism and closer supervision.[36] By July 1996, four of the five banks that had obtained PROCAPTE funding were able to exit the programme.

Banks with serious liquidity and possible solvency problems have continued to be handled through FOBAPROA, the existing agency responsible for dealing with bank insolvencies (Table 11). By July 1996, 11 banks had been taken over by FOBAPROA. Seven of these were capital-deficient; the three others (Union, Cremi and Banpais) had been taken over before the crisis or just after its onset because of fraudulent practices. An attempt has been made to restore the viability of all these banks – and this may require fiscal resources. Then the resolution process will be engaged, via merger or sales to new shareholders.[37] A different mechanism has been made available to facilitate capital injections into banks that were judged to be solvent by the supervisory body CNBV (National Banking and Security Commission). The government purchases a portion of their loan portfolio net of provisions, in exchange for an injection of private new capital by existing shareholders or new ones – domestic or foreign. By August 1996, 12 banks among those privatised in 1991-92, had used this mechanism to increase their capital.[38]

Table 11. **Support operations to banking institutions, 1995-96**

With intervention from FOBAPROA

	Capital increase	Purchased loans[2]	
		Net	Gross
A. Capitalised banks (billion pesos as of August 1996)			
Probursa[1]	3.4	6.8	8.4
Serfin[1]	12.8	24.9	28.7
Atlántico[1]	2.1	3.7	4.1
Promex[1]	1.7	3.0	3.4
Bital[1]	3.7	7.4	8.7
Bancreser/Banoro[1]	5.4	10.0	11.4
Banorte[1]	2.1	3.6	4.1
Banamex	8.5	15.0	16.2
Mexicano	3.9	6.9	8.4
Bancomer	8.7	15.6	17.8
Confia	1.0	2.2	2.8
Total	53.3	99.1	113.9

B. Banks intervened

Capital deficient		Management deficient	
1995		1994	
Obrero	August	Union	September
Interestatal	September	Cremi	September
Oriente	October		
Centro (Bancen)	November		
Inverlat	November		
1996		1995	
Capital	May	Banpais	February
Sureste	May		
Banorte	May		

1. Cumulated amount of two operations.
2. Loans are bought net provisions.

Source: CNBV.

In parallel, measures were taken to provide support directly to debtors by facilitating loan restructuring, with a view to preventing a trend of non-payment of debts from becoming pervasive. Most of the Government's restructuring programmes are based on UDIs (units of account indexed to inflation), also used to denominate deposits and investment contracts. With the conversion of loans into UDIs, loan maturity is lengthened, and by inflation refinancing, the

mechanism seeks to alleviate immediate liquidity pressures on borrowers – who are charged a real fixed interest rate. The Government bears the risk of mismatch in interest rates; but the banks continue to carry the credit and funding risks.[39] Loan restructuring in UDIs was slow to start, except for mortgage credits where similar inflation-indexed loans were already in use. At the end of 1995, the programme was broadened to allow restructuring of foreign currency loans; the size of UDIs allocated to mortgages was increased; the period for the original UDI programme's retroactivity was extended. In August 1996, the restructured amount (mainly mortgage and industry loans) represented around 54 per cent of banks' peso loan exposure susceptible to restructuring.

Because of the length of time before the UDIs' programmes were accepted, the worse-than-expected recession and the fact that the debt problem was becoming a political one, Mexican authorities saw the need to offer additional direct support to debtors. The support programme to small debtors (ADE) was put in place starting in September 1995 to allow restructuring of credit card, personal and consumer loans and mortgage loans. This programme is made up of two components: an immediate interest reduction (the banks and the government sharing the cost of the interest subsidy), and the possibility of restructuring in UDIs.[40]

A programme was launched in May 1996 to ease further the burden of mortgage loans on households. The quality of mortgage loan portfolios, already much damaged in 1995, had continued to deteriorate, even for some of those already restructured in UDIs. In addition to borrowers' repayment difficulties arising from high interest rates and the fall in real income, another problem was created by the implications for bank portfolio quality of moving to new accounting principles in 1997. Under the Mexican accounting regime, only non payment of instalments due were classified as non-performing, whereas under accounting rules of most other OECD countries, the whole loan would be classified as non-performing. The move to US accounting principles, programmed for next January, will increase the proportion of past-due loans in Mexican banks' portfolios.[41] Finally, because of the real estate market depression, the market value of assets was likely to have fallen below the value of the mortgage, creating additional difficulties for owners. The mortgage programme has provided for: *i)* additional resources for restructuring in UDIs; *ii)* payment discounts ranging from 30 per cent to 5 per cent to be scheduled over the next ten years; *iii)* the

possibility for those who still cannot repay loans to give their property to a trust fund and pay a minimum rent, while keeping the option to buy back their property within a six-year period. The scheme also provides support to debtors having acquired low-income housing and to those having borrowed from real estate developers.

Two more programmes were announced around mid-1996. The first one, FINAPE is intended to help producers of the agricultural and fishing sectors to restructure their debt and obtain new credits. Only debtors who keep up with their repayment obligations can benefit from the scheme. The second programme (FOPYME) is designed to support small and medium-sized firms: it provides discounts on debt repayment, and – as in the case of the agriculture programme – incentives to promote the granting of new loans. In both cases, the cost will be shared between the government and banks depending on the net new lending that banks grant – to the agriculture and fishing sectors for FINAPE, to SMEs for FOPYME. The maximum that the government will absorb is 50 per cent of the total cost and it will be distributed over the next 15 years.

Assessment of the support package

The measures to assist banks and debtors that were taken over the past one and a half years appear to have been globally sound in their design. Thus the PROCAPTE scheme has provided time for stockholders to raise new capital but a specific deadline was set. By ensuring that shareholders eventually bear the cost of restructuring, the scheme should create incentives to restrain the degree of risk-taking in the future, which is appropriate. Moreover, the funds provided by the Central Bank and lent to the banks through PROCAPTE had to be invested at the Central Bank, so that no monetary expansion resulted from the operation. In the case of loan portfolio purchases, incentives have been built in the mechanism to ensure that banks collect the loans purchased by FOBAPROA.[42] Furthermore, banks in the scheme have been obliged to comply with management audits. Finally, disengagement of the state from assisted banks, an appropriate option, has started.

The implementation of the bank support package, however, may be associated with potential problems: first, as each new problem has initiated a new response, this may have created a ‘‘wait-and-see’’ attitude on the part of debtors – this being the main inconvenience of the step-by-step approach adopted. To

address this concern, with FOPYME's announcement, the authorities have established that this programme would be the last one directed to support debtors. The ADE was closed and was not extended beyond 30 September. Also, the new mortgage programme restructuring date was not changed (30 September); debtors that initiated negotiations prior to this date were given time to conclude their restructuring. Several features of the ADE should in principle be conducive to debtors' repayment discipline (the fact that debtors get support only as long as they keep up with their obligations or that anticipated repayments carry no penalty). A more general problem may arise from the case-by-case treatment established in several arrangements. As a result, even if the features of the programmes have been clearly defined, the rules of the game may not have been applied equally to all – across banking institutions, debtors or large enterprises.

The fiscal cost of bank assistance was initially estimated by the government to amount to 90 billion pesos, the equivalent of 5½ per cent of 1995 GDP – a cost to be spread over a number of years.[43] The extension of support programmes in the later part of 1995 and at the start of 1996 (concerning UDIs, ADEs and new loan purchases through FOBAPROA) has added about 30 billion pesos to the original cost, while the mortgage loan support programme announced in May 1996 may cost an additional 25-30 billion pesos. The total fiscal cost would thus stand around 8 per cent of the 1996 GDP, according to official estimates (Table 12). By involving private capital (domestic and foreign) and having banks sharing some costs, the strategy has tried to minimise the fiscal cost involved.

After the crisis

The various bank assistance measures have led to an improvement in the capitalisation of a large part of the banking system. In June 1996, one and a half years after the currency crisis, 12 Mexican banks (three-quarters of total banking assets) had been strengthened and were judged to be viable by the CNBV. Their capitalisation ratio has risen (to an average 14.1 per cent at end-July 1996, compared with 8 per cent in February 1995). The share of past-due loans in total loans is growing at a much slower rate since the last quarter of 1995; provisions for past-due loans almost doubled from their pre-crisis level, reaching a peak of 87 per cent at end-June 1996. All commercial banks which are not intervened or under special situation have participated in the capitalisation programme, through the sale of loan portfolios net of reserves to FOBAPROA. As a result, they should be in a better position to grant credit.

Table 12. **Fiscal cost of support programmes for banks and debtors**

As per cent of projected 1996 GDP

	Billion pesos[1]	Per cent of GDP[2]
Debt restructuring in investment units (UDIs, original programmes)	21.6	1.0
Support to small debtors (ADE)[3]	13.4	0.6
Direct support through FOBAPROA	48.4	2.1
Capitalisation and loan purchase schemes	35.0	1.6
Restructuring of toll roads[4]	14.1	0.6
Mortgage programmes' additional UDIs	27.2	1.2
Agricultural and fishing sector programme	14.2	0.6
Small- and medium-sized firms support programme	7.4	0.3
Total	**181.1**	**8.0**

Note: Official estimates as of August 1996.

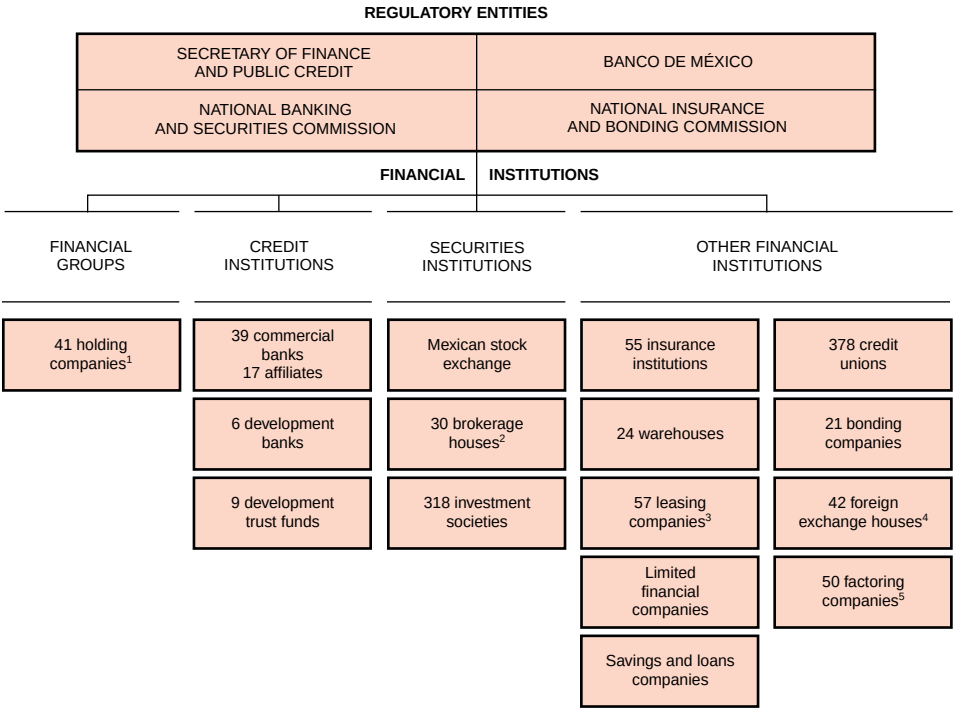
1. Present value.
2. Estimated 1996 GDP: 2,260.4 billion pesos.
3. Paid with the fiscal surplus in 1995; does not need funding.
4. Estimated cost of financial restructuring of concessioned highways – made necessary by the rise in interest rates and the impact of the recession on toll revenue.

Source: Ministry of Finance.

Despite improvements, the general situation of Mexican banks remains fragile. Their past-due loan ratio on US GAAP accounting, for the banks that remain in the hands of the private sector, would be approximately equal to 18 per cent of total assets. A number of firms and households are still having repayment problems. In the end, the financial position of the banking system can only improve significantly once the recovery has become more firmly based and reaches out across sectors beyond exporting firms. Stronger activity and lower inflation (the latter being key to allow further declines in interest rates) are necessary to improve capacity to repay current loans and increase new credit demand. Discounts provided by the more recent programmes will help ameliorate repayment capacity. An improvement in the banking situation in turn could be translated into the higher lending necessary for stronger production and employment growth, thereby feeding into a virtuous circle.

In the last two to three years, with financial deregulation, new banks have started to operate in Mexico. At the start of 1996, there were 16 new Mexican banks and 17 foreign bank affiliates, which together represented over 6 per cent of total assets (Figure 14). As compared with other banks, new banks have

Figure 14. **STRUCTURE OF THE MEXICAN FINANCIAL SYSTEM**



1. Plus 6 waiting for authorisation.
2. Plus 2 waiting for authorisation.
3. Plus 6 intervened.
4. Plus 5 intervened.
5. Plus 6 intervened.

Source: Banco de México.

encountered fewer problems to reach required capitalisation and reserve levels; their past-due loans have remained at a significantly lower level, reflecting the recent start of their operations. This should put them in a more favourable position than older banks to grant credit in the short run. As a result, their market share in traditional banking activities (loans and deposits) seems set to increase when the recovery gathers pace.

Development banks – which are government-owned financial institutions that provide financing to priority sectors, such as the export sector, small and medium size enterprises or local government infrastructure – are expected to expand their credit in 1996, and thereby help strengthen the recovery. In 1995, development banks' credit outstanding, the growth of which is subject to a ceiling set each year by the Ministry of Finance, declined by 1.4 per cent of GDP (after an increase of 4 per cent in 1994). The outturn was well below the 2.2 per cent growth ceiling set in the March stabilisation plan; the undershooting reflected reduced demand for credit as a result of high interest rates, over-indebtedness of enterprises and negative business expectations. The ceiling set for 1996 on development bank credit growth (45 billion pesos, about 2 per cent of projected GDP) allows a significant expansion of credit.[44] Demand for credit from development banks has been slow to recover, and this year again credit expansion by these banks is likely to remain under the stated ceiling, although it should be well above the 1995 outturn.

Future actions

Restrictions on acquisition of Mexican banks by foreign banks established in other NAFTA countries have been relaxed (except as regards the three largest Mexican banks – Banamex, Bancomer and Serfin – which cannot be purchased by NAFTA foreign banks). Limits of Mexican companies' shareholding in Mexican bank equity have been raised. A number of steps taken in 1996 to further improve bank supervision and regulation will be implemented over the coming period: moving to US GAAP will facilitate the evaluation of Mexican bank performance and improve comparability with foreign institutions. In addition to credit risk capital requirements already in place, capital adequacy standards for banks and brokerage houses have been set to cover market risk. Stronger requirement on bank disclosures should also contribute to a better assessment of risks and prospects. Finally, more information sharing among financial authorities, as intended, should allow joint surveillance by the Central Bank and the CNBV, which is appropriate.

Disengagement of the state from assisted banks (and from those in which the government owns a majority of the equity) is under way. Loans purchased by FOBAPROA via the capitalisation programme also have to be disposed of. This is to be done through a subsidiary company, the Valuation and Sales of Assets

(VVA) created in June 1996 for that purpose. It consists of a light administrative structure supported by external experts responsible for designing sales programmes, evaluating reference prices for asset sales, providing information to attract buyers and establishing rules for the sale. The VVA has started to prepare the sale of some restructured debts of SMEs considered viable, and that of several real estate assets. Full recovery of the banking system, is still some years away, yet the system is facing increasing international competition. In these circumstances, further rationalisation of the banking industry is required, along with better risk management and greater accountability of bank managers.

III. Implementing the OECD Jobs Strategy

Introduction

Over the past fifteen years or so, the Mexican economy has experienced fast labour force growth, rising employment rates and relatively low open unemployment despite poor economic growth. In 1981-94, GDP rose by 1½ per cent per year on average, while real wages fell – there was zero growth on average in the six years that followed the debt crisis, and when the economy recovered, average growth was still below 3 per cent. This is in sharp contrast to the previous two decades when GDP grew at an average annual rate of 6 per cent and real wages rose. Low open unemployment overall does not necessarily indicate a satisfactory labour market performance. As in many less industrialised countries, Mexican people are generally engaged in some remunerated activity. The fact that there is only a rudimentary safety net (and no unemployment insurance system) and the low income level of a large share of the population give people no other choice than to work. As a result, labour market problems in Mexico do not manifest themselves in high open unemployment rates as in most European countries of the OECD, rather they revolve around the nature of employment: uneven access to job opportunities, an increasing share of low-productivity, low-paid jobs, employment conditions that often do not favour human capital development and do not provide social security insurance are all worrying features.

Mexico's labour market can be thought of as a trisected market (although distinctions are not clear cut), where a formal and an informal sector in urban areas coexist with an agricultural sector. The urban informal economy and the rural sector have provided occupations when job opportunities in the modern sector became scarce. Labour market adjustment has been facilitated over time by large migration flows both to and from urban areas within Mexico and out of the country. Wages have tended to vary with the business cycle, and so has employment, but to a lesser extent, and this is reflected in pro-cyclical movements of

productivity. The smaller cyclical variability of employment is partly explained by the buffer role of the informal and rural sectors. The growing size of the informal sector in turn risks creating a vicious circle: as taxes, contributions and regulations are applied to a narrow base, they are higher than would otherwise be the case and this may induce even more evasion and some shifts of activity from the formal to the informal sector.

Beyond these distinctions, what predominate in Mexico are employment and income problems which are largely related to lagging development. Poverty is widespread and a significant share of the population, mainly in rural regions, lives in conditions of extreme poverty (OECD *Economic Survey*, 1995). The policy implications reach beyond the labour market *per se*. An appropriate strategy, as recognised by the authorities, should also embrace social and regional development and educational policies to meet basic needs. Beyond this, to increase workers' productivity, – hence living standards – and to meet competition from more advanced producers, skills and qualifications will need to be developed further; this means more training for low-skilled workers and creating new skills to adapt to new production processes and technologies, and facilitate adjustments to new patterns of demand.

This chapter follows up the *OECD Jobs Study* in a Mexican context. The first section describes the main features of the Mexican labour market, highlighting its strengths and weaknesses, with an emphasis on its capacity to adjust to the successive shocks (debt crisis and trade opening) that have characterised the past decade and a half. As Mexico joined the OECD only recently, it was not integrated in initial stages of the *Jobs Study*. Consequently this section is longer than is usually the case. The next section examines the policies and institutions that can affect the ability of Mexican labour markets to cope with structural change, highlighting features that may strengthen the entrepreneurial environment and labour force skills. This is followed by a review of recent reforms, while the final section assesses the scope for further action (Box 1).

Labour market and employment performance

Unemployment

Over the 1981-94 period, the unemployment rate was much lower in Mexico than in most other OECD countries; it has not ratcheted up from one economic

Box 1. **The OECD Jobs Strategy: synopsis of recommendations for Mexico**

The *OECD Jobs Study* set out a strategy based on nine recommendations for improving the ability of OECD economies to adjust and to adapt to a rapidly changing environment and increasing their capacity to innovate and be creative. It covered nine policy areas, among which the macroeconomic framework, and the creation and diffusion of technological know-how. With respect to labour and product markets, it identified the need for initiatives in the following areas: flexibility of employment and working time; wage and labour cost flexibility; the tax and transfer system; active labour market policies; labour force skills and competences; and the entrepreneurial climate.

Because labour market problems in Mexico are different from those in most other OECD countries, caution is needed when applying the OECD Jobs strategy. Several *Jobs Study* recommendations – improving labour force skills and competences, nurturing an entrepreneurial climate – are particularly relevant for Mexico, whose foremost challenge is to increase living standards in a durable manner for the bulk of its population, with special attention given to the poorest. The government in its National Development Plan for 1995-2000 recognises these needs and has indeed made some progress; but there is scope for further actions. Concerning the institutional setting, the fact that there is a large informal sector, where legislation and regulations are difficult to enforce, does not mean that the strategy is irrelevant. On the contrary, initiatives to deregulate the labour market and make the tax and transfer system more effective should help reduce some of the barriers that keep many activities in ''informality''. On the basis of the detailed review of labour market and employment performance, the chapter identifies the need for Mexico to move ahead in the following directions.

Upgrade labour force skills and competences

The government should continue to improve the quality of basic education, with a focus on reducing drop-out rates and repetition rates.

Targeted actions that provide incentives to the poorest for school attendance should be continued. A further development of programmes that combine the provision of basic education, health care and nutrition to disadvantaged groups would be beneficial for human capital formation. Upgrading school achievements in rural areas (particularly of females) would be the best way to reinforce the slowdown in population growth.

Programmes for raising basic literacy skills of adults and providing vocational adult education in the informal sector should be enhanced.

Building on recent reforms of basic education, more emphasis should be placed on short-cycle education with a vocational/technical slant.

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(continued)

Improve infrastructure and foster small enterprises dynamism

Economic and social infrastructure should be improved. This should be done with a regional development perspective, and in parallel to the on-going decentralisation of decision making and management.

The diffusion of technological know-hows should be promoted on a broad base (including lower-technology industries and agriculture). Simplification of bureaucratic requirements and rationalisation of regulations that weigh on SMEs and micro-enterprises should continue.

Increase the flexibility of employment

Although the labour market has demonstrated its flexibility in coping with changes, practices and regulations regarding hiring and firing will need to continue to evolve. Moving ahead with the easing of employment protection provisions should help reduce barriers to job creation in the formal sector, especially by small and medium-size firms.

While short-term contracts are recognised by the Law for specific tasks or jobs of a temporary nature, it would be appropriate to broaden the scope for such arrangements as this should help job creation in the formal sector, particularly in times of increased uncertainty. Temporary increases in demand might then be met by temporary contracts rather than overtime.

To facilitate job creation on long-term contracts, probationary periods should be allowed.

Reform the tax and transfer system

A radical reform of the housing scheme (INFONAVIT) is necessary, so as to minimise the perception of the housing contribution as a tax.

Various options should be considered eventually to introduce some kind of temporary income support (such as a self-financed insurance scheme) as and when job protection regulations are eased.

Modernise the collective bargaining framework

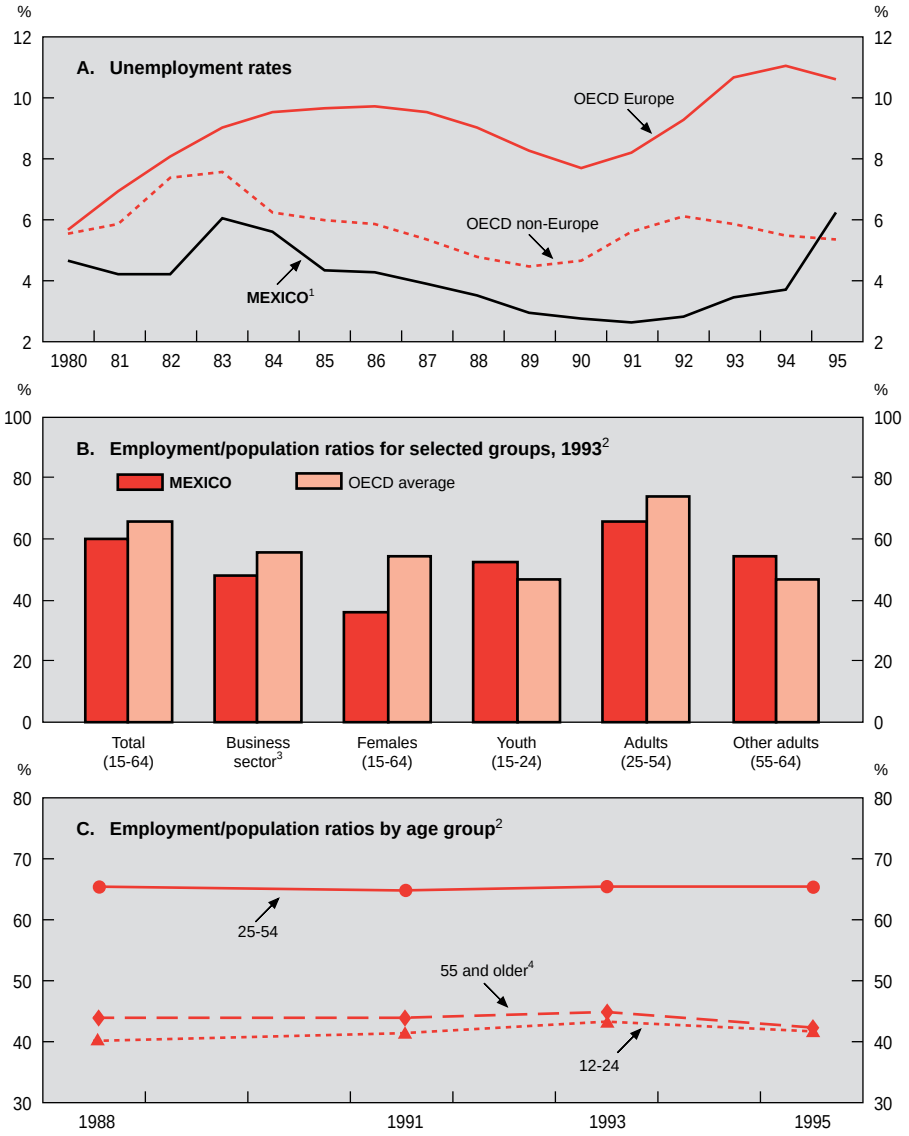
Review legal provisions on industry-wide agreements (*Contrato Ley*). Their scope has diminished; termination of those still in effect should be facilitated.

Consider revising legal clauses on closed shops (*Clausa de exclusión*) which link employers' hiring and firing decisions to union membership.

Initiatives that explicitly recognise the need to base wages on an individual's skills and competences are welcomed and should be promoted.

It would be appropriate to reconsider responsibilities of the Conciliation and Arbitration Boards (*Juntas*): efforts should be made to shorten the time required for proceedings.

Figure 15. **KEY FEATURES OF THE LABOUR MARKET**



1. Urban unemployment rate.
2. Total economy, as a percentage of each population group.
3. As per cent of population aged 12 years old and over for Mexico.
4. Including those aged 65 and over.

Source: OECD and INEGI.

downturn to another as in many European countries; rather it has returned to previous low levels after rising, as illustrated by developments in the early 1980s (Figure 15). The urban unemployment rate, the best indicator available on open unemployment, remained between 2 and 5 per cent during most of the period 1981-94. In two instances, following the crises of 1982 and 1994, the unemployment rate rose to a peak of around 7 per cent.

Two specific features explain the relatively low level of open unemployment in Mexico. First, the definition of unemployment adopted in the labour force survey is narrower than the standard ILO/OECD definition used in most other OECD countries. Adjusting the unemployment rate to a more standard definition would add 1 to 2 percentage points to the reported rate, but it would still be low by OECD standards (Box 2). Second, and perhaps more important, the lack of unemployment insurance combined with the very low income level of a large share of the population, is likely to limit the extent of open unemployment. This also attenuates the sensitivity of unemployment to economic cycles.

Several mechanisms have allowed the labour market to adjust:

- the urban informal sector plays a role of buffer, absorbing excess labour supply. Many Mexicans enter the informal economy as vendors or repair persons, at home, in markets, on the street, as workers (paid or unpaid) in micro-enterprises (Box 3); when activity slows down, their number increases;
- wage flexibility is high, both in the formal and informal sectors, allowing production costs to adjust during slowdowns, and thereby reducing the necessity to dismiss workers;
- emigration has been an outlet for a significant portion of the population, thus reducing demographic pressures on the labour supply;
- finally, the size of the urban labour force appears to be responsive to employment variations in the short-run, thereby cushioning the effects of shocks on open unemployment. A share of the rural population that moves to urban areas in periods of expansion may move back to rural areas when job opportunities fall (Annex Figure A1).[45]

In Mexico as in many less developed countries, the dichotomy between occupied and unoccupied labour force is not clear: among the overall population, some people work full time, others work significantly less, still others, because

Box 2. **Unemployment: definitions and measurement**[1]

Open unemployment

The National Survey of Urban Employment (ENEU) is the only available source providing time series for unemployment rates in Mexico.[2] In this survey, persons aged 12 years or more are considered to be employed if, in the reference week, they *i)* worked at least 1 hour for barter or money or were self-employed; *ii)* did some work as an unpaid family or non-family worker; *iii)* were temporarily absent from work due to illness, vacation, travel, personal reasons, or studies and were paid while on leave; or *iv)* did not work or receive pay but expected to start a new job or to return to work within the next four weeks.

This definition differs from the ILO/OECD standard definition in two main ways:

– persons expecting to start a new job within a month are classified as employed, whereas under the standard definition they would be considered as temporarily unemployed; and
– unpaid family workers working less than 15 hours or not at work during the reference period are also counted as employed.

Adjusting unemployment rates for these differences, using the urban component of the National Employment Survey, gives a rate 1.5 to 2 points above the reported rate (Table 13).

Table 13. **Unemployment rates adjusted to standard definition**

	1988	1991	1993
Reported	3.6	2.6	3.4
Adjusted	5.5	4.0	5.0

Source: INEGI and Fleck and Sorrentino (1994).

Alternative labour market indicators

Due to the specificity of the Mexican labour market compared to more developed countries, the national statistical institute (INEGI) has developed alternative labour

(continued on next page)

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market indicators, aiming at better evaluating the extent of underutilisation of labour. In addition to the openly unemployed, they consider various groups of the working age population, based on 3 main classes of criteria: job search, hours worked and income from labour.

The measure for underemployment used in the text is the one reported for other OECD countries in the OECD Job Study (1994) and is constructed using two of the many indicators developed by INEGI. It is the sum of *i)* open unemployment; *ii)* those waiting to start a new job or business within the month after the Survey; *iii)* the discouraged, *i.e.* those who are not looking but available for work; and *iv)* the part-time for economic reasons, *i.e.* those working less than the hours specified in their contracts due to economic difficulties facing their employers.

1. This box is based on Fleck and Sorrentino (1994).
2. There is another survey (the National Employment survey, ENE), covering both urban and rural areas but which has only been carried out triannually, then bianually, between 1988 and 1995.

their income is below subsistence level, need to find a second job and work very long hours in all (*OECD Jobs Study*, 1994). The OECD Secretariat estimate of urban underemployment for Mexico, defined to include discouraged workers and involuntarily unemployed workers in addition to the openly unemployed, is 3 to 4 points higher than open unemployment – although it remains significantly lower than underemployment measures for other OECD countries (Figure 16). However, this measure – subject to caveats when applied in any OECD country – may be even more imprecise in the case of Mexico. First, the Mexican labour survey does not provide data for involuntary part-time work as such; only people on short hours are recorded.[46] Second, many people who in other countries would be unemployed may still be working some hours (including longer or shorter than standard work weeks) during periods of weak economic activity. Under these conditions, even when open unemployment is low, an increase in labour demand is unlikely to create labour shortage and wage pressures.

In Mexico, as in other OECD countries, young people are more prone to unemployment than adult workers, their unemployment rates being two to three times higher than those for adults (Table 15). However, unlike the situation in

Box 3. **The informal sector**

Although most of the agricultural workers in Mexico operate without any formal contracts, informality as such is often associated with non-agricultural activities, and is seen as having emerged with urbanisation. As in many other developing countries, the development of the informal sector accelerated in Mexico in the 1980s, the formal sector having been unable to create enough jobs to absorb the strongly growing labour force in that decade of adjustment. Domestic services, retail trade and cleaning services, and to a lesser extent construction, have been the typical activities where informality has developed (Roubaud, 1994). Operating on a very small scale, informal units very often have no accounts and premises, produce low quality/low cost products and services, rarely comply either with the various registration obligations or the labour regulations, and are generally short-lived. They also very often rely on family ties for labour contracting.

Although not clear-cut in practice, the distinction between the informal and the formal sector rests mainly on two principles, that of free entry and the mode of production. It is much easier for job seekers to get work in the informal sector, and the mode of operation of productive units allows the use of labour in the most flexible way possible. It is the case for the self-employed, but also for small firms in which the owner hires a few workers. Production techniques are of low capital intensity and mostly of an artisanal type. The income level is generally lower in the informal sector, but, reflecting the contribution of capital – however low it can be – the diversity of occupations and the different degree of competition in the activity, earnings there are rather dispersed (with owners of small enterprises at the upper end and wage earners at the lower end of the distribution). Some in the informal sector earn more than formal sector workers.

The cost of public regulations (taxes, price controls, hiring and firing regulations, social security regulations) and the weight of administrative constraints (registration, licensing and other impediments to formal sector operation) have been factors favouring the development of the informal sector. However, the shortage of financial resources for start-up or development – informal workers have no access to bank and other traditional financing, and business are created from personal savings generally accumulated as wage earners in the formal sector – and the lower education level of informal sector workers (as evidenced by Roubaud, 1994 and Maloney, 1995) also constitute impediments to formalisation of activity.

The informal economy can be measured through a set of different criteria, such as working status, legal registration, compliance with labour and social security regulations, the size of the firm, or the income level of workers (Table 14). According to these measures, one-fifth to one-third of the urban labour force is working in the informal sector, a share which is increasing since the 1980s according to most indicators.

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Table 14. **Estimates of the size of the informal sector**

Percentage of total employment

	Population considered	Percentage
A. Owners, self-employed and unpaid workers[1]		
1979	Total	17.0
1983	’’	20.3
1988	’’	24.3
B. Workers in business unregistered with the Tax Bureau		
1987	Urban	26.4
1993	’’	20.3
C. Workers not insured with social security[1]		
1980	Total	44.6
1991	’’	44.5
1993	’’	47.5
D. Self-employed and workers in small firms[1] **(less than 5 workers)**		
1987	Urban	38.6
1993	’’	42.3
1995	’’	44.4

1. Non-agricultural activities.

Source: A) Rendon and Salas (1991), B) Hernández Licona (1996), C) and D) OECD Secretariat based on IMSS; INEGI, ECSO 1979, ENE 1988, 1991, 1993 and ENEU.

other OECD countries, the incidence of unemployment seems to increase with educational attainment: rates appear to be higher for people with some secondary education or an incomplete university degree than for those with only some primary education. As educational attainments are related to family income, this may reflect the fact that only those coming from well-off families can afford to be unemployed. Open unemployment is also higher in urban areas than in rural. It appears to be all the more so in a recession year like 1995, when the unemployment rate rose much more in urban areas than in rural ones.

The duration of unemployment tends to be short, compared with other OECD countries, with a lot of people going into and out of unemployment in a year. A significant proportion of unemployment spells ends by temporary withdrawal from the labour force.[47] In 1993, only a third of the urban unemployed

Figure 16. **MEASURES OF UNEMPLOYMENT AND UNDEREMPLOYMENT**

Urban areas, as a percentage of the labour force

Note: Involuntary part-time is defined as individuals working short-time for technical or market reasons.
1. Denominator includes discouraged workers along with the labour force.
Source: OECD based on INEGI data.

Table 15. **Unemployment rates**

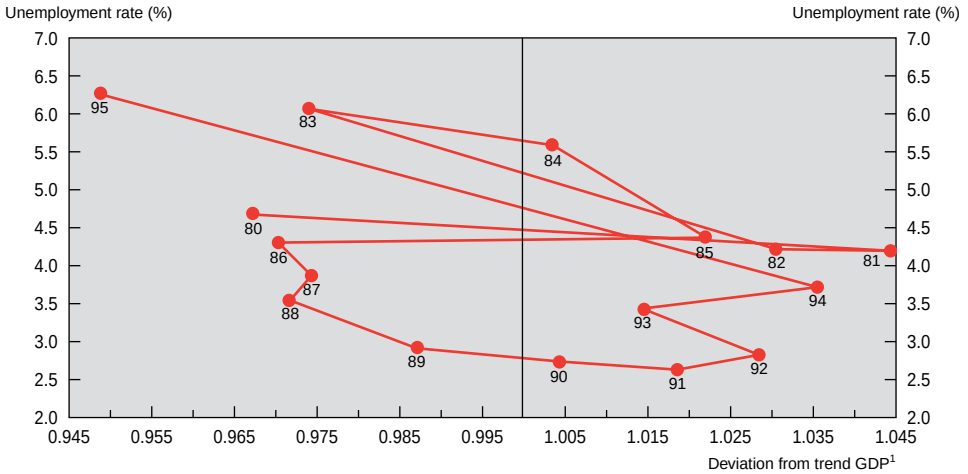
Percentage

	1979	1988	1991	1993	1995
A. National	**3.8**	**2.5**	**2.2**	**2.4**	**4.7**
Urban	. .	3.7	2.4	3.1	6.7
Rural	. .	1.4	2.1	1.8	3.0
Men	2.8	3.0	1.7	2.1	4.6
Women	5.0	5.0	3.4	3.1	5.0
Youth, 12-24	. .	4.4	3.9	4.1	7.6
Prime age, 25-54	. .	1.6	1.6	1.9	3.7
55 and over	. .	1.5	0.4	0.6	2.0
		1992	1993	1994	1995
B. Urban		**2.8**	**3.4**	**3.7**	**6.3**
Primary (not completed)		1.7	2.2	2.8	4.8
Lower secondary (completed or not)		3.7	4.3	4.4	7.4
Higher secondary and above		3.0	3.7	3.9	6.2

Source: INEGI, *Encuesta Continua sobre Ocupación* (ECSO) 1979 and ENE 1988, 1991, 1993, 1995.

Figure 17. **OKUN CURVE**

Urban unemployment and capacity utilisation



1. Derived from real non-farm GDP; Hodrick-Prescott filter, smoothing factor = 25.
Source: OECD.

were without work for more than 8 weeks, (while 44 per cent were unemployed for less than 4 weeks and 23 per cent for 4 to 8 weeks); these proportions changed little between 1987 and 1994.[48] At the start of the 1990s, 15 to 20 per cent of the labour force were experiencing at least one spell of unemployment in one year, with the mean duration of a completed spell being just below 6 months for men and above 7 months for women (Revenga and Riboud, 1993). A non-negligible proportion of the unemployed experienced longer spells of unemployment: 12 per cent of males and 22 per cent of females were unemployed for over one year, compared with about 6 per cent in total in the United States over the same period (1990-91). However, unlike the situation in many European countries, open unemployment in Mexico did not creep-up from one cycle to the other, suggesting that it is largely frictional and cyclical rather than structural (Figure 17).

The dynamics of labour supply

One of the distinctive features of the Mexican labour market is the very high rate of expansion of the labour force: at more than 4 per cent per year in

the 1970s and the 1980s, and still over 3 per cent in the early 1990s, labour force growth has surpassed that in all other OECD countries. This trend reflects the fast growth of working-age population, as well as unusually strong increases in participation rates since the early 1980s (Table 16). With the decline of fertility rates, population growth slowed to 2 per cent per year in 1980-90, working-age population representing an increasing share of the total. Contrary to what is observed in most other OECD countries, dependency rates are still falling in Mexico, a trend which is expected to continue at least until 2010.[49]

Table 16. **Determinants of labour force growth**

	Percentage changes, annual rates						Percentage points		
	Labour force			Working age population			Participation rates		
	1970s	1980s	1990s[1]	1970s	1980s	1990s[1]	1970s	1980s	1990s[1]
Aged 12 years and over									
Mexico	4.2	4.1[2]	3.3	3.9	2.7[2]	2.3	0.1	0.7[2]	0.5
Aged 15-64 years									
United States	2.6	1.6	1.0	1.7	0.9	0.9	0.8	0.5	–0.4
Canada	3.3	1.8	0.8	2.1	1.2	1.4	0.6	0.6	0.1
Greece	0.5	1.5	2.1	0.9	0.9	0.8	–0.2	0.3	0.1
Portugal	2.2	1.0	–1.9	1.5	0.5	0.4	0.5	0.4	–1.0
Spain	0.5	1.2	0.9	1.2	0.9	0.7	–0.4	0.2	0.0
Turkey	2.0	1.4	2.3	2.6	3.0	2.7	–0.4	–1.0	–0.6

1. 1991-95 for Mexico, 1990-95 for the United States and Canada, 1990-94 for the others.
2. 1980-91.

Source: OECD Secretariat calculations based on Gregory (1986); INEGI, ENE 1991, 1995; OECD *Labour Force Statistics*.

Participation rates rose by a strong 0.7 percentage point per year on average in the 1980s and again 0.5 point between 1991 and 1995, reflecting rising participation of both the female and, what is atypical in the OECD, male population. In addition to structural factors driving up female participation rates, the fall in real income pushed both female and male to support household income by seeking a second activity, when already working, or incorporating in the labour force. In a country where half of the population lives in conditions of poverty, the income effect deriving from the fall in real wages has prevailed over the substitution effect – *i.e.* the decrease in opportunity cost of leisure.[50] As a result, male participation rates rose in the 1980s, an outstanding exception in the OECD area.

Despite this upward trend, Mexican participation rates in 1993 were still among the lowest in the OECD area, comparable to those in Southern European countries (Table 17). This was entirely due to female participation rates which remained the lowest in the OECD after Turkey, while male participation rates were very high by OECD standards.

Table 17. **Participation rates in comparison**

Percentage

	Total	Men	Women
Mexico (aged 12 years and over)			
1979	45.5	71.3	21.5
1993	53.6	77.3	31.4
1993 (aged 15-64 years)			
Mexico	**61.4**	**86.9**	**37.5**
United States	76.9	84.9	69.1
Canada	71.8	78.3	65.3
Greece	60.9	79.0	44.0
Portugal	71.7	82.5	61.3
Spain	60.5	76.4	44.5
Turkey	56.2	78.6	33.2

Source: INEGI, ECSO 1979, ENE 1993 (adjusted by Fleck and Sorrentino, 1994); OECD *Labour Force Statistics*.

Migration

Overall, labour market adjustment has been facilitated by migration – both out to the United States and within Mexico, be it seasonal, temporary or permanent – which plays a major role in labour supply dynamics (Box 4). During the 1970s, 70 000 Mexicans were admitted each year on average as permanent immigrants to the United States; the number had increased to about 240 000 in 1981-93. As a result, the number of Mexican residents in the United States doubled between 1980 and 1990 to some 4.2 million, 5 per cent of the Mexican population at the time.[51] In 1992, based on survey data, 2.3 million people in Mexico (4 per cent of the working-age population, 7 per cent of the labour force) reported that they had migrated to the United States at least once in their life to find a job, the majority of which were male.[52]

Box 4. **Migration to the United States**

Emigration from Mexico to the United States dates back to the early 1900s, but its role in the adjustment of Mexican labour markets has increased over the past two decades. Most of the Mexican migrant population work in California, and in the three other border states (Arizona, New-Mexico and Texas). In addition, some of the Mexicans near the northern border commute abroad to earn a living; in the early 1990s, the number of cross-border workers was equivalent to some 2 per cent of the working-age population in the six Mexican border states (0.5 per cent of the total Mexican workforce).

The profile of Mexican migrants to the United States has evolved over time, reflecting changing conditions in both countries. Whereas most of them initially came from rural areas to work as seasonal labour in the US agricultural sector, they have increasingly originated from urban areas and are working in sectors such as services, construction and labour-intensive manufacturing, staying abroad for longer periods of time (Cornelius, 1992). The geographic origin of migrants has also diversified from the traditional emigration areas of the central-western and northern-western states (Jalisco, Michoacán, Guanajuato, Zacatecas, Durango and Chihuahua; Morelos, Hidalgo, Guerrero and Puebla) to the main cities, in particular Mexico city, and the surrounding rural states most affected by the crisis in the 1980s.

Migrants' remittances have become significant for Mexico: total inflow of migrants' remittances from the United States to Mexico amounted to some $3 billion in 1991.* Although balance-of-payment figures at the aggregate level do not represent a very high share of GDP compared to other OECD countries with strong emigration tradition, such as Portugal and Turkey, these remittances are of great importance to some particular regions. In 1991, about 70 per cent of the remittances were concentrated in Jalisco, Michoacán and Guanajuato and the Federal District (Carriles, Reyes, Vargas and Vera, 1991); in some regions, such as Jalisco and Zacatecas, their amount was far superior to the state government's annual tax revenue (Navarro, 1994). In rural communities with poor access to urban markets or unfavourable agricultural conditions remittances are mostly used for consumption purposes, but they seem to contribute significantly to investment in urban and the more developed rural areas, notably by financing small business creation, thereby boosting employment in these areas (Durand and Massey, 1992).

* Information drawn from the Prosa-Carnet Mexican banking consortium by Jaime Navarro (1994). This estimate should be considered as a floor.

Both push and pull factors have been at play. First, the wage differential between the two countries has widened, thereby increasing the benefits relative costs of migration for Mexicans. Second, the decline in real income experienced

in Mexico after 1982 strengthened the incentive to migrate to provide a diversification of income sources for household (*i.e.* the insurance value of migration increased). Third, when employment opportunities were deteriorating in Mexico, the demand for low-skill, low-paid labour was expanding significantly in labour intensive sectors in the United States. Finally, the establishment of migrant networks abroad has reduced the costs and risks associated with migration, by providing more accurate information about employment opportunities and direct assistance to new migrants.

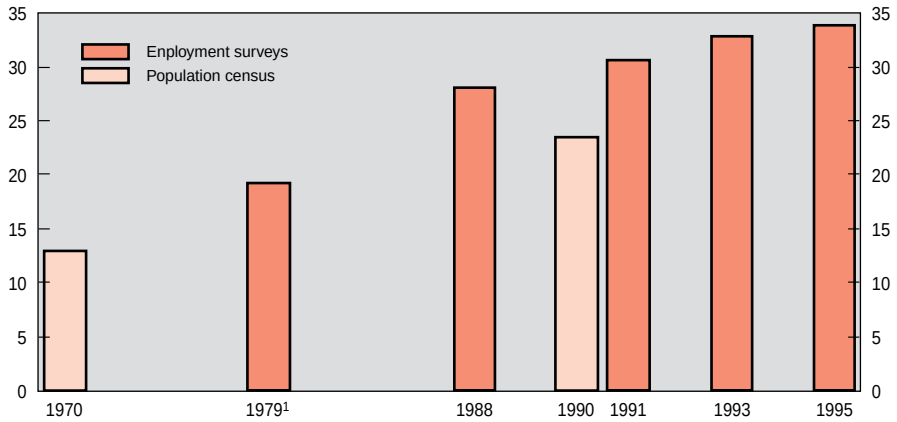
Internal migration for its part has facilitated the matching between labour demand and supply at the regional level. It has typically been headed towards the more dynamic regions and sectors. Before 1970, it consisted mainly of rural-urban flows, the most often to Mexico City, reflecting increased job opportunities associated with the country's centralisation. Since the start of the 1980s, rural-urban migration flows have slowed. They have also changed direction during the last two decades, turning toward the states along the northern border, where some of the most dynamic industrial centres (such as export-oriented firms) are located, as well as large agricultural farms in Baja California.[53] In recession periods, such as 1995, when labour markets worsen, flows towards urban centres tend to decrease.

Employment trends

According to survey data, employment grew at around 4 per cent per year on average between 1979 and 1988, and at 3.2 per cent between 1988 and 1993, rates comparable to the increase in the labour force (Figure 18). These broad trends however, do not capture the cyclical pattern following the debt crisis. Stagnation of dependent employment (measured by the national accounts) between 1982 and 1986, and a very slow recovery in the following years (1 per cent average growth) suggest that part of employment growth was in the informal sector.[54] During the early years of the adjustment phase following the debt crisis, low job creation in the private sector was partly compensated by still rapid growth of employment in the public sector – including public enterprises. However, this trend stopped because of intensified fiscal consolidation from 1987 onwards and the privatisation wave of the early 1990s, and public sector employment fell (Table 18).

Figure 18. **EMPLOYMENT**

Millions



1. Occupational survey, comparable to employment surveys.

Source: INEGI, Population census 1970 and 1990; ECSO 1979; ENE 1988, 1991, 1993 and 1995.

Table 18. **Employment in the public sector**

Percentage changes at annual rates

	Share of total employment 1993	1980-86	1986-90	1991	1992	1993
Total	**12.3**	**5.5**	**–0.4**	**0.1**	**–4.8**	**–0.6**
General government[1]	11.0	5.3	0.6	3.7	0.6	2.0
of which:						
Central government[1]	4.5	4.7	0.3	3.8	0.4	–41.3
Public enterprises	1.3	6.0	–3.7	–13.9	–30.2	–17.7
of which:						
Under budgetary control	0.9	7.6	–3.7	–8.7	–15.1	–15.1

1. Includes civil servants working in education and health sectors; the fall in employment in the central government recorded in 1993 reflects decentralisation of education services.

Source: INEGI, national accounts and ENE 1993.

Within this broad picture, the distinctive feature of the Mexican labour market – the contrast between a modern sector increasingly open to foreign competition and traditional informal activities largely in the non-tradeables sector – has become progressively more pronounced since 1982. Employment has

shifted from agriculture and manufacturing to services, and, within manufacturing, to the *maquiladora* industry. This sector of activity – with weak links (and few spill-over effects) with other manufacturing industry – has been the most dynamic component. Job creation in services occurred mainly in informal activities, with a predominance of self- or family employment, and employment has become more precarious.

Sectoral developments

In 1993, one-fourth of the employed population was still in primary activities, 15 per cent in manufacturing and nearly a half in services, of which informal activities constituted a rising share (Table 19). Employment in the manufacturing sector never exceeded 20 per cent of the workforce in Mexico (recorded at around 1980, when the sector's share in GDP was also about 20 per cent). It started to decline even when it was still relatively low in comparison with most other OECD countries. In most of the more industrialised OECD countries, it had reached much higher levels before the tertiarisation of employment started.[55] The manufacturing sector was severely affected by the contraction of activity that followed the 1982 debt crisis, and since the mid 1980s, as a result of deep structural change, it has become less important a source of employment creation (Figure 19, Panel A).

Across-the-board trade liberalisation was undertaken in the second half of the 1980s, making Mexico a very open economy in less than four years.[56] This started a far-reaching process of restructuring in the manufacturing sector. With better price signals, increased competition induced firms to use production factors more efficiently, shifting employment both between and within sectors. After collapsing in 1981-82, investment started to increase again, its growth accompanied by an increase in employment, a sign of ongoing capacity extension. After 1992, however, the opening of the economy and the progressive appreciation of the real exchange rate intensified pressures on the tradeables sector. Modernisation and rationalisation investment became predominant, and employment fell. The *maquiladora* sector, entirely oriented towards exports, stood apart.[57] Leaving this sector aside, employment declined most in the branches where there was a large scope for strong productivity gains through technological changes and rationalisation of production – like basic metals (Annex Table A1).[58] Branches such as textiles and wood products also suffered job losses, because of the inability to compete, both on foreign and domestic markets.

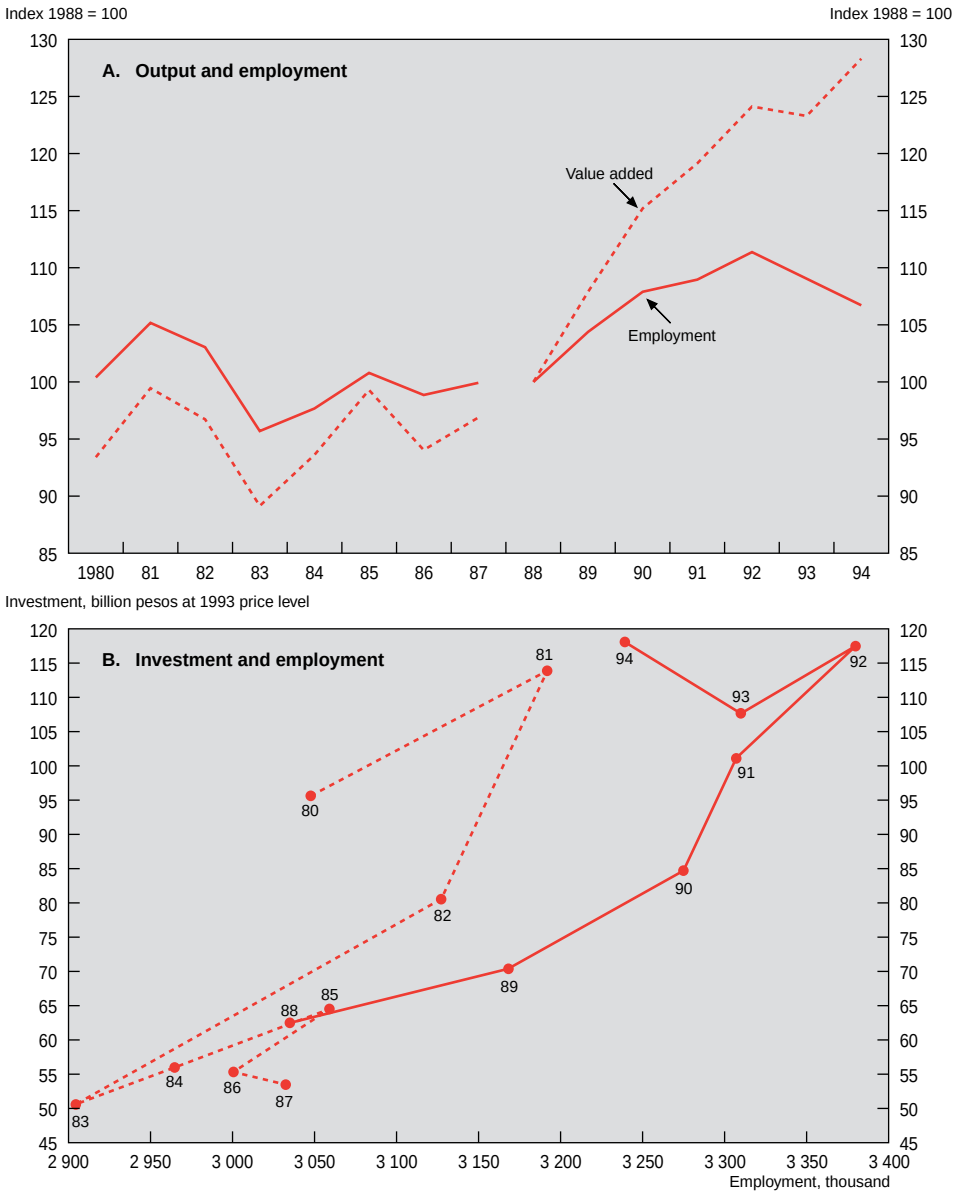
Table 19. **Employment by sector**

Percentage of total employment

	Mexico				United States	Canada	Greece	Portugal	Spain	Turkey
	1960	1970	1979	1993	1993					
Agriculture, forestry, fishing	54.2	39.4	28.9	26.9	2.7	4.4	21.3	11.3	10.1	44.9
Mining and quarrying	1.2	1.4	1.0	0.5	0.6	1.2	0.5	0.5	0.5	0.7
Manufacturing	13.7	16.7	19.5	15.5	16.4	14.5	15.6	23.8	20.3	14.4
Construction	3.6	4.4	6.4	5.7	6.1	5.3	7.0	8.1	9.2	6.1
Wholesale and retail trade, restaurants, hotels	9.5	9.2	13.8	17.1	22.0	23.5	21.3	19.4	21.0	12.5
Transport, storage and communication	3.1	2.8	3.3	4.1	5.4	6.2	6.7	4.7	5.9	4.8
Services	13.5	19.8	25.9	29.1	45.8	43.7	26.5	31.5	32.2	16.1
of which:										
Public administration	..	3.1	..	3.9	15.6	21.7	10.0	17.1	14.5	8.1
Financing, insurance, real estate and business services	..	..	..	6.1	10.8	11.8	5.9	6.9	6.5	2.3

Source: INEGI, Census 1960, ECSO 1979, ENE 1993; OECD, *Labour Force Statistics* and *National Accounts*.

Figure 19. **MANUFACTURING EMPLOYMENT, OUTPUT AND INVESTMENT**



Source: OECD, Based on national accounts at 1993 constant prices for 1988-94; 1980 constant prices for 1980-87.

Faced with depressed domestic demand and the elimination of border protection, Mexican industry reoriented itself towards external markets. Since 1987, most jobs have been created in exporting firms, but more particularly in the *maquiladora* industry. which accounted for more than 20 per cent of manufacturing employment in 1993.[59] The nature of *maquila* work has evolved over time: while textile used to be the main activity, more recently, fabricated metal products, machinery and equipment (mainly car production and electric and electronic materials) have become the most dynamic branches, in terms of both production and employment. Contrary to other sectors, where technological investment has been low, these sectors have been implementing significant technological upgrading. From assembly activities using unskilled labour (mostly women) at low wages and with a high turnover, *maquiladoras* have increasingly turned towards higher-technology activities requiring more highly-skilled labour. Accordingly, more and more men are employed in this sector although female workers remain predominant. The dynamism of the *maquiladora* industry has been thought of as having little spillover effect in terms of job creation in other firms. As most inputs are imported (98 per cent in 1988), the degree of integration with the rest of the productive system is low. Increased sub-contracting by *maquiladoras* – as may be encouraged after 1995 by the lower exchange rate – would stimulate employment creation.

In the last decade or so, the service sector absorbed most new entrants into the labour market, as well as workers dismissed from other sectors, accounting for a growing share of the workforce. This trend, which had already started in the 1970s, became more pronounced after the recession of the early 1980s. Between 1991 and 1993, 89 per cent of the jobs created were in the tertiary sector (half of them in trade and half in other services). Increasingly, jobs created in the tertiary sector have been in informal activities with a predominance of self- or family employment. This is reflected in diverging productivity trends in the service sector: on the one hand, activities linked to the opening and the modernisation of the economy (commerce and hotel, transport and communication) experienced labour productivity gains in the late 1980s; on the other hand, other categories of services recorded declining labour productivity, so that overall, service sector productivity stagnated in 1984-89 (World Bank, 1994).

Agricultural employment has been shrinking, although at a lower pace since 1980. Even so, at more than 25 per cent, the share of primary activities in total employment still remains one of the highest in the OECD, after Turkey and

Greece. It is also rather high in comparison to the sector's share in total GDP – which dropped from 19 per cent in 1980 to 7 per cent in 1994 –, suggesting that the sector absorbs a large part of excess labour supply.[60] Since 1980, agricultural value added has grown on average by less than 1 per cent per year, while the workforce grew 3 per cent per year. As in many less industrialised countries, falling productivity and earnings in the sector largely reflects work sharing on family farms to compensate for lower employment opportunities in urban areas (Turnham, 1993). The agricultural sector, however, is made up of different components, ranging from large commercial farming (about one out of every ten agricultural workers), to subsistence production (one-third of the agricultural labour force, mainly concentrated in the central and southern regions).[61]

The nature of employment

Along with the expansion of the service sector, the growth in the number of non-salaried workers has accelerated and the nature of employment has changed (Table 20). By 1993, the share of self-employment had risen to about 30 per cent of total employment, the second highest ratio in the OECD area after Greece (and just before Turkey) (Figure 20). Unpaid family work had also increased, occupying around 13 per cent of the workforce in the early 1990s.

With the growing share of non-wage employment, the development of informal activities, and a rising proportion of small- and micro-enterprises, the nature of employment changed, with more jobs of uncertain duration and providing no access to benefits. During the 1988-93 recovery, the average size of firms went down from five to four persons in the non-farm sector of the economy, a movement associated with the faster expansion of the service sector than manufacturing activities.[62] This has contributed to maintaining social security coverage at a very low level overall. The extent of affiliation with social security is much larger among salaried workers than for the self-employed (almost two-thirds of employees were paying contributions in 1991); evasion, however, is pervasive in smaller enterprises, even for salaried workers.[63] In 1993, only a third of total employment contributed to the public social security system (IMSS, ISSSTE, PEMEX, etc.), close to the share of 1979.[64] This proportion is much lower in rural than in urban areas (18 per cent in the less urbanised zones against 50 per cent in the more urbanised ones in 1993). Taking the total number of workers insured by the Social Security Institute (IMSS) as a proxy for employment in the formal sector, net job creation appears to have been almost nil in that sector in the later part of the 1980s and early 1990s.

Table 20. **Employment by professional status**

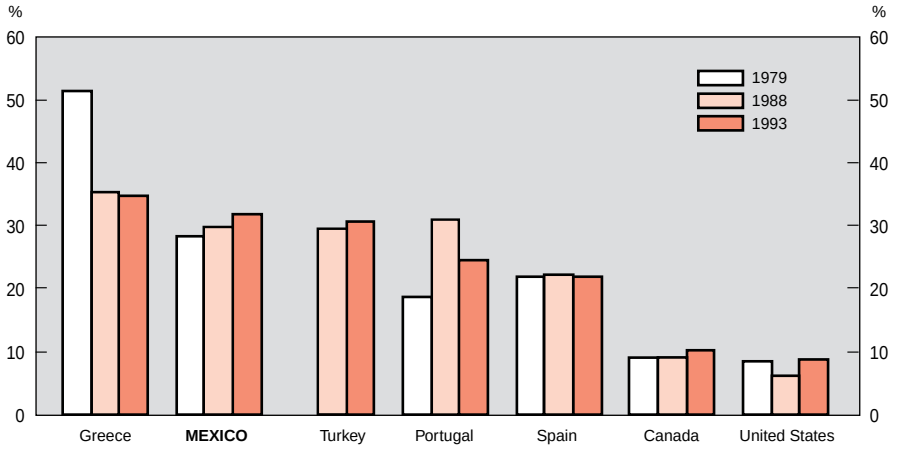
Percentage of total employment

	Wage earners	Employers and persons working for their own account	Unpaid family workers total
Mexico			
1960	60.4	34.6	5.0
1979	62.9	28.8	8.2
1991	56.7	32.5	13.0
1993	56.9	31.7	13.9
1995	57.3	29.6	13.0
1993			
United	91.1	8.7	0.3
Canada	89.1	10.3	0.6
Greece	52.3	42.6	5.1
Portugal	73.6	24.6	1.9
Spain	74.0	16.7	9.2
Turkey	40.1	30.7	29.2

Source: INEGI, Census 1960, ECSO 1979, ENE 1991, 1993, 1995; OECD *Labour Force Statistics.*

Figure 20. **SELF-EMPLOYMENT IN COMPARISON**

As a percentage of total employment



Source: OECD, *Labour Force Statistics;* INEGI, Encuesta Continua Sobre Ocupación 1979, Encuesta Nacional de Empleo 1988 and 1993.

In the formal sector of the economy, atypical forms of employment have developed, but the process has been uneven.[65] In the manufacturing sector, part-time work appears to be rare, representing less than 0.5 per cent of its employment in 1992. Temporary work (*i.e.* fixed term contracts), on the other hand, seems to be used increasingly since the start of the 1980s; at the beginning of the 1990s, 12 per cent of the manufacturing workers were on short-term contracts. This puts Mexico in a middle position among OECD countries, below Greece, Portugal and Spain (as well as Australia), but above most other European countries.[66] The lack of statistical information does not allow a precise evaluation of atypical forms of work in the formal service sector. According to the survey of employment in urban areas, which covers services as well as manufacturing – in both formal and informal sectors – it appears that the share of part-time work in total employment is not negligible: 24 per cent of the urban labour force was working less than 35 hours in 1993-94 (and 4 per cent less than 15 hours). As well, a significant share of the labour force was working much more than a standard 48 hours work week (25 per cent) – the share increasing over recent years.[67]

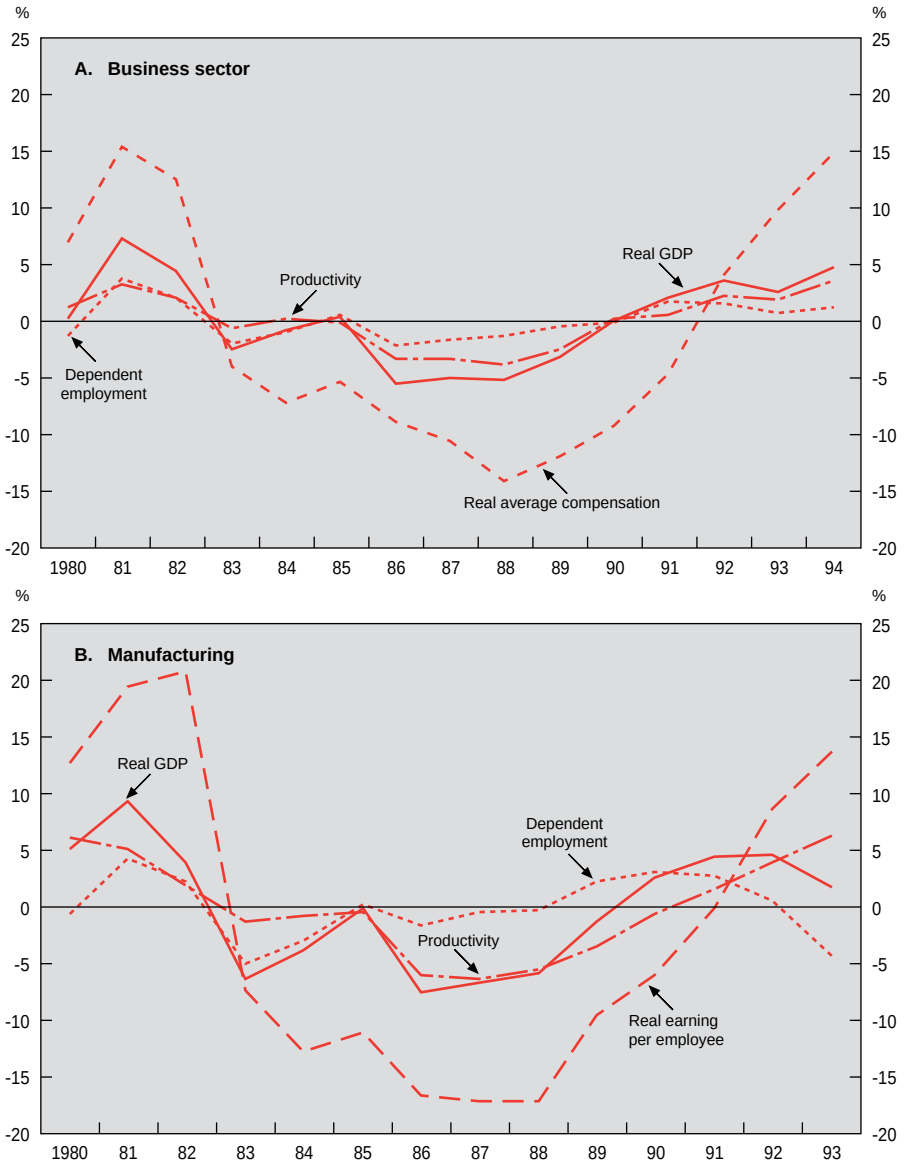
Wage trends

Unlike in many OECD countries, wages in Mexico respond flexibly to cyclical conditions (Figure 21). Real wages adjusted sharply after the debt crisis. Overall, real wages (proxied by average compensation per employee deflated by the CPI) fell by a cumulative 40 per cent between 1981 and 1988, while the average real wage of employees insured in the IMSS lost 54 per cent of its value over the same period (Figure 22).[68] Although they increased from 1989 onwards, five years later, in 1993 they were still well below their 1981 level. Fluctuations of the IMSS wage rate have been more pronounced than for average compensation – a pattern observed for the total economy as well as in the manufacturing sector –, which suggests that the formal sector has been at least as flexible as the informal sector regarding wage adjustment.

Wage differentials between groups of workers, which to some extent resulted from past import substitution policy, were substantially reduced after trade liberalisation (Table 21). Wages in the tradeables sector, some segments of which were highly protected, have converged towards non-tradeables wages, and, in the manufacturing sector alone, differentials between inward-oriented and

Figure 21. **PATTERNS OF LABOUR MARKET ADJUSTMENT**

Deviations from trend[1]

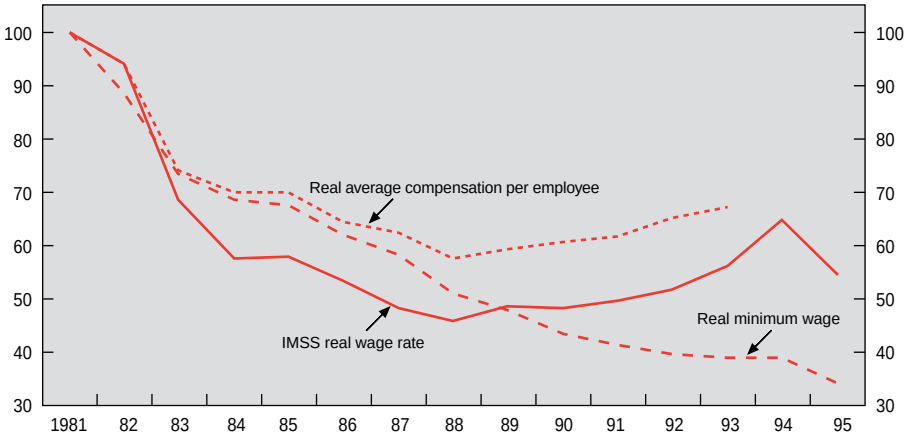


1. Hodrick-Prescott filter, smoothing factor = 1 600.

Source: OECD, *National Accounts and MEI;* INEGI.

Figure 22. **TRENDS IN REAL WAGES**

1981 = 100



Source: OECD, *National Accounts;* IMSS and Comisión de Salarios Minimos.

Table 21. **Wage differentials among groups of workers**

Percentage

	1984	1989	1992
Non-tradeables/tradeables[1]	85.8	97.3	107.7
Inward/outward-oriented manufacturing[2]	69.1	83.3	82.7
Non-unionised/unionised	75.1	86.1	96.8
Non-border states/border states[3]	93.8	79.1	95.2
Rural/urban	55.6	45.6	55.1
Female/male	76.7	71.6	74.7
Poorest states/other states[4]	91.8	82.2	86.5

Note: All pair comparisons except for urban and rural workers are calculated for urban wage earners only.

1. The tradeable-goods sector includes mining and manufacturing activities, while the non-tradeable sector includes utilities, construction, commerce, transportation and communication.
2. Outward sectors are those which export an above-average percentage of their total production. They include chemicals, basic metals, metallic products, machinery and equipment.
3. Border states include the five states along the US border: Baja California Norte, Sonora, Chihuahua, Coahuila and Tamaulipas.
4. Poorest states are the states of Oaxaca, Guerrero, Chiapas and Hidalgo.

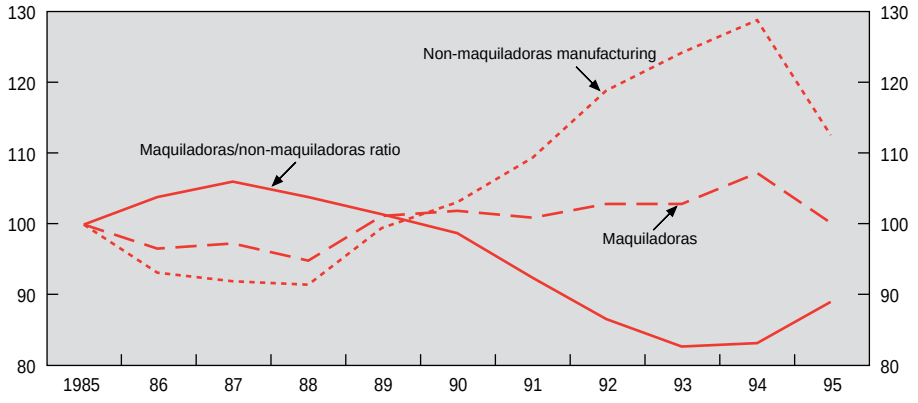
Source: Alarcón and McKinley (1995), based on data from the *National Surveys of Income and Expenditures of Households*.

exporting firms narrowed. At the same time, union/non-union wage differential diminished continuously between 1984 and 1992, perhaps reflecting the weakening of union influence, and the gap is now almost closed. By contrast, wage differentials according to geographical location and gender, as well as between *maquiladoras* and non-*maquiladoras*, have persisted or even widened. Part of these differentials relates to differences in human capital endowment, the most obvious example being the rural-urban differential (Alarcón and McKinley, 1995). In the case of *maquiladoras*/non-*maquiladoras*, wage differentials are large.[69] In part, the gap results from the specificity of *maquiladoras* jobs – typically less skilled and experienced, mostly female, and subject to a higher turnover than in other industries, although these differences are not as marked as they used to be. The widening of the wage differential between 1989 and 1993, probably reflects the real appreciation of the peso, which led these firms (their output prices being set in dollar) to cut their wage costs (Figure 23).

Skilled-unskilled wage differentials seem to have increased. Within each group of workers (categorised by sector, gender, geographical location, etc.) those with a higher level of education have received increasingly higher wages,

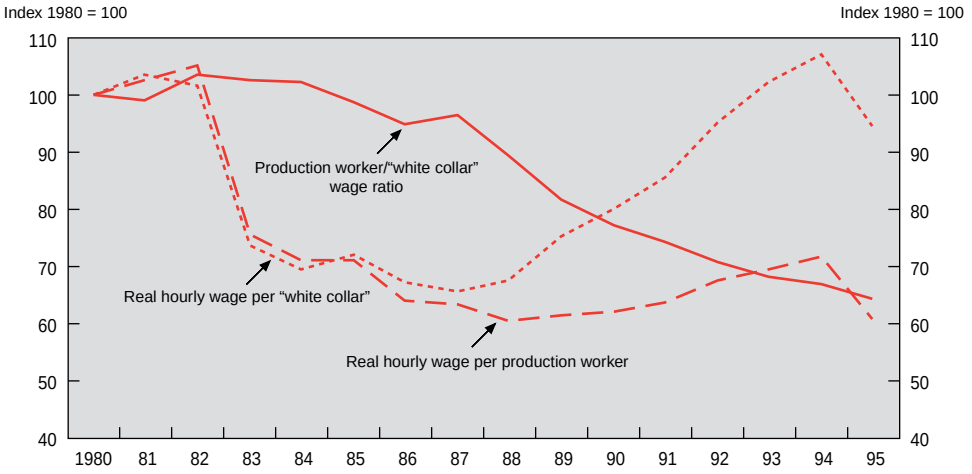
Figure 23. **TRENDS IN MAQUILADORAS/NON-MAQUILADORAS REAL WAGES**

1985 = 100



Source: OECD Secretariat calculations based on INEGI, Encuesta Industrial Mensual, Estadísticas de la Industria Maquiladora de Exportación.

Figure 24. **TRENDS IN SKILLED – UNSKILLED REAL WAGES**
Manufacturing sector



Source: INEGI, Encuesta Industrial Mensual.

so that wage dispersion widened (Alarcón and McKinley, 1995). The same pattern can be observed in manufacturing where wages of production workers have progressively slipped from those of ''white-collar'' workers since 1985 (Figure 24). Low-skilled workers did not recuperate real wage losses accumulated in the early 1980s, while higher-skilled workers did. At least until 1990, this does not seem to result from a shift of employment toward industries intensive in skilled labour, but rather from an increasing share of foreign-owned and exporting firms (within each industry), which pay higher premia than other firms to skilled labour (Hanson and Harrison, 1995).[70]

Policy requirements

The Mexican labour market has shown a significant capacity to adjust to shocks without generating high open unemployment. Important wage and employment adjustments have taken place, and overall there has been a strong capacity of the economy to generate jobs. But most job creation has been in the

informal sector, which represented already a substantial share of employment at the start of the 1980s and has expanded since. With trade liberalisation, the manufacturing sector has undergone a deep process of restructuring, employment shifting to the more productive firms, often exporting ones. However, the opening of the economy combined with an appreciating real exchange rate have not allowed the formal sector as a whole to create enough jobs to absorb an exceptionally dynamic labour force. Despite the good performance of some enterprises, there were few spillover effects in terms of job creation, reflecting the small degree of integration of these firms with the rest of the economy – and in particular the high dependency on imported inputs of many of them, notably *maquiladoras.* As a result, employment created has often been in low-productivity and low-paid jobs, with little or no access to benefits (and often no social security insurance).

This labour market performance would suggest a relatively large degree of flexibility in comparison with many other OECD countries. As discussed below, it does not come from an explicit form of regulatory flexibility, but rather has been achieved *de facto* through the growth of the informal sector, the expansion of employment in small enterprises, increased part-time work, and has been facilitated by aggregate wage flexibility.[71] A key question is whether or not labour market institutions are adapted to the increasingly competitive environment and meet the greater need for labour reallocation; the existence of an adequate safety net is also an important concern as it reduces the cost of adjustments. But for output and employment to actually increase, more than an adequate set of incentives is required; finance for investment, improved physical infrastructure and human capital are key conditions for development.

Enhancing the ability to adjust and to adapt

The wage-formation system

The wage bargaining system in the formal sector has allowed wage flexibility, both at the aggregate level – with wages reflecting overall macroeconomic conditions and at the regional and plant level, where they have been responsive to local conditions – and to firms' capacity to pay. After 1987, wage bargaining has taken place in the context of the *Pacto* – a tripartite agreement involving the government and representatives of business and workers from all sectors – which included negotiated increases in key prices (in particular those of goods and

services provided by the public sector). In conjunction with restrictive macroeconomic policies, such centralised co-ordination – facilitated by the historical link between the major trade union and the governing party – has helped the disinflation process. Bargaining became forward-looking: wages would be aligned with the inflation target, which in a period of disinflation was always lower than actual average inflation.[72] One of the general criticism against nation-wide bargaining arrangements is that they may not allow changes in relative demand for, and supply of, workers (by skill, experience or geographical location) to be reflected in wage differentials. In response to this concern, there has been increasing decentralisation within the *Pacto* framework. A productivity bonus decided at the plant level has been included in the *Pacto* provisions for private wage settlements, starting in October 1993.[73] Going still further, the *Pacto* signed in October 1995 did not set any provision on private wage settlements for 1996; only minimum wage increases were included in the agreement.

Collective bargaining is normally conducted at the firm level, although the law allows negotiations at the branch level. Only a trade union (the one representing the majority of workers in the establishment) can sign a collective agreement, which then covers all employees in the establishment. The agreements are subject to revision every year with regard to wages, every two years for other working conditions. The parties to the negotiations determine whether the agreement is to be applied to a single plant or to be extended to all the plants of the firm; the decision is included in the collective agreement. Labour disputes can be resolved by direct settlements between parties, by conciliation, and if this fails, by the Courts. The conciliation and arbitration boards (*Juntas de Conciliación y Arbitraje*, consisting of representatives of labour, management and the government) have jurisdiction regarding both individual and collective conflicts; uncertainties concerning the delay before a decision is reached can be costly for social partners, so that parties tend to reach an agreement directly.

Enterprise agreements or multi-employer collective contracts can be extended to third parties: if two-thirds of unionised workers within a branch in a given geographic area are covered by an agreement, it becomes a law – (*contrato-ley* or ''law-contract'') – mandatory for the whole branch, including establishments that did not sign it. Typically, ''law-contracts'' were in force in highly unionised industries, such as textile industries and sugar; currently, there are seven industries under such agreements, employing just under

100 000 workers.[74] There is always a risk that agreements reached among workers and employers of bigger firms in one branch place an undue burden on smaller firms. However, agreements have tended to provide a floor, while more generous provisions were negotiated at the plant level.

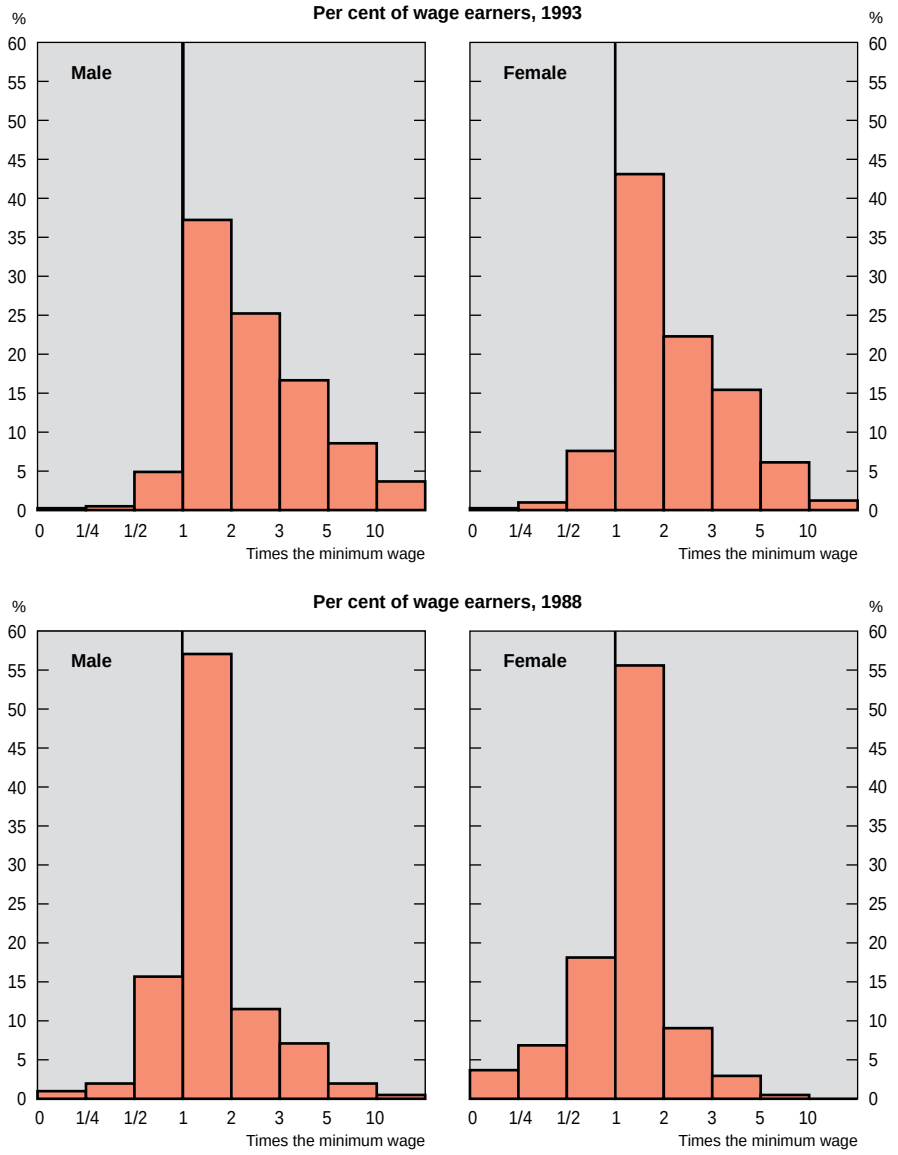
Wage setting and employment practices in the government sector are defined in a specific section of the General Constitution and they are ruled by a distinct law; but public enterprises and several public entities, such as public universities and the National Social Security institution IMSS are under the same rules as private enterprises. The right to strike is established for all workers alike, except for those of the Federal public administration employed abroad.

There is a legal minimum wage, with three different levels according to the region, and there is no reduced level for youth. It was used as a benchmark for all indexation until around the mid-1980s, and fell in real terms like average wages. From 1987 onwards, increases in the minimum wage have been set each year in the *Pacto* framework. Since then, in real terms, while average wages started to increase, the minimum wage continued to fall. By 1994, the real minimum wage was 60 per cent below its 1981 level and amounted to less than 30 per cent of the average IMSS wage.[75] The share of wage earners whose income was less than one minimum wage fell from 22 per cent in 1988 to about 6 per cent in 1993 in urban areas (Figure 25).

The institutional set-up does not appear to have given employees much market power to raise wages in the aggregate, or for particular groups.[76] Labour relations in Mexico have long been characterised by the predominance of one union confederation, the Labour Congress, which groups several national unions and union confederations.[77] Today, the official union structure is still predominant, its influence being facilitated by certain provisions of the labour law or its interpretation. However, there are signs that the situation is changing. While the labour law has remained unchanged, industrial relations have evolved, adapting to the needs of industry in several sectors, with increasingly flexible arrangements and contracts that facilitate mobility. A recent agreement between labour and business sets principles to move more formally in that direction (see section below). But until now the process has been rather *ad hoc*, leaving some scope for very restrictive practices to continue. The power of unions is unlikely to have depressed employment in the formal sector by raising wages above market clearing levels; rather they seem to have favoured preserving employment, as

Figure 25. **WAGE DISTRIBUTION**

Urban areas (more than 100 000 inhabitants)



Source: INEGI, Encuesta Nacional de Empleo, 1988 and 1993.

reflected in the *Pacto* agreements described above and in the relatively low union-wage premia.[78] Possible problems rather may come from the following features: the important role of unions in hiring decisions in some firms; above all, the fact that some provisions of the law, closed-shop clauses in particular, which still prevail in older collective agreements can be applied to favour the official union (Box 5).

Increasing the flexibility of employment and working time

Mexican legislation on employment protection is relatively stringent compared with other OECD countries. Employment stability is a principle of the law and short-term contracts are allowed only for specific tasks and jobs of temporary nature (Box 6). The current severance payments system – a part of which in several instances is linked to seniority and not capped – tends to hinder mobility, influencing both employees' and employers' behaviour. Some degree of stringency in the legislation – regarding both the termination of contracts and the associated severance payments – can be justified by the need to provide some security in an economy where there is no established unemployment insurance. In some way, it may have been beneficial by making structural adjustment politically feasible (Paredes, 1993).[79] However, at the same time, in a period of increased competition from abroad that requires adjustments, and hence mobility, the system is often viewed at the firm level as a financial burden involving long legal processes and negotiations. The law provides for a certain number of situations in which collective dismissals are possible, such as in the case of modernisation – a clause frequently used in the 1980s to dismiss an entire staff, close a plant and re-open it with workers hired on different terms. In this case the firm may be liable to pay relatively high severance payments. High payments are also due in case of individual dismissal for unjustified reasons (including ''economic'' reasons). Administrative processes needed to put in practice legal requirements are costly for enterprises, and the application of decisions takes time. Hence, employers often prefer to deal directly with unions (or individual workers), and flexibility provisions included in the law are rarely used (STPS, 1993). Such transaction costs, which are proportionately higher for small firms, may act as an incentive to evade regulations. Also, the fact that firms become liable for severance payments at a time when they tend to be in a poor financial situation may induce circumventing the law so that the effectiveness of the regulation itself is somewhat reduced.

Box 5. **Unionisation: regulations and practices**

The Federal Labour Law (LFT), established in 1931 and revised in 1970, regulates union activities. Freedom of association is clearly established in the Constitution and the LFT (Article 354). Workers can form unions at the enterprise or sectoral level, or across industries nation-wide. Unionisation is not compulsory. A minimum of 20 workers is required to establish a union at the enterprise level (Article 364). There can be more than one union per firm, but in practice – notably in small and medium-sized firms – there is often one union only or none at all for the smallest. The category of *trabajadores de confianza* is not explicitly forbidden to form their own unions, but it is not allowed to be part of the union formed by the rest of the workers, and they are not covered by the collective agreements negotiated by the rest of the workers. In the case of government agencies, only one union can be established.

Unionisation is high in medium-sized and large firms in both the private and public sectors. In the early 1980s, the membership coverage was above 40 per cent in several manufacturing sectors, such as cement, textiles and rubber, and well above 50 per cent of employment in public enterprises of sugar, petroleum, railroads, telephones and electricity.

Potential problems that may emerge from implementation of the Law are the following:

i) closed-shop arrangements are legal in collective agreements: A collective agreement can include an ''exclusion clause'' whereby the employer in priority has to hire workers who belong to the union that has collective bargaining power, if they meet the job requirements.* If no unionised worker fulfils the job requirements, the person hired will have to join the union. The employer has to fire a worker who has been expelled from the union;

ii) the Conciliation and Arbitration Boards have discretionary power to decide whether a strike is legal or not. If the Board declares a strike non-existent, strikers must return to work within a day or else face dismissal.

Because these clauses can be used to slow work, firms with a union often negotiate with it the composition of their workforce to avoid conflicts. Increasingly, employers have also encouraged the formation of so-called ''white unions'' (''non-combative'' unions) at the firm level. Collective agreements signed by the employer and the union may stipulate which functions or occupations can be filled by temporary workers or *trabajadores de confianza.* This last category represents a significant and rising share of employment, evidence of the increasing willingness of unions to collaborate.

* The clause does not apply to workers hired prior to the conclusion of the collective agreement.

Box 6. **Employment protection legislation***

Hiring and firing rules

The Mexican law distinguishes between permanent and fixed-term contracts.

Permanent contracts

The law regulates dismissals at the collective and individual levels. In both cases, employees are entitled to severance payments.

Collective dismissals: The LFT provides for the collective suspension of labour relations established by a collective agreement or a labour contract or their total or partial termination. The procedure applies when problems affecting the employer make it impossible to continue to operate the enterprise, temporarily or indefinitely. These problems include: *force majeure* (*e.g.* natural disasters), disability or death of the employer, lack of raw material, excess production relative to economic conditions, etc. In these cases, prior approval by the *Junta* is required. Severance payments for termination of contract comprise a lump sum equivalent to 3 months' wages, plus a seniority premium of 12 days of salary per year of service rendered with a ceiling of two minimum wages. Collective reduction of the workforce is also allowed in cases of modernisation of production (introduction of new machinery or technological processes). If no joint labour-management agreement can be found, the employer must also obtain a prior authorisation from the *Junta.* In this case, workers will receive a compensation equivalent to 4 months' wages, plus 20 days' wages for every year of service in addition to the seniority premium defined above.

Individual dismissals: In the case of dismissal without ''just cause'', the employer has to pay severance payments equivalent to 3 months' pay, plus 20 days' salary per year of service in addition to the seniority premium defined above to workers with more than 15 years of service. The above constitutes the minimum legal requirements; collective agreements can stipulate additional severance payments. Moreover, the worker should receive wages for the period between separation and reception of compensations. Redundancy or low productivity are not legal grounds to dismiss workers. Only if the employer can demonstrate the worker's lack of integrity or that his actions were prejudicial to the firm's interests can he dismiss a worker by ''just cause''. Then the severance payment is reduced to 3 months' salary. The employer has to notify the worker in writing of the causes for dismissal, but there is no minimum notice period. Laid-off workers can ask to be reinstated by filing a case with the Conciliation Board (with or without the support of the union according to his wishes), thus starting a legal procedure of an uncertain

* This box is based mainly on de Buen *et al.* (1991) and STPS (1993).

(continued on next page)

(continued)

duration. The *trabajadores de confianza* (workers in a position of trust) are covered by the Law under the modality of individual contracts but are subject to certain limitations: these workers who carry out management, monitoring, oversight and auditing functions in an enterprise, or personal work for the employer or his representatives (as private secretaries, chauffeurs, messengers, etc.) may be dismissed due to loss of trust by the employer (based on objective reasons). These workers cannot join unions set up by other employees, nor are they covered by collective agreements negotiated by other employees.

Fixed-term contracts

According to the LFT, fixed-term contracts are authorised in cases when they are required by the nature of the work (a specific task or work of a temporary nature), to replace another employee temporarily, or for some professions specified by the law (artists, airline pilot, etc.). Collective agreements can specify to what extent such contracts can be used by the employer.

Rules concerning working hours

The law provides for three standard work shifts: a day shift of 8 hours, a night shift of 7 hours, and a mixed (day and night) shift of 7.30 hours. Worker should not work more than 48 hours a week, with a complete day of rest. According to STPS (1993), working days can be distributed in the week according to employer/employee agreement, leading sometimes to a ''compressed week'' which may, for example, reduce the costs and the fatigue associated with the transportation of workers. Reduced days are authorised by the law, since it specifies only a maximum duration, although hourly wages do not exist. Overtime is allowed but regulated, and should be paid double or triple according to the number of hours.

The relatively high cost of firing, combined with the fact that the law prohibits probationary periods, may explain the rise in the incidence of temporary contracts. Progressively, unions have accepted more temporary workers than agreed in the collective agreements (STPS, 1993). In the same way, firms have often resorted to overtime work, not only in exceptional circumstances, but also to satisfy normal production requirements (STPS, 1993).

Taxes and transfers

Taxes (including social security contributions) do not represent a high share of GDP in Mexico compared with other OECD countries. In 1994, they

amounted to 21.8 per cent of GDP compared to 26.7 per cent in the United States, 36.1 per cent in Canada and around 30 to 40 per cent in small European countries.[80] With a large informal sector, however, taxes on labour are levied on a narrow base. They hence weigh relatively heavily on productive activities in the formal sector, thereby creating incentives for enterprises to operate outside it. Fiscal pressure thereby contributes to an ''informality trap''. On the other hand, the absence of unemployment insurance means that there is no ''unemployment trap'' in Mexico: other than severance payments workers have no income support once they lose their job, so that there is every incentive to take up work.[81] After the creation in 1992 of the SAR (individual accounts for retirement), an avenue was opened for workers to use a small fraction of the amounts deposited on their pension saving account in periods of unemployment but only after contributing for five years, so that this source of income support could not be used before 1997.[82]

The overall tax wedge – defined as taxes on labour and on households' income – of 26.5 per cent in 1994 is also rather low compared with other OECD countries (Table 22). On the basis of employers' social security contributions alone, Mexico is close to the average – below several European countries, including Portugal and Spain, but above Canada and the United States, as well as Turkey. The overall contribution rate is 31.5 per cent of the payroll, of which

Table 22. **Tax wedge in comparison, 1994**

For a single person earning the income of an average production worker

	Per cent of gross earnings				Per cent of total labour costs
	Average rate of income tax paid	Social security contributions		Take home pay *plus* cash transfers	Tax wedge[1]
		Employees'	Employers'		
Mexico	**7.1**	**5.1**	**19.4**	**87.8**	**26.5**
United States	18.2	7.7	7.7	74.1	31.2
Canada	21.5	5.4	6.6	73.1	31.4
Portugal	7.2	11.0	24.5	81.8	34.3
Spain	12.9	6.6	31.6	80.5	38.8
Turkey	26.1	5.1	7.1	68.8	35.7
OECD average[2]	18.1	9.4	14.7	72.5	35.5

1. Difference between labour costs and take home pay *plus* cash transfers.
2. Unweighted average.

Source: OECD 1995, *The Tax/Benefit Position of Production Workers, Annual Report 1991-94.*

four-fifth is born by the employers (Table 23). The lion's share of the social charges goes to IMSS (the social security institution for private sector workers) which covers invalidity and old-age pensions as well as health and maternity insurance.[83] Other contributions cover the housing fund (INFONAVIT), which provides subsidised loans to workers for the purchase of a residence, and the retirement saving system (SAR). Contribution rates have been increased over the years, to try to compensate for the persistent growth in social security expenditure. However, actual collection of contributions did not rise as much as had been anticipated because of slow economic growth and the increasing scale of informality. In Mexico, the relatively small share of salaried workers in the workforce means that the burden of contributions rests on a narrow base. Given insufficient capacity to enforce compliance with the law, increases in payroll tax rates are likely to have induced more underdeclaration of earnings and perhaps some shifts of employment to the informal economy.[84]

Table 23. **Contributions and fringe benefits**

	Employer	Worker	Government
A. Payroll contributions			
(as a percentage of gross earnings)			
IMSS:			
Health and maternity care	8.75	3.125	0.625
Inabilities, retirement, old-age severance, life (IVCM)	5.95	2.125	0.425
Occupational risks	2.5		
Day care centres	1.0		
Housing (INFONAVIT)	5.0		
Retirement saving fund (SAR)	2.0		
Total	25.2	5.25	1.05
	Annual bonus (days)		Wage equivalent (per cent)
B. Fringe benefits			
Rest days paid	52.0		14.3
Obligatory paid holidays	7.0		1.9
Year-end bonus (minimum)	15.0		4.1
Vacation bonus	1.5		0.5
Paid Vacation	6.0		1.6
Total	81.5		22.4

Source: IMSS, *Towards the strengthening and modernisation of social security* ; Ministry of Labour and Social Security (STPS).

Finally, as in other OECD countries, non-wage labour costs also include legally-required fringe benefits such as paid leaves and bonuses. Profit sharing is also mandatory, although compliance is low.[85] In addition, since 1978, labour legislation requires that on-the-job training be provided to workers.

The effect of non-wage labour costs on employment ultimately hinges on how much wages adjust, which in turn depends on how the benefits provided in exchange for contributions are valued by workers. To the extent that employees perceive the value of benefits to be lower than the costs, wage adjustment is incomplete and the total labour costs rise, thereby reducing employment in the formal sector. In Mexico, there is a perception that the quality of services delivered is poor. With demand increasing but resources decreasing, benefits (pensions, health care, maternity leave, housing subsidies and day care) have deteriorated overall. Pension levels decreased in real terms because they were indexed to the minimum wage.[86] The introduction of the SAR was insufficient to address this problem. Moreover, health care institutions, IMSS in particular, have suffered from excessive centralism which has resulted in inefficient resource allocation and low institutional capacity to adapt to local needs.[87] Child day care system – which would constitute an incentive for women to be insured – seems to have benefited only a limited share of those contributing. In an attempt to redress some of the above shortcomings, a reform of the IMSS system was introduced at the end of 1995 (see section below).

In the case of the housing fund (INFONAVIT), only a small part (about 10 per cent) of contributing workers have benefited from the loans; and management of the institute has been viewed as lacking transparency in granting loans as well as efficiency in the provision of housing services. Payment of INFONAVIT contributions on the SAR accounts since these were created has been an improvement, but problems in the management have yet to be addressed.

Active labour market policies

It is important to note that in the absence of any unemployment benefit system, active labour market policy through its various means – training programmes, job placement services, direct job creation and employment subsidies – is the only kind of support available to facilitate employment adjustment in Mexico. In quantitative terms, however, active labour market programmes for long played only a small role compared with many other OECD countries,[88]

which in part reflected the low level of open unemployment and its short-term nature. Recently, however, the intensive process of modernisation and restructuring of the economy, and the large scale of associated employment displacements, have led the authorities to increase active programmes. In general, active labour market policies aim at facilitating workers insertion in a productive activity and promoting the upskilling of the workplace to enhance its productivity and adaptability. The distinction with training programmes is somewhat arbitrary and several aspects of policy action in this area are reviewed below in the section about ''Upgrading skills and competences''. The programme for standardisation of labour competences and certification is also reviewed below.

Two specific training schemes have been developed by the Ministry of Labour in co-ordination with employers' organisations and the Public Employment Services:

i) CIMO provides technical and financial support for short-term training in micro, small and medium-size enterprises (among which suppliers to large enterprises). The scope of the programme has been broadened over recent years, to allow participation of service sector companies and to provide new types of interventions to upgrade enterprise organisation and management skills.

ii) PROBECAT distributes short-term grants combined with training courses to unemployed and displaced workers. Eligibility of the unemployed for PROBECAT is selective, which is appropriate, since the unemployed in Mexico tend to have higher skill levels than workers at large. Evaluation studies suggest that the scheme has been effective in improving participants' job prospects; however, previous work experience appears to be a key condition for its effectiveness, suggesting that other actions are needed for new entrants to the labour market.[89]

An extension of PROBECAT has been targeted at raising basic literacy skills and providing adult vocational education to some people (mostly migrant workers, sometimes in the informal sector) as a first step towards elementary technical training. General training programmes aimed at facilitating the school-to-work transition are reviewed in the section below.

In a country with no state unemployment insurance, Public Employment Services (PES) have been rather disconnected from the rest of active labour market policies and have mainly played an information role. The Services which

comprise both a national unit and a network of state units are insufficiently co-ordinated. Private fees-based job placement agencies are authorised but not widespread. For a long time information gathered by PES was quite limited, but their coverage has significantly increased in recent years.[90] In a period when high mobility is required, and turnover likely to increase, improvements in PES efficiency could make a contribution to the adjustment; co-ordination between state agencies of neighbouring states, and more generally linking these services with the training component of active labour market policies would be appropriate.

Increasing the knowledge base and innovative capacity

Upgrading skills and competences

To improve labour skills and productivity, the education and training systems must pursue three objectives: provide adequate basic education to youth across different regions and socio-economic strata; improve services for the cohorts in school-to-work transition; and raise the level of competence throughout the adult population where there is still an important proportion of illiteracy.[91] Total financial resources devoted to education have risen from 1988 onwards, from 3.6 per cent of GDP to 6.1 per cent in 1994.[92] Despite substantial accomplishments in recent years, in terms of population covered and overall spending, the education and training system continues to be faced with the acute need to develop more equal opportunities across regions and income categories,[93] and the need to deliver services that are commensurate with the accelerated rhythm of structural adjustment and technological change.

Compulsory schooling in Mexico has been raised to nine years (six years of primary education plus three years of junior high school) – close to OECD average. Education is in major part provided by public institutions. Special efforts have been made to target marginalised groups, with bilingual education for indigenous population and distance education by satellite television for remote areas (Diaz de Cassio, 1994). Enrolment rates have risen nationwide, although they still fail to reach 100 per cent at primary level and decline rapidly afterwards (to about 42 per cent for 15-19 year-olds), reflecting the voluntary nature of continued enrolment for this age group and the opportunity cost of foregone work to the families of these children. Women generally quit school at an earlier age than men – which has important implications for raising children and family

planning. Efficiency indicators, such as completion rates, are still low, with considerable differences between rich and poor states. The 1993 Agreement for the Modernisation of Education has given state governments more autonomy in school management and spending decisions. However, teachers' pay is negotiated centrally. The federal government continues to be the principal funder and designer of education policy, particularly as concerns the curriculum for basic schooling. The system of standards and certification currently under preparation is being developed at the federal level.

Post-compulsory education includes general and technical education (which absorbs 65 per cent of those having completed junior high school) and vocational training (17.5 per cent). These proportions are not high considering that less than half of those who entered first grade finish junior high school.[94] However, those entering post-compulsory cycles are no longer a small elite. An increasing share of each generation aspires to continue in the system, posing a new challenge: to ensure that a range of options be available, first at the upper secondary level, then in the first years of higher education. The system at present is generally viewed as suffering from a number of shortcomings:

- the high degree of heterogeneity and complexity, especially at the upper secondary level, means that passage from one stream (or institution) to another is often difficult;
- it is still a selective and unfair system, notwithstanding remarkable progress in increasing enrolment, with not enough exit levels for those who cannot make it to the end of a cycle;
- the system's capacity is put under growing pressure by demand for post-compulsory education of the middle class;
- the provision of upper secondary education leading to technical and professional qualifications for those who do not continue into higher education is not sufficiently attractive.

Formal vocational training (*capacitacíon para el trabajo*) is still provided predominantly in public institutions, most of which belonging to the Ministry of Education, although private education has grown rapidly over the past ten years. The Ministry of Labour has the responsibility for supervising on-the-job training and training of the unemployed. Hence, formal and informal training is administered through two distinct government authorities – the Ministry of Labour and the Ministry of Education.[95] In an effort to improve efficiency of overall delivery

of technical education and training services, the 1993 General Education Law established the basis for co-ordination at the government level. Direct evidence on the number of people trained in public institutions shows a very strong increase in the last few years, from a low level in 1991.

In an attempt to respond better to changing needs of workers and companies, and develop interactions with the productive sector – existing programmes were seen as being mostly supply-driven and lacking flexibility – a system of bipartite or tripartite committees has been established for on-the-job training, which involves business, workers' representatives and the government. These committees identify training needs and help design plans; training and technological studies are then offered in public institutions. The scarce information available suggests that large enterprises account the bulk of such programmes, while smaller enterprises in general do not comply with the legal training requirement.[96] Official training centres appear to have been effective in the sense that graduates found ''good'' jobs on completion.[97] Yet, autonomous training centres which provide middle-level technical training and are affiliated to higher education institutions, offer many advantages in comparison with official centres. Links with companies are closer and courses are designed to reflect their needs. However, there are few such centres and they tend to be relatively expensive (because they have more teachers and equipment), although they try to address this by providing scholarships.

Given the specificity of their needs, many companies have jointly created training centres. These centres are grouped into large conglomerates that provide the services for companies which have constituted them – very large companies in general, including multinational and state-owned enterprises.[98] Recruitment practices and higher formal training in the more modern plants mean that workers there tend to have a higher educational level as well as higher formal training when they start than in the older plants – these different categories of plants often coexisting in large firms. The most important limitation of private initiatives is that they are confined to the largest firms in the modern sector of the economy, leaving aside the vast majority of workers in micro-enterprises and SMEs, who are those most in need of upskilling.

Labour market outcomes can give some indication of how the education and training system performs. According to Cragg and Epelbaum (1994), the wage premium for years of experience has increased significantly over the recent

period (Annex Figure A4). This may be evidence of more on-the-job human capital accumulation with increased training and perhaps a better quality of education – for each given level (above primary). But it may also reflect reduced institutional intervention, such as a smaller influence of trade unions in wage bargaining, since unionisation in Mexico, as in many other OECD countries, has been associated with less individual variations in rates of pay according to work experience.[99]

Technology and innovation

Closely linked to skill formation, facilitating diffusion of technology and fostering innovation will be key for economic development. While greater economic integration will potentially increase Mexico's use of advance production processes through greater imports of high and medium technology embodied in equipment and products, investing in technology and human capital is necessary for Mexico to speed the shift into higher-value added production across a broader range of sectors. Technological levels of industrial companies were still low in Mexico at the start of the decade: survey data for manufacturing, indicates that only 2.5 per cent of firms – but 10 per cent of the large ones – used a modern production technology in 1991.[100] In response to competitive pressures associated with market opening, technological change has taken place mainly in modern companies, especially transnational companies geared to exports – in the automobile sector in particular – and quality control mechanisms were introduced.[101] In several OECD countries the shift into higher knowledge-based production has been paralleled by an upskilling of employment, both in manufacturing and services, and by a relative increase in the returns on education and training. Mexico is still lagging: although the share of employment in high-technology manufacturing increased slightly between 1970 and 1993, it remains small in comparison with most other OECD countries. Furthermore, occupational data show that blue collar workers still accounted for over half (54 per cent) of Mexican employment in the early 1990s, although growth in white collar jobs surpassed that in blue collar jobs between 1980 and 1993.

Different steps have been taken by the government to promote technology dissemination and to co-ordinate industrial modernisation.[102] The Ministry of trade and industry and the national chamber of the transformation industry (CANACINTRA) have set up a special unit to promote technology transfers from domestic and international research centres to industry. Since 1992, a register of

technology consultants has evaluated the technical qualification of potential consultants, thereby reducing information costs for industry. As in the case of on-the-job training, the small size of most firms in Mexico's business sector is an impediment to technology diffusion. Several institutions, such as development banks (BANCOMEXT for foreign trade, NAFIN for SMEs) and the National Council for Science and Technology (CONACYT), provide an array of financial instruments to assist firms in obtaining and securing bank loans for modernisation, as well as technical assistance. In small firms, adoption of new technologies and organisational processes also requires support for workforce training; this is one of the purposes of the CIMO programme (see above).

Although it has increased since the onset of economic reforms in the late 1980s, total R&D expenditure remains low in Mexico, even in comparison to similar OECD economies – 0.3 per cent of GDP, against 0.5 per cent in Turkey and 2.2 per cent on average in the OECD in 1993. In the development plan, the government set an objective of 0.7 per cent of GDP in 2000. Moreover, most of the research is funded by the government (89 per cent in 1993) and carried out in universities and government. Government research institutions themselves, comprising sectoral R&D centres and CONACYT, account for 50 per cent of government funding. The low level of business R&D – 9 per cent of total R&D expenditures in Mexico, against an OECD average of 60 per cent – reflects in part Mexico's disadvantage in knowledge-intensive industries and technological dependence on multinational enterprises.

In recent years, science and technology policy has aimed at deepening the links between R&D in universities and industry and increasing the supply of qualified researchers and personnel. Efforts are under way to increase cross-sector linkages; this is being done through an industry/university joint programme (sponsored by CONACYT), which provides part of the funding for training or research projects as well as commercialisation of successful research projects. Thus far, the CONACYT programme has supported 115 projects involving 71 firms and 60 universities and research centres. Like other OECD countries, Mexico has promoted technology and innovation by indirect measures such as fiscal incentives. These have included deductions for current R&D expenditures, accelerated depreciation of technological assets, tax credits and exemptions.[103] Despite tight fiscal policy in 1995, the Budget Law established a tax deduction for fixed expenditures for R&D directly tied to research and technology development programmes.

Product market competition

With the opening of the Mexican economy, competition has been significantly enhanced in the domestic goods markets, but foreign competition does not reach every market and typically the service sector remains largely untouched. Furthermore, there are entry barriers to the domestic market which trade liberalisation does not eliminate: among these, high transportation costs, insufficient communications networks and regulations protecting domestic companies. Privatisation of public monopolies, in which Mexico has been active, is not sufficient by itself. In a number of services, such as telecommunications, transportation, health care, and the financial sector – be they provided under public or private ownership – competition needs to be strengthened by an appropriate mix of regulatory reform and enforcement of the recent competition legislation. The first round of privatisation in Mexico, which was mostly completed by 1992, had the overriding objective to improve public finances, while efficiency and other public interest criteria were not always considered as a priority concern.

The development of a competitive market environment, however, is particularly important in certain areas because of the direct bearing it may have on the productivity of the whole economy. For instance, transport and communications – telecommunications especially – because they are an input in the production process and a potential determinant of FDI, are important for the development of economic activity. Deregulation of transportation during the previous administration, by getting rid of local licenses and monopolies, permits and controls, and establishing freedom of choice in routes and carriers, for instance, was important for trade facilitation. In the case of telecommunications, on the other hand, the monopolistic structure of the market was not modified when the company was privatised. Recent reforms to increase competition in the sector are reviewed in the section below.

The Federal Law of Economic Competition issued at the end of 1992 and the creation of the Federal Competition Commission have provided the basic framework for the Government's commitment to enhance competition in the economy. Although it is not the Competition Law's primary objective, its implementation should have a favourable impact on labour markets as a by-product: by levelling the ground among agents and preventing large companies from engaging in monopolistic practices, it can improve opportunities for small and medium-sized companies, which are usually labour intensive, and this can help

increase labour demand.[104] The Federal Competition Commission investigated 45 cases in 1994-95, of which almost half were *ex officio* investigations, the rest being triggered by complaints; the most visible cases concerned credit card operations and petrol station franchises in 1994, trucking services, airport services and a public petrochemical company in 1995.[105] The Commission was also active in investigating mergers in concentrated markets. In the cable television and radio broadcasting sectors, for example, the Commission allowed mergers to proceed only on certain conditions designed to maintain competition in the relevant markets, in particular to ensure access to essential facilities.

Small and medium-size enterprises

Small and medium-size enterprises (SMEs) and micro-enterprises play a key role in the labour market because they make up the bulk of employment. Furthermore, by providing jobs and experience to the most disadvantaged groups, they can help improve income distribution and generate positive externalities. They are also the most dynamic in terms of job creation, although they probably contribute significantly to job losses as well. Their performance is often hampered by various weaknesses, which make them low productivity units in general and more vulnerable to economic fluctuations than larger ones (Zapata, 1995). As in other OECD countries, the low-skill level of their manpower – in part due to lack of training – and the lack of elementary managerial experience as well as familiarity with new technologies, may impede their performance. However, a specific problem in Mexico is the weakness of links of small enterprises to large companies (only 4 per cent of micro-enterprises had a large firm as main client)[106] which tends to limit trickle-down effects. In the new economic environment of Mexico, it appears that micro and SMEs have been facing large and growing difficulties: for those in the tradeable sector, the shock from trade liberalisation was compounded by the reduction of public support resulting from fiscal consolidation (making access to credit more difficult) and by the real appreciation of the peso up to 1994.[107] To be able to benefit from the availability of new markets, SMEs need to obtain access to credit, to organise themselves for marketing purposes and to develop subcontracting links with larger firms. Bureaucratic inefficiencies and regulations also weigh disproportionately on them. As noted above, SMEs in principle should gain from deregulation and the enforcement of competition policy. Specific government programmes have also been put in place to create a more supportive environment for them to do business.

Some of the policies were developed over the years as part of trade facilitation measures which included features adapted to SME needs:

- competitive sources of credit have been provided to exporters through the development banks, NAFIN attending SMEs in particular;
- the Mexican Council for Exports (COMPEX), initially established to help exporters, has been extended to include regional representations so as to reach SMEs, thereby serving to bring their concerns to the attention of the government.

Other actions have included the CIMO training support to smaller enterprises, which was enhanced over time to include training for managerial skills and other services along the lines of more traditional training courses.

More generally, initiatives in favour of smaller businesses, rather than making extensive use of subsidies, have increasingly aimed at facilitating the ways business is done, including in the case where the government's own bureaucratic red tape is impeding economic activity.

The agricultural sector and regional development

Some of the constraints that hamper productivity gains in the agriculture sector are similar to those that affect SMEs' expansion. Difficulty in obtaining credit is perhaps the most important. Rural credit delivery underwent a profound reform under the Salinas administration: the reform, which was mostly aimed at reducing the fiscal cost of official credit, emphasised close adherence to banking fundamentals. As part of the strategy, the state has provided guarantees for commercial bank loans to agricultural producers.[108] Although rather successful in terms of reducing the fiscal cost, the reform has led to rural finance being increasingly directed to large and medium-size commercial farms, originally more productive, while only 20 per cent of small farmers and 10 per cent of the very small ones had access to any kind of credit (estimates for 1991, Myhre, 1994). As a consequence, small farms were often prevented from adopting techniques propitious to raising productivity; as the largest share of rural workers is concentrated in these units, it created additional migration pressures. Inadequate public services and poor infrastructure in remote areas have imposed further constraints (in the south in particular). Small non-farm activities in the same areas are also hampered by these problems.

Although the lifting of protection for traditional maize and beans production is being implemented progressively, the agricultural sector is expected to continue to be very much affected by trade liberalisation; and this will have important repercussions for regional development. Over the longer run, mechanisation in the most productive units and competition from imports – temporarily slowed by the 1995 devaluation – are expected to decrease employment opportunities in the sector, boosting migration flows away from rural areas, unless more non-agricultural jobs are created in the regions. The land tenure reform in 1992 and replacement of price support for basic grains with direct cash payments through PROCAMPO (1995 *Economic Survey*) will lead to deep restructuring in future years, although in the short run the implementation of policies has been delayed.[109] As of early 1996 a new strategy for the farm sector has been defined, aimed at encouraging capital modernisation and adoption of new technologies, so as to facilitate the sector's restructuring; but it is still too early to assess this strategy.

The foreseeable reduction of the number of farms and people working in the sector is likely to be more pronounced in poorer regions, where a large segment of the population is engaged in low-productivity agriculture activities. The government is faced with the need to put in place appropriate regional development policies to better equip these regions and thus enable them to create non-farm productive jobs, as substitutes. The development of adequate infrastructure – both economic (transport and communication networks) and social (hospitals, schools, sewage, drinking water) – is key to foster growth in disadvantaged regions. Aware of the significant deficiencies in infrastructure, partly the result of public spending cuts for fiscal consolidation in the 1980s, and the wide disparities among regions, the authorities have put in place several programmes with a territorial dimension.[110] The on-going process of privatisation of several large public service enterprises (transport and telecommunications, in particular) and involving private companies in infrastructure projects is likely to have some incidence on regional development, as will the decentralisation of decision-making to lower levels of government (OECD, 1995).

Recent policy actions

In its Development Plan for 1995-2000, the new administration stressed the need to examine the institutional framework pertaining to the labour markets and

social security so as to identify aspects that would need to be modified to help promote the creation of employment. Although implementation of the microeconomic programme envisaged in the Plan has been complicated – and perhaps slowed – by the need to deal with the peso crisis, the administration has adopted a number of structural reforms which will affect more or less directly the functioning of labour markets and job creation. The most important one in this regard is the IMSS reform. In other areas, such as education and training, or sectoral policy, various projects introduced under the previous administration have continued to be implemented – and in some cases expanded – in 1995-96.

IMSS reform

Although Mexico was in a more favourable position than most OECD countries and than Chile before it implemented its pension reform (eight workers contributing for one retiree in Mexico, against two for one in Chile before the reform), increasing life expectancy and decreasing fertility rates made prospective resources insufficient to finance pensions from 2004 onwards. Resource transfers from the pension segment of IMSS to the health and maternity part also contributed to the weakening of the financial position of the pension system. Besides addressing the critical financial situation, social security reform sought to address concerns about the deterioration of benefits – pensions in particular – and inefficiencies in the provision of services. It was viewed as an element of an overall package to improve the functioning of the labour market, in particular by helping to bring uncovered workers into the formal economy. The revision to the social security law voted in November 1995 and coming into force in mid-1997 concerns mainly the pension and health systems.

The new system will separate the resources allocated to the former invalidity, life insurance and old-age scheme (IVCM) from the other social services (health and maternity, etc.). Invalidity and life insurance (40 per cent of IVCM expenditures), will still be managed by IMSS. In the case of pensions, as was done first in Chile (later in Argentina, Colombia, Peru and Ecuador), the reform transforms the public pay-as-you-go (PAYG) system into a private capitalisation system.[111] Specifically, the reform increases the scope of the SAR system by creating individual accounts that will combine SAR resources with those currently provided by IMSS. Contributions will be deposited on each worker's individual account; rates remain unchanged, and the government is making an

additional contribution (see Annex II). Contributions to the housing fund will be added to the worker's individual account to be used during retirement if the worker has not already obtained a housing loan. Workers can also make voluntary deposits on their accounts.

More directly related to workers' contributions, benefit rights are also in some respect more restrictive under the new system than in the old one. The state guarantees a minimum pension equivalent to one minimum wage at constant prices, after 24 years of contributions, instead of ten years under the old system. However, the pensions will be indexed to the CPI rather than to the minimum wage, which should play in favour of the worker. If the worker has contributed more than 14 years, the state guarantees access to free medical care during retirement.[112] At the age of retirement, the worker will be given the choice between contracting a life rent with an insurance company, or programming a retirement plan. In the latter case, the worker will still be able to opt for the first possibility at any time. Several provisions aim at addressing inefficiencies and inequities of the previous scheme. For example, workers who have contributed for many years but stop doing so before the age of 60/65 and hence had no right to receive any pension under the old system, will be able to get back what they accumulated in their individual accounts. Pensions will be fully portable, the level of benefit depending on several factors: the number of contribution years, the real annual average yield of the individual account, fund management fees, and the number of years over which the pension will be paid.

The reform of the health segment of IMSS is another key element of the overall strategy, although it has attracted less attention than the changes in the pension system. It has two main objectives: first, to redress financial imbalances and achieve self-sufficiency; second, to increase access and coverage of health services to Mexican workers and their families, without increasing workers' and employers' fees. This is done through three mechanisms: a reform of the general scheme, the simplification of existing voluntary schemes and the creation of a new scheme for self-employed and salaried workers who were not incurred in the previous system:

- the fee structure of the general scheme is being redesigned, with the introduction of a fixed fee paid by the government and the employers for workers earning one to three times the minimum wage, and a smaller proportional component on earnings above that amount;

– the existing voluntary schemes are simplified. Only one modality of voluntary affiliation to the obligatory schemes will remain, with two types of contributions: employees of local governments and domestic servants will contribute in the same way as in the obligatory regime; non-salaried workers (*ejidatarios*, farmers, independent workers, family workers, etc.) will contribute on the basis of an income of three times minimum wage;
– workers form the informal sector can voluntarily contribute a lump sum of 135 pesos each month at constant January 1996 prices (about one-fourth of the minimum wage), to have access to health and maternity benefits of IMSS.

A main feature of the reform is that health expenses will be financed less by payroll taxes and more by general taxation. Payments to the health and maternity scheme by workers and employers are estimated to be reduced by one-third on average, and the government will increase its participation to fill the gap.

All in all, the fiscal cost of IMSS reform is evaluated by the government at 1 per cent of GDP, rising progressively to 1.6 per cent around 2020, then falling to around 0.3-0.4 per cent over the long run.[113] Major uncertainties relate to the cost of the health component, which will depend on the coverage and the degree of formalisation of the economy.

Health care

More generally, health care is provided under two regimes: the social security system (including IMSS but also ISSSTE for civil servants, the PEMEX social security, etc.) and services for the population outside the social security system (the ''open'' population) provided under the authority of the Ministry of Health. A pilot programme has been introduced, giving people insured with IMSS the choice of family doctor. This may be a first step towards introducing competition in the provision of services by IMSS. Government action in the health sector has been guided by three main objectives, as stated in the National Development Plan of 1995-2000: decentralisation of services, modernising the administration, and improving the coverage of health care by guaranteeing that a package of basic health services be made available to all Mexicans. In 1996 the decentralisation process started. As announced in the Plan, a package of basic health services has also been introduced: it comprises 12 core interventions in

preventive and curative services and is targeted at the eight to ten million inhabitants, mainly in remote rural areas, who have no regular access to medical attention. Interventions, selected to have a high impact at low cost, are concentrated on nutrition, vaccination, family planning, maternity and infant care.[114]

Product market competition

A new round of privatisations was announced at the start of 1995 to accompany macroeconomic stabilisation. Over 1995 and 1996, legislative changes were made and new regulations introduced to allow the opening up of several sectors. The Federal Competition Commission has been working in co-ordination with regulatory authorities to ensure that competition criteria be given due attention in the formulation and implementation of policies (for instance in the process of licensing, granting public permits and authorisations). During 1995, foreign investment was allowed in railroad and related services. Bidding rules were announced for concessions in railways. Private participation (domestic and foreign) has been allowed in power plant construction and in the transportation, distribution and storage of natural gas. Regarding the privatisation of secondary petrochemicals the government's strategy has been redefined. The Mexican authorities announced in October 1996 that PEMEX, the state-owned enterprise, will hold up to 51 per cent of the equity of petrochemical plants, the remaining share being sold to domestic and foreign investors. Foreign investment in new plants has been allowed up to 100 per cent. Some legal changes, however, are needed before the privatisation.

The ground for increasing competition in telecommunications, has been laid by the Federal Telecommunications Law (passed in July 1995), which establishes the relevant regulatory framework. Market behaviour is placed under the double supervision of a regulatory authority and the Federal Competition Commission which retains its power of protecting freedom of access. Rules for competition in long distance telecommunications were set in 1996. Government arbitration of interconnection pricing was introduced in April 1996 as a means of determining the appropriate charges competitors of Telmex should pay for access to its network, if the parties fail to agree.

Actions for SMEs

The new administration has given emphasis to actions helping smaller enterprises sustain more intense competition. A National Council for micro, small and medium-size enterprises was established in May 1995 with participation of private and public sectors as a forum for analysing problems they face and designing support instruments. Some of its objectives are to provide training in marketing, the use of new technology and financial planning, as well as the use of norms and quality control; it also aims at promoting associations of micro and SMEs with larger enterprises, and developing strategies to expand their direct and indirect exports. The Council has defined a number of projects, among which are the following: the alliance for the modernisation of the micro, small and medium business; regional centres for enterprises' competitiveness (CRECE); technology forums; the suppliers' development programme.

To cut the bureaucratic red tape weighing on businesses in general, but especially on SMEs, existing business regulations have been put under review: more than three quarters of the formalities required by the Ministries of Trade and of Foreign Affairs for the creation or operation of enterprises have already been simplified or eliminated – a process which is planned to be completed by end 1997. Efforts are being made to help enterprises obtain information on technologies, market conditions and managing systems. Measures were taken to reduce credit cost and enhance the lending capacity of financing institutions that attend to the needs of micro-enterprises and SMEs.[115] A simplification of tax provisions for SMEs has been introduced in the Budget for 1996. Finally, legal reforms have been adopted, that shorten the period for in-court resolution of business disputes, and allow for the effective use of guarantee trusts (*fideicómisos*) for loan collateral, thereby diminishing the uncertainty of repayment for creditors and allowing banks to reduce the risk premium charged to debtors. Changes were also made to eliminate unnecessary mortgage registration and information requirements in Mexico City, reducing the cost of selling mortgage portfolios between financial institutions and laying the ground for the creation of a secondary mortgage market.

Assessment and scope for further action

The comprehensive package of reforms undertaken over the latter part of the 1980s to liberalise the economy and strengthen private initiative was centred

on product markets (both industrial and agricultural) and on the financial system; it left the labour market relatively untouched. However, employment practices and working arrangements have had to evolve in response to changing competitive requirements, and the labour market has demonstrated its flexibility in coping with these changes.

Given the particular nature of labour market problems in Mexico – little open unemployment but a slow pace of employment growth in the formal sector and an increasing share of informal activities – actions should continue on a broad front. First of all, it is important to continue to upgrade skills and competences with public support, and to create a propitious environment for entrepreneurship and technological development. Enhancing human capital while improving the country's capacity to create better jobs – an approach more akin to economic development policies than labour market measures *per se* – seems likely to yield significant benefits.

Nevertheless, there are practices, institutional arrangements or regulations which may place a burden on the most modern sector of the economy that is increasingly exposed to competition from abroad, reducing its competitiveness; and in some cases, labour mobility in the formal sector may be hampered. At the same time there is no adequate safety net to facilitate the adjustment. With rapidly evolving economic conditions, there is a risk of a widening gap between the modern sector of the economy where workers are insured, and the informal and rural sectors where the bulk of the population is poor, unprotected and ill-prepared for the adjustment. In this context, practices and institutional settings will need to continue to evolve, as this would enhance Mexico's capacity to adjust to the changing competitive environment. This is recognised in the agreement signed by social partners in August 1996 setting basic principles that should guide initiatives to move ahead in this direction.

To monitor properly labour market developments and hence facilitate decision-making and impact evaluation of measures implemented, it would be necessary to improve the coverage of the urban labour force survey, so as to track developments in the whole economy. It would also help to make labour market indicators in line with the standard ILO-OECD definitions. This task is essential in a country like Mexico, with wide regional (and rural-urban) disparities.

Increasing the knowledge base, efficiency and innovative capacity

To enhance the potential for sustained output and employment growth, the authorities have been setting up programmes for development of human resources. Despite considerable progress achieved, there are still many deficiencies to correct. Further efforts are needed not only to underpin longer-term development, but also to create more equal opportunities in the areas of education, health and training. Despite current financial constraints, actions in this domain should not be delayed, because of the lags involved before benefits are reaped. Even in the period that preceded the 1995 recession, there was no evidence of shortage of qualified labour, but further modernisation of the economy is expected to create some in the future.

There are few persons with intermediate/technical qualifications as compared with relatively large numbers of persons with tertiary-level qualifications in traditional academic and professional fields (engineers for instance). There is a need to develop short-cycle education courses with a more vocational or practical slant (as in several other OECD countries): training technicians and middle managers is particularly desirable to meet the needs of small enterprises which represent the bulk of the Mexican economy.

Views differ on the appropriateness of public intervention in training. In principle, there is no need for substantial government subsidies for on-the-job training. There is, nevertheless, room for public training policy in countries where a large proportion of the workforce is unskilled: many firms do not have much incentive to provide good jobs (more highly-skilled, more highly paid), and since few good jobs are available, workers have little incentive to acquire skills.[116] Initiatives that explicitly recognise the need to base wages on productivity (seniority becoming less important a criteria) are welcome, as this tends to stimulate workers' demand for training. The Ministry of Labour has expanded the scale of training programmes focused on micro and small enterprises (CIMO), which is appropriate. In the case of technical education (*Educacion para el trabajo*), introducing a system of vouchers could be an option, since the government may not have enough information to design training programmes that are well adapted to changing requirements.

A national system of competency standards is being developed, together with a system of certification. Implementation is under way: norms of competences are being defined and mechanisms established to certify skills for workers

and for vocational-school leavers. On-going efforts to develop these systems should be pursued. It can help bring more flexibility in the training system (on-the-job and formal) and increase labour mobility. If reintroducing apprenticeship contracts were deemed appropriate, they should be integrated into the national system of certification.

In an effort to improve the equity of the education system, the following considerations should guide government actions:

- Subsidising the explicit cost of primary education may not be enough in a country such as Mexico where poverty is widespread. Because the children contribute to generate income, the problem is to finance the implicit cost of education as well. This is done at present through scholarships (*becas*) for the poorest. Efforts should be developed to expand the targeted population as far as the sixth grade. Geographic concentration of poverty (in poor rural communities) makes targeting relatively easy.
- Government subsidies should be concentrated on basic education (primary and lower secondary), while in practice higher education is subsidised to a much greater extent. Increasing fees for higher education and making loans available at the same time (for graduate and post-graduate studies) would provide a partial answer.

Newly industrialising economies differ from advanced economies in their capacity to generate knowledge and deploy it in the productive sectors. In Mexico, the development of science and technology has been concentrated in universities and research institutions. The impact on sectors such as agriculture, manufacturing and natural resources has been tempered by the lack of linkages between public research and industry. The Mexican government should focus on promoting mechanisms for public/private research co-operation (including decentralisation of R&D institutions), with domestic as well as foreign firms, as a means to stimulate the development and application of technology. This should not be limited to high-technology manufacturing sectors, but include lower-technology agriculture and resource-related industries.

Further improvement in economic and social infrastructure should contribute to higher longer-term growth in productivity and employment. This would involve increasing the efficiency in the utilisation of existing facilities, to which on-going and prospective privatisation and regulatory reform of certain sectors will contribute, as well as expanding the service capacity. But as large

infrastructure needs at the national level are increasingly satisfied, future infrastructure investment should more than hitherto reflect local needs. The current move towards decentralisation of spending decisions and management is consistent with this changing focus.

Specific actions, including deregulation and simplification of bureaucratic requirements, should be pursued to foster the dynamism of micro-enterprises which play an important role in job creation; it could induce some of these to move into the formal sector. The Government has emphasised actions to help small and medium-size enterprises. The legal reform approved in April 1996 is a step towards reducing the government regulations and bureaucratic red tape that weigh on small- and medium-size enterprises.[117] Considering their key role in labour markets, it seems appropriate to continue along the lines sketched out in the Development Plan.

Enhancing the ability to adjust and adapt

Taken individually, institutions and legal requirements that may discourage hiring in the formal sector are unlikely to have a strong impact, but together they may be an obstacle to employment opportunities for low-skilled workers, by pricing them out of the formal sector. Evidence shows that wages in the aggregate are flexible and the real minimum wage has fallen so much that it is unlikely to be binding. The following steps nevertheless could be propitious for an expansion of formal activities:

- Contracts of a definite duration are allowed only for a specific task or for a job of a temporary nature. In a period of greater uncertainty due to a rapidly evolving environment, facilitating such arrangements should help to meet the needs of firms facing changes in demand which may not be permanent.
- To facilitate hiring for indefinite duration, probationary periods should be introduced.
- As in some other OECD countries existing regulations in Mexico may be too restrictive for an open economy in terms of promotions, hiring and redundancy procedures. Yet legal provisions are often less stringent than regulations established by collective agreements. Moving towards greater flexibility could serve to alleviate the burden on the sector exposed to competition.

– Payroll taxes are still costly for employers. In addition to ongoing reform of health insurance and pensions, a reform of INFONAVIT is necessary to minimise the perception of the housing contribution as a tax. INFONAVIT should cease to be a provider of housing services. It would then become a mortgage financing institution, and the question can be raised as to whether such an institution should continue to be financed by payroll taxes.

A major step in reforming the tax/benefit system has been made with the social security reform; over time it may bring about some of the following benefits: first, compared with the previous system, the individual accounts strengthen the link between workers' contributions and benefits, thereby reducing evasion incentives. Increased transparency and competition are expected to generate efficiency gains in the management of funds. Moreover, the new system is expected to contribute to the deepening of Mexican financial markets, and the possibility of adding voluntary saving to individual accounts may foster private saving. The extent to which mandatory savings will raise total savings rather than substitute for other forms of savings is uncertain. Other countries' experiences are not conclusive in this regard. Although Chile is often mentioned as an example, the national saving rate increase that followed the reform there is mainly attributable to increased savings of the State.[118] On the other hand, there are grounds to believe that the new system can indeed stimulate private savings: the mandatory scheme will touch workers of all income categories, even lower ones who typically would not have a high propensity to save; moreover individual pension accounts will not be liquid, so that households will still need to hold more liquid forms of savings.

In the case of health insurance, a major implication of the reform is that, except for workers earning near the minimum wage, employers' contribution rates will decrease substantially, thereby reducing incentives to evade or to underdeclare income. These measures are expected to have more impact on employment creation and formalisation than the pension reform, the effects of which will be observed only in the very long run. In addition, the new scheme eliminates some inefficiencies and inequities of the previous one. It gives workers in the informal sector access to health and maternity benefits on a voluntary basis. Altogether the new features could help widen the funding base by reaching out to both ends of the income distribution which were previously out of the system.

There is, however, some scope for further actions to reinforce the current social security reform, some of which are currently under consideration. The reform should eventually be extended to public-sector employees (government employees in ISSSTE, PEMEX workers who are under a special insurance). Merging the different social security sectors into a unique system would help consolidate facilities and reduce administrative costs; universalisation of the pension system to include non-wage workers could also be considered.

Given the shortcomings of the current severance payments system, both employers and employees should have a common interest in reviewing it and introducing some kind of temporary income support as and when job security provisions are eased. Such a change, if made carefully – *i.e.* avoiding mistakes made in many other member countries – could enhance flexibility while reducing the social cost of adjustment. In this context, due consideration should be given to the burden it might place on Mexican public finances; Mexico cannot afford an expensive system. Various options could be considered, including a self-financed insurance scheme of the kind that has been under consideration in Chile.[119] The scheme should be designed to minimise adverse work and job search incentives. For instance, unemployed workers would have an incentive to find a job as soon as possible if they were drawing from mandatory savings built-up on individually-owned accounts. With such a mechanism, workers would also be protected from the risk of being left with no income support in cases where the firm is in poor financial state. The existence of an unemployment insurance could reduce the need for emergency programmes such as those put in place in 1995 and 1996 with the main purpose of providing a safety net, but it would not replace them altogether, since it would still not reach all the population in need. As long as it is not permanent, emergency intervention of the type implemented in 1995-96 is clearly justified from a social point of view.

All in all, several components of the jobs strategy defined above could contribute to a more equal distribution of gains from economic growth. Among the most important ones in this context are: enhancing the quality of the basic education system and reforming vocational education; reforms that can favour the expansion of the formal economy; and improvement of the safety net. However, stronger output and employment growth may not suffice to reach the poorest strata of the population, and specific policies will continue to be required to meet basic needs.

Notes

1. Developments reviewed in the following paragraphs refer to national accounts data, at constant 1993 prices. All quarterly data have been seasonally adjusted by the OECD Secretariat.
2. On the basis of national accounts data, at constant 1993 prices. The share of exports in GDP rose from 15 per cent to 25 per cent between 1993 and 1995.
3. According to the OECD Secretariat's estimates, export market growth for manufactures was down to 11 per cent in 1995 (from 15.3 per cent a year earlier), while exports of manufactured goods volume expanded by 30 per cent in 1995 (against 13.4 per cent in 1994) (*Economic Outlook*, Annex Table 63, December 1996).
4. The National Association of Importers and Exporters estimates that almost 80 per cent of Mexican exports originate from fewer than 500 companies.
5. This stands in stark contrast with 1982, when households' claims on the government cushioned the shock through a positive income effect.
6. As the financial position of households continued to deteriorate in the second semester of 1995 and non reimbursement of bank loans increased, the government decided to introduce schemes to alleviate small debtors' burden (the support programme, ADE, for credit card, consumption and mortgage loans), and again in June 1996 a programme for mortgage loan restructuring.
7. This was particularly the case of paper and printing, some textile branches and the chemical industry.
8. There are three VAT rates in Mexico: the general rate (now 15 per cent), the lower rate for the northern border region (now 10 per cent) and a zero rate on exports, foodstuffs, agricultural supplies and medicines.
9. According to Central Bank estimates based on the 1989-94 period, a 10 per cent depreciation adds about 5 percentage points to CPI inflation in one year.
10. In 1995 the minimum wage rose as follows: 7 per cent in January, as programmed in the January stabilisation package; in March the government announced a 12 per cent to take effect in april, when the VAT rate was raised.
11. In a similar fashion, on the new price basis, import volumes dropped by 12 per cent in 1995, against 27 per cent according to the old one, reflecting the high import content of exporting activities today.

12. According to Bank of Mexico data. Data reported by the Ministry of Finance and Public Credit, which are based on a different methodology, indicate that the total foreign debt (including the debt of the public and private sectors, banking and the Bank of Mexico) rose from 48 per cent of GDP at end-1994 to 59 per cent at end-1995.

13. The Secretariat projections refer to the private consumption deflator, which rose by an average 39 per cent between 1994 and 1995 (against 35 per cent for the CPI), hence are not strictly comparable to official projections. These projections for average inflation in 1996 and 1997 are compatible with a projected 12-month increase of the CPI of around 26 per cent in December 1996, and below 15 per cent in December 1997.

14. For a more detailed discussion of key elements of a medium-term framework, see OECD (1995) Chapter III.

15. The Government in 1995 made deposits at FOBAPROA, the public institution in charge of bank insolvencies, to cover the cost of the ADE incurred that year and the estimated cost for 1996 – a total amount equivalent to almost 1 per cent of 1995 GDP.

16. The most representative indicator of fiscal effort, ideally, should be the primary balance adjusted for cyclical variations, but with potential output data for Mexico not available, this adjustment has not been done. Since there are no unemployment benefits in Mexico, the automatic effect of the recession on the government financial balance manifests itself essentially through reduced tax revenue rather than increased expenditure. Given the sharp downturn in 1995, the discretionary fiscal tightening would be larger than suggested by unadjusted balances. On the other hand, other components not under the direct control of the government, *e.g.* oil revenues, should also be excluded to judge fiscal effort; these increased more than projected in 1995.

17. The national oil company is under budget control; the transfer of oil receipts from PEMEX to the federal government is negotiated every year on the basis of PEMEX operating surplus.

18. The Agreement for Economic Recovery – the Social Pact – was signed in October 1995 by the labour, agriculture and business representatives, the Federal Government and the Central Bank. The Mexican Constitution requires Congressional approval only for tax increases.

19. These figures refer to total net debt of the broad public sector (including development banks and government trust funds), after consolidation with the Bank of Mexico. The total gross public debt, according to the definition of the Ministry of Finance in its reports to Congress, was close to 40 per cent of GDP at end of 1995, one of the lowest among OECD countries.

20. Because *Udibonos* offer a protection against inflation risk, investors accept a lower risk premium, which would potentially lower borrowing cost for the government. Moreover, the indexation eliminates the advantage a government would find in having recourse to the inflation tax. Finally, price-indexed securities can provide useful information to the Central Bank about inflation expectations. The *Udibonos* are expected to be in great demand from newly created pension funds who start operating in January 1997. Price-indexed public debt is also used in other OECD countries, such as the United Kingdom, Canada, Australia, Switzerland and Iceland, and is being actively considered in the United States.

21. The definition of net domestic credit retained in 1995 comprised mainly credit to the government and to banks – the components of the monetary base under the Central Bank's control – less liabilities *vis-à-vis* the IMF. Net foreign reserves, the other source of liquidity,

were presumed not to vary much under a floating exchange rate regime, capital movements being translated essentially into exchange rate variations. However, this presumption was not verified, as will be discussed below, when the international support package was made available.

22. There is no remuneration on deposits, which are built up by banks to compensate overdrafts; the penalty rate is twice the 28-day *Cetes* rate since August 1995. The mechanism was modified in August 1995, to require compliance to the zero-balance over a 28-day period on the same date for all banks. It was tightened again, as of the start of 1996 – with the imposition for each bank of a limit on the daily amount of the positive balance (and overdraft) that it could incur.

23. Under the previous mechanism, the Bank indicated the upper and lower interest rates it would accept at the auction. Under the present procedure, the Bank only sends a signal: if it informs the market that its ''desired'' aggregate balance for the day (as might result from its intervention in the money market) is zero, it indicates a neutral monetary policy; if its ''desired'' aggregate balance is negative, it signals that it intends to tighten policy (by forcing the banks to overdraw their settlement accounts).

24. Nominal GDP growth turned out to be 26 per cent (with a 6.2 per cent decline in real terms).

25. As a result of application of IMF accounting rules to net foreign reserves, which deduct obligations to the IMF, the level of these was much smaller in January 1996 than they would be under Bank of Mexico definition. On the other hand, Mexico's repayment of IMF loans due to begin in 1998 will not affect them, while Bank of Mexico-defined reserves would decline.

26. An alternative scenario was presented in the monetary programme to illustrate this point: if the accumulation of reserves exceeded the amount assumed, the Central Bank would maintain the growth of its net domestic credit below the established ceiling. Another scenario could be envisaged in which the demand for base money rose more than expected while inflationary expectations remained moderate. The increase in the demand for money would then have to be met by higher-than-assumed net foreign reserves.

27. The quarterly pattern was established also taking into account changes of net foreign reserves expected from the amortisation schedule of the Bank's repayment of short-term currency swaps with the United States and Canada. As all short-term swaps were fully reimbursed in January 1996, the profile of net domestic credit and net foreign assets have not been affected during the rest of the year (medium-term swaps provided by North American authorities as part of the financial assistance package are not included in international reserves).

28. High and variable inflation rates make it difficult to measure real interest rates. These, as measured on the basis of current inflation rates, turned negative for a brief period at the start of the first half of 1995 and again in January 1996 when inflation accelerated (this is usually the case: *ex ante* real interest rates are then higher than *ex post* ones, because actual inflation is higher than expected inflation).

29. The increase in the demand for cash at the end of the year was even stronger than is usually the case at that period because of exceptionally high government income transfers to farmers in December through PROCAMPO and because Christmas and New Year's Eve created

three-day week-ends. The incidence of these exceptional factors, which also contributed to the exceptional expansion in the monetary base, was reversed in January.

30. SAR accounts are mandatory savings account for retirement, on which a real positive return is guaranteed.

31. Quarterly income statements by banks provide a basis for the calculation of an indicator of average interest margins, although the complexity of the support measures for debtors and banks makes the interpretation of such data currently difficult.

32. After the shift from public to private borrowers, the non-performing loan portfolio rose. Although this would be expected initially, the share of poor-quality assets continued to increase for several years, and this was more worrying. The situation of the Mexican banking sector prior to the peso crisis is described in more details in *OECD, Economic Survey,* 1995.

33. In principle, high interest rates could have another on banks' financial statements by reducing their investment portfolio value consisting of fixed income securities. But to some extent in Mexican banks, valuation losses on the asset side was insignificant due to the short maturity of fixed income securities, as a larger proportion of their portfolio was invested in floating-rate securities with a short-term repricing mechanism.

34. Rojas-Suarez and Weisbrod (1995) make the point that constraints in less developed countries are different from those in more developed ones: for instance, there may be no domestic long-term bond market, and access to international markets may be temporarily cut off; markets for bank assets may be lacking.

35. The bank assistance measures were presented in the 1995 *Survey of Mexico,* Box pp. 55-56. Hence, only more recent developments are presented here in some detail.

36. After five years if the debt is not repaid, it is to be converted into equity which will be transferred to FOBAPROA, the existing agency responsible for dealing with bank insolvencies. FOBAPROA can exercise its conversion rights before the end of the period if regulators judge that the bank's solvency is impaired or if the bank capital falls below 2 per cent of assets.

37. One of these, Inverlat, has been sold to the Canadian Bank of Nova Scotia. Bancen (*Banco del Centro*) is to be transferred to Banorte (*Banco del Norte*) for merger, once its financial accounts are cleared (to assess how much of its capital is owned by the government). Banco Cremi and Banco de Oriente have been sold to the Spanish Banco Bilbao Viscaya, which already controls Probursa. The remaining banks controlled by FOBAPROA are to be returned to private ownership through sales or mergers.

38. Through this mechanism, the 12 banks – banks that were not intervened or under special situation – had increased their capital by 53.3 billion pesos, which accounts for 152 per cent of the system's capital as of December 1994. In total, the government has purchased 113.9 billion pesos of gross loans, or 22.4 per cent of the system's loan portfolio as of December 1994, with a 99.1 billion pesos bond payment.

39. The government lends banks the funds to finance restructured loans at a real interest rate (the government loan itself is denominated in UDIs). In turn, the government borrows from banks, by placing Government instruments at market rates (an average of the one to three month cetes). (The operation is done through a trust fund.) When collected, proceeds of the

loans are used to amortise the government's funding. The Government bears the risk if the interest collected on its lending to banks in UDIs is lower than the real interest rate it has to pay on its own debt instrument.

40. The debtor also benefits from a legal truce. When he signs an agreement with the bank to restructure, the bank forgives non-paid penalty interests payments previously accrued. The deadline for the legal truce was initially set at 31 October 1995; it was later extended to end-January 1996.

41. In practice, because loan portfolios of Mexican banks have a rather short average maturity – shorter than for banks of most other OECD countries – the understatement of past-due loans reported under Mexican GAAP is not as large as it would be in these other countries. This is not true, however, for residential mortgage loans which have relatively long average maturities (in this case, reported past-due loans would be perhaps three to four times higher under US GAAP than under Mexican GAAP). Banks will have to disclose financial statements under US GAAP starting in January 1997; before that date (in July 1996) they must report their financial statements under both the old and new systems.

42. Some of these incentives are: high funding costs, so that banks will tend to try to collect past-due loans; a loss-sharing mechanism; liquidity restrictions, according to which they cannot use bonds placed in their portfolio (which pay *Cetes* interest rates) to refinance themselves at the Central Bank; and banks will be able to keep the ''upside'' of doing a good job in managing the loans purchased by the government.

43. The cost of ADE, incurred in 1995 as well as the estimated amount for 1996 (0.6 per cent of GDP altogether) has already been fully covered by the fiscal resources of 1995. Part of the financing of FOBAPROA schemes will be met by a $1.75 billion loan over 15 years granted by the World Bank and the IADB. The rest of the financing is spread over 30 years, but concentrated in the first ten years.

44. Substantial increases have been allowed in particular for small and medium-size enterprises financing (through NAFIN) and for the exporting sector (through BANCOMEXT). These banks together with BANOBRAS (specialised in financing local government infrastructure) are the largest of the six development banks. They are second-tier institutions that supply funds to commercial banks and credit unions, rather than deal directly with retail customers from priority sectors. The financial operations of these institutions are not recorded in public sector accounts since 1993, to reflect the fact that for their quasi-totality these operations are made at market conditions.

45. Such migrations would explain that the labour force, as measured in urban surveys, closely follows cyclical employment fluctuations, cushioning cyclical variations of unemployment (the ''discouraged worker'' effect as measured in Mexico refers more precisely to ''discouragement from seeking work in urban areas'').

46. Mexican employment surveys do not identify workers who work part-time because they are not able to find a full-time job; only involuntary part-time work for ''technical'' reasons (cuts in production, lack of materials or breakdown of equipment) is recorded – *i.e.* in fact short-time work. In theory, the former category should also be reported as involuntary part-time. For this reason, here, contrary to the measure published in the OECD *Employment Outlook* (1995), the number of involuntary part-time workers is not divided by two to calculate unemployment rate in a broad sense.

47. Revenga and Riboud (1993) have estimated that, in 1990 and 1991, 25 per cent of all unemployment spells for men and 53 per cent of all unemployment spells for females ended in withdrawal from the labour force. About half of those who had withdrawn (55 per cent of males and 41 per cent of females) re-entered the labour force within three months.

48. On duration of spells, unemployment in Mexico is more comparable with the situation in the United States than that in Europe where in many countries more than 50 per cent of job-seekers are unemployed for 6 months or longer.

49. Dependency rates are defined as the population under 15 years of age plus the population over 65, divided by the population aged 15 to 64.

50. Household surveys of 1984, 1989 and 1992 show that about half of the Mexican population then lived on a total income below the poverty line (defined as twice the cost of the basic food basket), while nearly one fifth lived in extreme poverty (with income insufficient to purchase the basic food basket). For a discussion of poverty in Mexico, see *OECD Economic Survey* 1995.

51. Two-thirds of immigrants during the 1981-93 period were admitted through the regularisation programme for illegal immigrants implemented after 1986. In 1990, about one half of Mexican residents in the United States (2 million) were estimated to be undocumented (Passel, 1994). The proportion was the same in 1980.

52. Source: *Encuesta Nacionál de la Dinámica Demográfica,* 1992.

53. The progressive diversification of manufacturing activities away from the central regions started in the 1980s, reversing the trend observed during the earlier period of import substitution policy. The Mexico City metropolitan area is now receiving people who find jobs mostly in the services sector.

54. The stagnation of dependent employment in the 1980s contrasts with the 3.5 average growth rates experienced in the 1970s. For information on the coverage and quality of the different sources for employment data, see Annex I.

55. The share of manufacturing in total employment peaked at 48 per cent in Germany, 40 per cent in Italy and 27 per cent in Japan (in the 1970s). Source: *OECD Labour Force Statistics.*

56. Trade liberalisation started in 1985-86 with the replacement of import quotas by their tariff-equivalents for most products. Tariff levels were lowered after 1986 – from 24 per cent on an *ad valorem* average in 1986 to 12.5 per cent in 1990 – and remaining quotas eliminated.

57. Set in 1965, the in-bond or maquiladora system allowed foreign firms (predominantly from the United States) to process goods for re-export into the United States without import duty being levied on imported inputs, and paying US import duty only on the value added in Mexico. The system was liberalised in the 1980s.

58. According to the World Bank (1994), total factor productivity gains account for about half of manufacturing sector output growth between 1984 and 1990. The most important source of total factor productivity growth in that period was a rise in allocative efficiency within sectors, *i.e.* an increasing share of labour and capital being in the more efficient firms (food, beverages and tobacco, basic metal industries and metal products and machinery were the best performing sectors in terms of output and TFP growth).

59. Between 1980 and 1994, employment in this sector grew fivefold. Sources: INEGI, *Maquiladoras Survey, National Accounts.*

60. The construction sector seems to play a similar role: it accounted for 10 per cent of employment but 4 per cent of GDP at the start of the 1990s (averages for other OECD countries suggest higher relative labour productivity both in agricultural and construction sectors, *OECD Economic Survey*, 1992, Table 2).

61. In more details, the agricultural sector can be depicted as follows: *i)* a large number of subsistence producers, who work on very small units (accounting for 34 per cent of agricultural producers and 5 per cent of total land holding in 1995), largely concentrated in the central and southern regions; *ii)* small commercial farmers (25 per cent of total producers and 11 per cent of land holding), also residing in majority in the central and southern regions; *iii)* medium-size commercial farmers (31 per cent of total producers and 23 per cent of all agricultural land); *iv)* large commercial farming, more diversified in terms of production (52 per cent of all agricultural land but only 9 per cent of all agricultural workers).

62. Source: *Economic Census* 1989 and 1994.

63. According to the *Encuesta Nacionál de Micronegocios*, of 1994, only 13 per cent of the micro-enterprises personnel was insured at the IMSS.

64. The proportion was 37 per cent in 1993. However, the share of total employment having access to health care through the public social security system is significantly higher than the share of those contributing, since some people with jobs are covered through an affiliated member of their family even though they do not contribute. Overall, slightly more than half of the Mexican population has access to health care through the public social security system.

65. Source: INEGI, STPS, ILO, *Encuesta Nacionál de Empleo, Salarios, Tecnología y Capacitacíon en el Sector Manufacturero*, 1992, and STPS (1993).

66. In 1991, temporary workers amounted to 14.7 per cent of total dependent employment in Greece, 16.5 per cent in Portugal, 32 per cent in Spain, 10 per cent in France, 6.6 per cent in Turkey, 5.3 per cent in the United Kingdom (OECD, *Employment Outlook*, 1992).

67. Even in the expansion period of 1987-94, firms have had a tendency to increase the number of hours rather than hire new employees – a feature possibly related to the cost of firing due to legal severance payments.

68. Although data (IMSS and other) do not allow it to be checked, some of the aggregate wage adjustment may result from changes in the sectoral composition of employment – *i.e.* the increase in low-paid service activities.

69. In 1994 average compensation per worker in the *maquiladora* industry was about half of that in the non-*maquiladoras* manufacturing industry (1 628 peso per month, against 3 453 pesos according to the *Monthly Industrial Survey and Maquiladoras Survey*).

70. Regressions on data from the Industrial Survey for 1984-1990, show that the most important determinants of wage inequality are capital intensity, export orientation, the share of foreign investment.

71. This kind of ''flexibility'' has also been observed in Argentina, Brazil and Chile by Lagos (1994).

72. In addition, actual end-of-year inflation often turned out to be higher than the target stated in the *Pacto*.

73. The productivity bonus is related to specific indicators to be agreed upon at the plant level. As productivity gains were at times very high in manufacturing, theses bonuses have led to significant differentiation in wage increases.

74. The Federal Labour Law provides the legislative foundation for the extension of collective contracts under a *contrato-ley*. Until 1991, there were nine industries under such arrangements, of which six were in textiles. In 1991 and 1992, two textiles industries withdrew from the arrangements. The remaining ones are sugar (53 500 workers), radio-television (16 700 workers), rubber (9 500 workers) and four others from the textiles branch (18 000 workers altogether). Statutory extension provisions are currently available in several other OECD countries (in Europe mostly); for details see OECD (1994*a*), Table 5.11.

75. The daily minimum wage was the equivalent of US$4.12 in 1994, compared with US$3.38 in the 1989, US$4.14 in 1984. In the past, the threshold used to target government poverty alleviation programmes was an income equivalent to one minimum wage in 1984; by 1989 it was two minimum wages. Under the present administration the targeting criteria for anti-poverty programmes are different and the minimum wage is no longer used as a basis.

76. There is a distinction between degree of unionisation and market power: unionisation could be high, but if bargaining is done at the enterprise level, it may not offer scope for monopolistic wage-setting as long as employers compete with one another in the product market (if they grant higher wages they go out of business). There can be strong market power of employees however – leading to monopolistic wage setting – when there is a high degree of unionisation or extension of collective contracts to third parties. In Mexico, such conditions exist in telecommunications, in the national education sector, and in sectors bound by a *contrato-ley*.

77. For information on state-labour relations in Mexico, see de la Garza Toledo (1994).

78. The union/non-union wage gap was about 10 per cent in 1989 (which is low relative to estimates for the United States in the same period). The small differential in Mexico at the end of the 1980s must be considered in the historical context of a long recession and austerity measures which weakened the trade unions' collective bargaining capacity. The ''union premium'' is significantly larger for workers with little education and little work experience reflecting a tendency of organised labour to flatten the wage/work experience curve. Organised labour in Mexico also tends to reduce wage discrimination against women and indigenous population (Panagides and Patrinos, 1994).

79. Paredes (1993) underlines that if laying-off workers during adjustment is easy – and there are no severance payments and no unemployment benefits – recurrent strikes and riots may make implementation of structural reforms difficult.

80. In 1994, the ratio was 32 per cent for Greece, 32.7 per cent for Portugal and 35.5 per cent in Spain.

81. The unemployed are entitled to medical care for eight weeks (minimum if they have worked less than eight continuous weeks before becoming unemployed).

82. The SAR is a retirement saving system whereby employers had to contribute for a complementary pension on individual accounts managed by commercial banks and paying a positive real return.

83. There is a cap of ten times the minimum wage for the invalidity/old age contribution and 25 times the minimum wage for others. Figures in Table 23 refer to gross contribution rates for employers; the rates are lower on a net basis since contributions are deductible from profit taxes and from profit sharing.

84. In 1993, the proportion of workers contributing on the basis of a declared earning of one minimum wage or less was one to five according to IMSS registers, while in the National Employment Survey the proportion of workers earning such low wages was one to forty (IMSS, 1996).

85. The Law stipulates that total participation of workers amounts to 10 per cent of profits, half of which is distributed according to the number of days worked in the year – irrespective of the wage level – and the rest is proportional to wages. In 1987, this provision was applied by approximately 25 per cent of firms according to estimates.

86. Pensions are paid to workers aged 65 who have contributed for ten years minimum (or 60 if they lose their job).

87. The IMSS owns and runs hospitals and provides health services to more than half of the Mexican population; higher income categories use private health services; the national health system attends to the needs of the rest. On the quality of health services overall, see OECD (1992). Since 1973, various categories of voluntary affiliation regimes have been created for specific categories of workers (domestic servants, taxi drivers, etc.).

88. Active labour market programmes – essentially the Scholarships for Training Programme (PROBECAT) and the Quality and Modernisation Programme (CIMO) – amounted to 0.01 per cent of GDP in 1992, compared to an OECD average of 0.3 per cent (0.1 per cent in Spain and 0.09 in the United States). The World Bank co-finances PROBECAT, while the cost of the CIMO programme is shared between the government and the private enterprises that participate. See Annex Table A2 for information on specific training programmes.

89. The programme was created in 1984 to reduce the cost of adjustment and facilitate the redevelopment of work skills. Evaluation studies were conducted by the World Bank (Revenga, *et al.* 1994). Comparisons with other OECD countries, in terms of resources allocated to training, are difficult, because some components of PROBECAT – actions for workers aged 16 and over and those which support training for self-employed or creating a company – would be categorised as Youth Measures and Subsidised Employment respectively under the OECD classification.

90. PES' coverage doubled from 1991 to 1994, when they recorded nearly 500 000 job seekers and 350 000 job vacancies (roughly 10 per cent of annual job openings); this same year, 128 000 persons were placed through them.

91. In 1990, Mexico was at the low end of OECD countries in terms of literacy, although it performed better than Turkey and was not far from Portugal. The overall illiteracy rate was 12.7 per cent in Mexico, below Turkey (19.3 per cent) and Portugal (15 per cent). Mexico's illiteracy rate for the youth category (aged 15-19 years) at 4.1 per cent was well below that of Turkey (9.4 per cent), but above all other OECD countries (Portugal's rate was already below 1 per cent) (*World Education Report*, 1991).

92. Education spending fell as a share of GDP in 1982-88; after increasing in 1988-94 it fell again slightly in 1995, to 5.6 per cent of GDP. The Federal Government provides by far the largest share.

93. Social disparities in education achievements can be seen in the close correlation that exists between the level of income of parents and years of schooling for children. Completion rates (students finishing primary schooling in 1994-95 in per cent of those who had entered primary school six years earlier) on average are not high, 57.5 per cent; but rates are higher allowing for repetition, 79 per cent were finishing with 7 years of attendance, 84 per cent with 8 years (Programme of Education Development, 1995-2000). Regional disparities are considerable, with completion rates around 90 per cent in the more developed states and the Federal District, against 40 per cent in the poorer states (*cf.* 1995 *Economic Survey of Mexico,* Table 25).

94. For the structure of the national education system and tracking of a student cohort, see Annex Figures A2 and A3. A review of higher education policy in Mexico has been conducted at the OECD in 1995-96 (forthcoming). The following assessment is largely based on this work.

95. Although formal technical training for youth is under the sole authority of the Ministry of Education, both ministries have authority on informal training for adults: *i)* pre-work courses are provided by the Ministry of Education, in institutions of the National System of Technological Education; *ii)* in-work informal training, required by the law, is supervised by the Ministry of Labour. Small and medium-size enterprises often hire public institutions to deliver training courses. Training for the unemployed (PROBECAT) is also operated by the Ministry of Labour, as seen above.

96. According to survey data, 13 per cent of manufacturing establishments provided training to their workers in 1991, the proportion was 90 per cent for large enterprises, 50 per cent for small firms, and only 6.5 per cent for micro-enterprises (INEGI, STPS, ILO, 1992).

97. F. Zapata (1995).

98. Vitro in Monterrey, Ford, Nissan and many in-bond enterprises, have engaged in such training programmes, as well as formerly state-owned Telmex and Mexicana de Aviación. Some of the multinationals have even sent significant proportion of their workers to be trained abroad: by 1994, a quarter of the workforce of the Ford plant in Hermosillo had been trained in Japan or Spain.

99. Panagides and Patrinos (1994), find a higher return to work experience in the non-union sector than in the union sector (the wage increase per year of experience is estimated at 5.5 per cent in the non-union sector, against 3.8 per cent in the union sector, based on the 1989 Survey of Households Income and Expenditure).

100. Source: INEGI, STPS and ILO (1992).

101. In 1994, General Motors of Mexico and the Mexican government signed an agreement to implement a programme (COMPITE) to increase the productive efficiency of automotive suppliers.

102. For details on science and technology policy in recent years, see OECD (1994*b*).

103. The current income tax system provides for deductions of up to 1 per cent of total sales for investments in R&D and an additional 0.5 per cent for projects meeting criteria set by CONACYT. The law also permits accelerated depreciation of equipment, at a rate of up to 35 per cent, when it is linked to domestic product and process R&D.

104. Even if both large and small companies are likely to infringe the law, the anti-competitive effects of practices are likely to be more serious when engaged in large firms. In Mexico, many markets have high concentration levels (owing to the lack of competition in the past).

105. In 1995, the Commission found evidence of anti-competitive practices and issued orders to stop the practices in the three following cases in particular: *i)* the National Chamber of Trucking was setting minimum prices for trucking services provided by its members; *ii)* the state company Aeropuertos y Servicios Auxiliares, which provides airport services and operates airports that it owns, was found guilty of discriminating against competitors by establishing partnership with two other companies for the supply of airport services, placing barriers to entry by granting exclusive contracts for the setting up and operation of tax-free shops in air terminals; *iii)* the state company Pemex-Petroquimica was found to be setting different selling prices for its product (ethylene oxide) to different clients. Because Pemex enjoys high market power (it holds a monopoly on the domestic market while the dangerous nature of the product and high transport costs constitute barriers to imports), the practice meant market segmentation and price discrimination.

106. Source: *Encuesta Nacionál de Micronegocios,* 1994.

107. Almeida *et al.* (1994), STPS (1993).

108. In addition, some small-scale farmers were given access to credit through a programme in which the ''word of honour'' acted as guarantee, the programme forming a part of the poverty alleviation strategy of the administration.

109. Surveying land plots and attributing property rights in remote areas requires considerable resources and time. The phasing out of price support has not been fully accomplished while transfers are already being allocated on a large scale. Drastic budgetary cuts and hardship in rural areas in 1995 may have complicated and slowed implementation of the reforms.

110. For a review of regional development policies, see OECD, *Regional problems and policies in Mexico,* forthcoming. With respect to infrastructures, Mexico ranks at the low end of OECD countries. On the basis of average indicators (roads, telephones, for instance), Mexico stands closer to developing countries: there were 118 telephone per 1 000 inhabitants in 1990, less than half the level in Portugal and Ireland (just below the level in Turkey); and the ratio varied from one to ten between the richest and poorest states.

111. Workers who started to contribute in the old PAYG system will be given the choice between the benefits of the old system and of the new one when they reach the age of retirement.

112. The experience of other OECD countries suggest that fiscal pressures may make this entitlement not affordable in the medium-term.

113. Fiscal costs would come from: *i)* the guaranteed minimum pensions; *ii)* during the transition period, the gap between what the worker has accumulated on his account and what he should get if he chooses the old scheme; *iii)* contributions to the general health scheme and those to the new health scheme. Regarding the health component, the existing possibility of opting out from the system (with a payback clause) is under discussion. In the old system, firms and

their workers have had the possibility of opting out from the IMSS, under the condition that a private insurance provide at least the same guarantees and services as the IMSS to the workers. Other OECD countries' experiences show that such option creates a risk of ''cream-skimming'' in the national public health system – the public system being left with the population that contributes the least but requires the most health services – putting the financial viability of the system in danger. Although regulations can reduce such incentives, they may be difficult to enforce.

114. For an analysis of the Mexican health system reform, see OECD (1996).

115. *i)* NAFIN is developing its credit guarantees for smaller enterprises in the industrial sector (leather goods, textiles and clothing, furniture and wood products are already benefiting); a credit programme in UDIs is available; at the same time, NAFIN restructured some of its loans to smaller enterprises; *ii)* the National Bank for domestic trade is providing credit guarantees for micro and SMEs in the service sector; *iii)* BANCOMEXT has put in place specific programmes of export promotion for SMEs; a new Trust Fund was created to help finance commerce and trade projects not served by the existing mechanisms; resources are being channelled through first-tier banks (*i.e.* banks authorised to deal with non-financial agents).

116. Snower, J. (1994).

117. The reform shortens the length of corporate judicial procedures, eliminates the requirement of third-party involvement in setting up guarantee trusts and permits the trading of mortgages on the Mexico stock exchange.

118. In Chile, the state chose to retire the pension debt associated with the pre-existing pension system, which requires a large primary fiscal surplus for 40 years or more and boosts public savings (Diamond and Valdes-Prieto, 1994). These authors even mention that the transition to a private pension system can lead to a fall in national saving if high interest rates imply a larger pension after privatisation and the government simply increases its debt to accommodate. A second factor explaining the increase in savings in Chile is the introduction of a retirement age for eligibility instead of years of service alone (which has increased the working period).

119. The Chilean proposal is described in Cortázar (1995).

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Annex I

Background material for Chapter III

Table A1. **Employment in the manufacturing sector**

	Level in 1994[1] (thousands)	Structure in 1994 (per cent)		1987-94 annual average growth rate (per cent)	
		Non-maquiladoras	Maquiladoras	Non-maquiladoras	Maquiladoras
Total	**3 239**	**100**	**100**	**–2.2**	**9.8**
Food, beverages and tobacco	668	22	1	0.2	17.1
Textiles, apparel and leather	497	11	14	–4.8	12.8
Wood products and furniture	152	1	6	–4.1	13.3
Paper, paper products and printing	185	4	–	–2.7	–
Chemical products	371	19	2	–1.9	45.5
Non-metallic mineral products	175	6	–	–2.8	–
Basic metal industry	56	5	–	–7.0	–
Fabricated metal products, machinery and equipment	1 020	30	59	–1.8	8.7
Other manufacturing industries	116	1	11	1.2	7.7

1. Number of dependent jobs.

Source: INEGI, National accounts at 1993 constant price, *Encuesta Industrial Mensual* and *Estadística de la Industria Maquiladora de Exportación*.

Table A2. **Active labour market policies**

	1988	1990	1992	1993	1994
Public employment services					
Job applications	214 323	241 177	338 977	390 925	488 864
Vacancies	198 251	240 615	329 402	303 061	356 518
People allocated a job position	..	..	..	122 420	128 554
Training support for SMEs (CIMO)[1]					
Workers supported	7 648	33 131	84 064	92 210	150 226
Enterprises supported	3 314	11 444	31 066	33 804	45 740
Enterprises receiving other services	5 603	5 624	5 096	9 428	15 930
Training scholarships (PROBECAT)					
Scholarships for the unemployed	66 294	64 139	42 136	46 612	198 864
Trainees courses	2 338	2 204	1 671	1 852	8 250

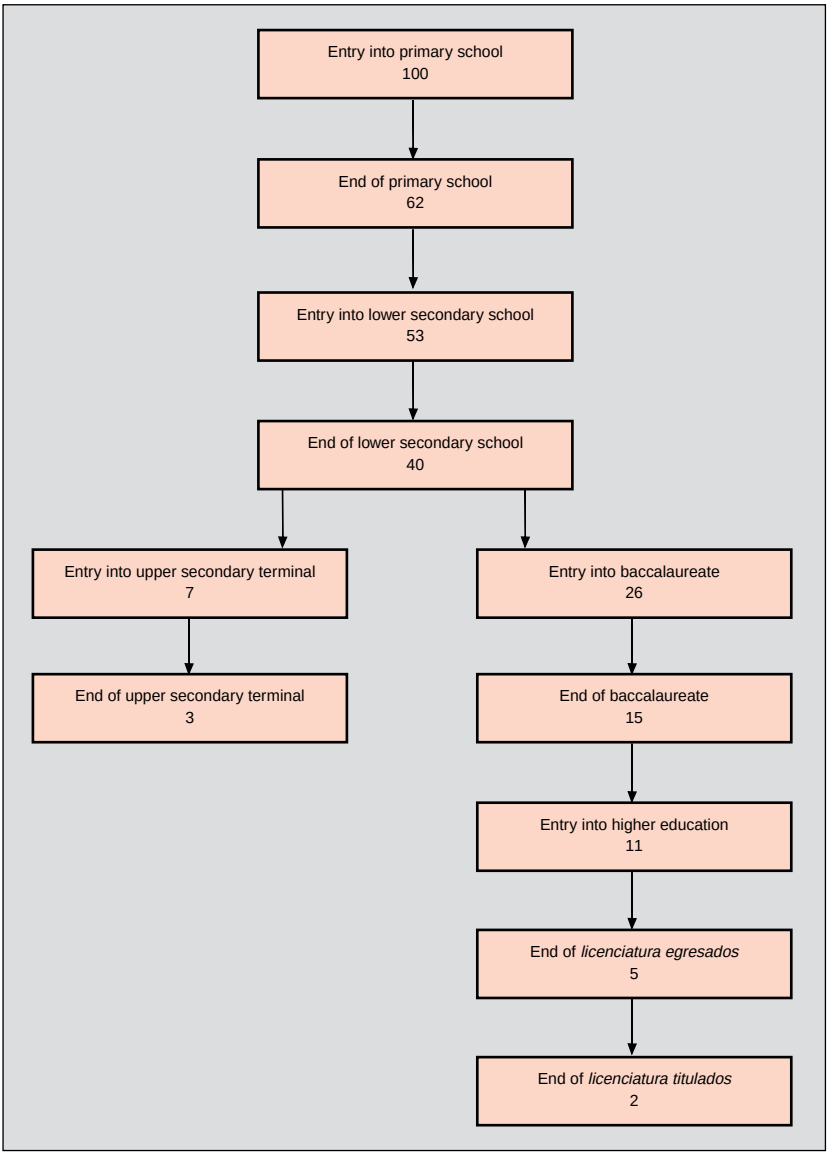
1. Training assistance programme for micro, small and medium-size enterprises.
Source: Ministry of Labour and Social Security (STPS).

Figure A1. **EMPLOYMENT AND LABOUR FORCE IN 16 URBAN AREAS**

Millions

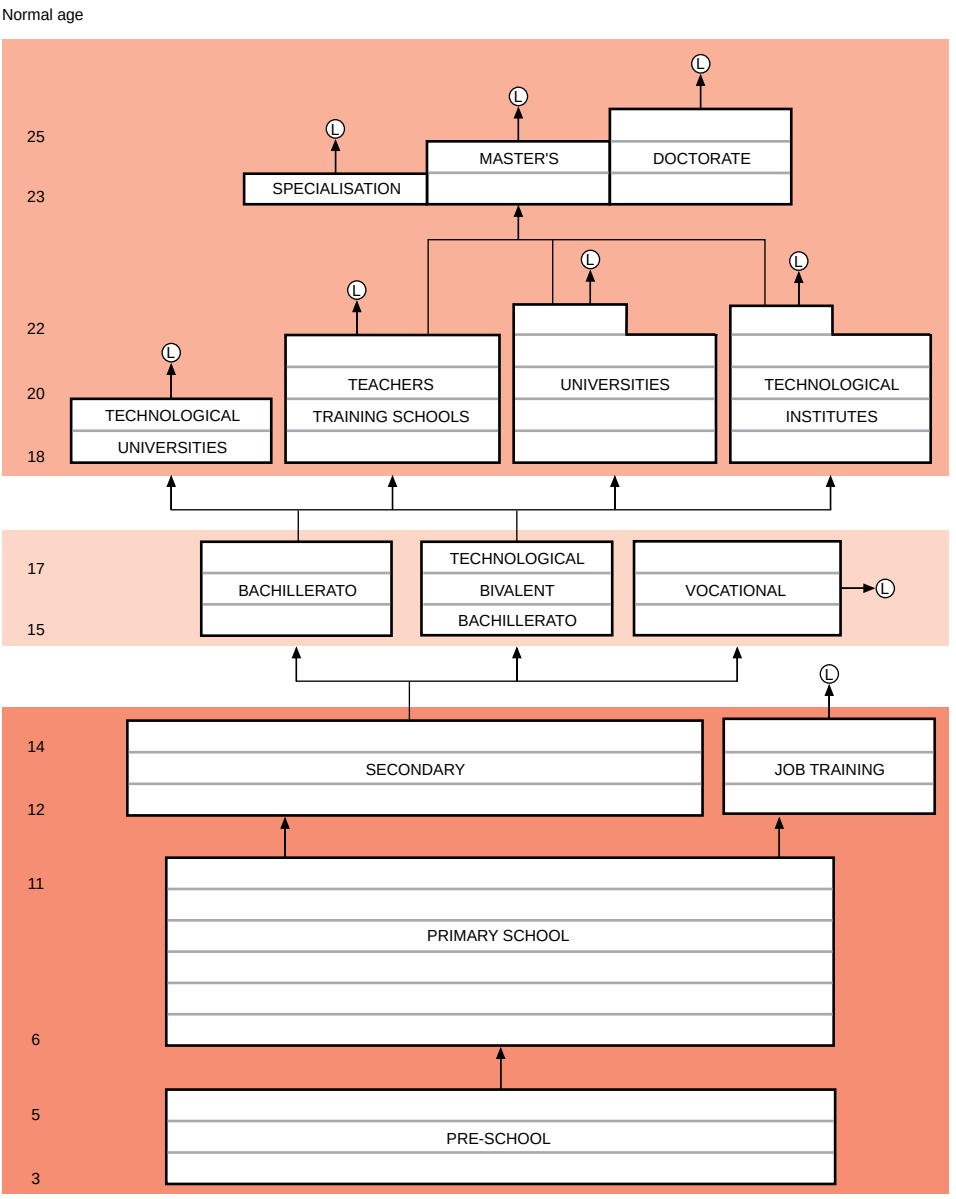
Source: INEGI, Encuesta Nacional de Empleo Urbano.

Figure A2. **COHORT ENTERING PRIMARY SCHOOL IN 1976 TRACKED TO 1992**



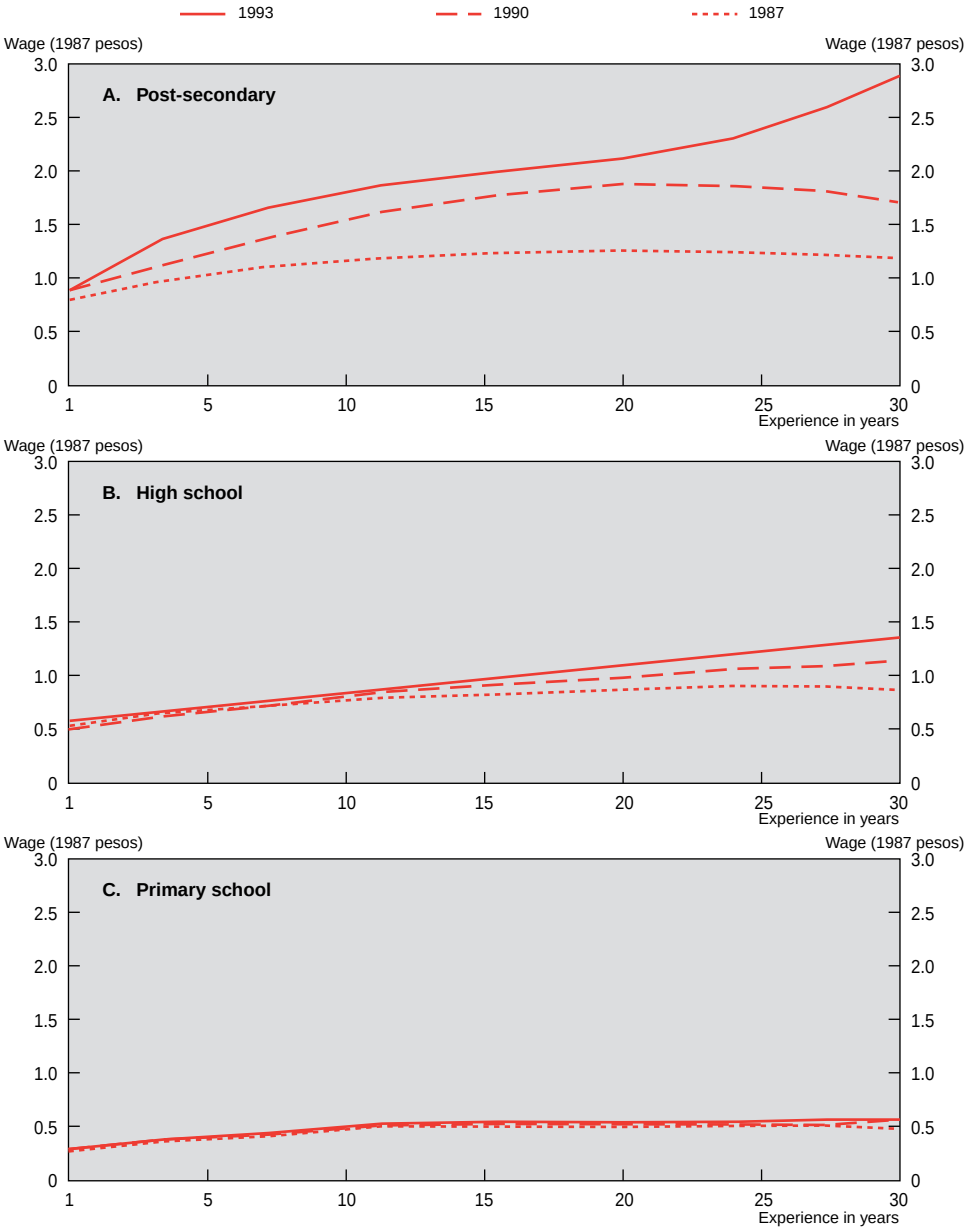
Source: OECD Secretariat, based on data provided by national authorities.

Figure A3. **STRUCTURE OF NATIONAL EDUCATION SYSTEM**



Note: Ⓛ = Labour market.
Source: OECD Secretariat, based on data provided by national authorities.

Figure A4. **AVERAGE WAGES BY EDUCATION LEVEL**



Source: OECD Secretariat, based on Cragg and Epelbaum (1994).

Note on labour market statistics[1]

Since there is no continuous source with a national coverage for labour market statistics, several different sources were used to get a picture of Mexican labour market developments. Data are generally collected by the National Statistical Institute (INEGI) and there are statistics of the private social security institute (IMSS) as well. Various statistical sources that were used for Chapter III are reviewed below.

Population census

Data: Working age population, labour force, employment by profession, by working status and by sectors (3 sectors only).

Periodicity: Every 10 years.

Remarks: The labour force status is not probed very deeply in the censuses, and urban and national employment surveys provide a better basis for determining labour force status. There was some degree of undercounting in the 1950 and 1960 censuses. Definitions have changed and methods improved from census to census, in particular from 1970 onwards. But, as regards the non-employed, there is no test of whether one is actively seeking for a job or available for work. The 1980 census is widely recognised to be flawed, and it is generally recommended to use the 1979 labour force survey instead. Censuses can still be used to capture long-term trends.

Household employment surveys

Since the mid-1980s, employment surveys probe extensively into the labour force status, thus the recording of marginal activities – mainly paid or unpaid family workers – has improved, but there is a historical discontinuity. Some caution must hence be exercised in the analysis of trends (overall, sectoral and by status).

Urban Employment Survey (Encuesta Nacional de Empleo Urbano, ENEU)

Data: Labour force, participation rates, employment (by sector, working status, working-time/duration of work, size of the firm, profession, income level), unemployment rates (by sex, age group, duration, education level, etc.).

Periodicity: Monthly since 1987.

Remarks: The ENEU is the only high frequency survey (monthly) available to assess the evolution of labour force and employment. The survey questionnaire is unchanged since 1985. However they are numerous brakes in the series, since the sample of the Urban Survey has been enlarged over the years: it covered 12 urban areas in 1985, increasing to 16 in 1987, 32 urban areas in January 1992, 34 in July of the same year; 35 in April 1993, 36 in July and 37 in October of that year; 38 in July 1994, 39 in October of that year;

41 as from January 1996. As a result developments through time of employment and labour force cannot be captured. In 1995, the survey covered some 16 billion persons (compared to 35.5 billion in the 1995 National Employment Survey) representing more than 90 per cent of the population of large urban areas and 60 per cent of the population in all urban areas.

National Employment Surveys

Data: Working-age population, labour force, employment (by sex, age group, education level, sectors, profession, working status, working time, social benefits etc.), unemployment.

Periodicity: 1979; 1988; biennial since 1991.

Remarks: The 1979 occupational survey (*Encuesta Continua Sobre Ocupación*, ECSO) is the first labour force survey to be of national coverage. It has some bias towards undercounting labour force and employment in comparison with the *Encuesta Nacional de Empleo* (ENE) that followed, in 1988, 1991, 1993 and 1995, since unpaid family workers working less than 15 hours a week were not considered as employed in the ECSO. National employment surveys, together, are the best available source for examining labour force developments through time.

The urban component of ENE uses the same questionnaire as the *Urban Employment Survey*, but the geographic coverage is more representative, because it includes more of the smaller urban areas. A special questionnaire is used for less urbanised areas (less than 100 000 inhabitants). There are some inconsistencies between the survey of 1988 and the following ones, regarding the geographic areas. From 1991 onwards, the ENEs are more strictly comparable. There has been a change in the definition of employers and self-employed, but added together the series are consistent in time.

Establishment surveys

Monthly Industrial Survey (Encuesta Industrial Mensual)

Data: Number of employees and production workers, hours worked, compensation and wages.

Periodicity: Monthly since 1987.

Remarks: The survey covers about 3 200 non-*maquiladora* establishments engaged in manufacturing. Establishments surveyed for each sector represent at least 65 per cent of the GDP in the sector, so that the number of establishment surveyed in each sector varies with the degree of concentration in the sector. It provides data on labour cost – being the only survey from which hourly wages can be calculated. The split between production workers and

other employees (blue collars versus white collars) that is available can be used to study trends in relative wages. Similar surveys exist for the construction and trade sectors.

Maquiladora Survey (Encuesta de la Industria Maquiladora de Exportación)

Data: Number of production workers, technical staff and administrative employees, number of hours worked by production workers, wages and compensation.

Periodicity: Monthly since 1980.

Remarks: It is a full-scope survey for those establishments which assemble imported components to re-export as finished goods.

National Survey of Micro-enterprises (Encuesta Nacional de Micronegocios)

Data: Socio-economic characteristics of the labour force working in micro-enterprises.

Periodicity: One in 1992 and one in 1994.

Encuesta Nacional de Empleo, Salarios, Tecnologia y Capacitatión en el Sector Manufacturero

Data: Job characteristics and workers' compensation for 52 branches.

Periodicity: Done once by INEGI, STPS and ILO in 1992.

National accounts

Data: Employment and compensation by production sector, and for public sector.

Periodicity: Annual.

Remarks: Employment figures are estimates of the number of remunerated – *i.e.* dependent – jobs required to generate production. They do not provide an estimate of the number of persons employed, and exclude non-remunerated jobs and self-employment. It is an estimate and not an observed statistical information. To the extent that they are based in many cases on fixed employment/output coefficients to derive the number of jobs, the series reflect the effect of output on employment variation, but not the effects of technical change nor of the change in the size of firms (both very relevant since the start of the 1980s). When compared to actual statistical data, they seem to fluctuate less. Also, data are likely to present bias in some sectors, overestimating employment in the trade and services sectors in particular, but they seem to be relatively reliable in the case of manufacturing.[2]

Data provided for compensation of employees are consistent with employment data.

Social Security Institute (IMSS) statistics

Data: Number of workers insured at the IMSS (permanent, by sector, temporary, urban, rural) and average wages.

Periodicity: Monthly.

Remarks: They are an indicator of formal employment in the private sector; some enterprises which evade labour regulation concerning registration of their employees to the social security institute would not be covered, although they could be considered as formal in the sense that they use modern production techniques. The quality of figures may vary across sectors. In the case of wages, although there is a recognised tendency to under-declaration, data can be used to trace the evolution in time or across sectors of activity.

Notes

1. This section is widely based on Fleck and Sorrentino (1994), with additional information also from Rendon and Salas (1995).
2. Trejo, S. (1988), *Empleo para todos, el reto y los caminos*, FCE, Mexico quoted in STPS (1993).

Annex II

Pension reform

Contributions

Table A3. **Contributions to pension and disability before and after IMSS reform**

	Premium (per cent)	Cap[1] (times the minimum wage)	Financing
Old scheme			
IVCM:			
Disability and life	3.0	10	Tripartite[2]
Retirement and old-age severance	3.0	,,	,,
Retirees' medical services	1.5	,,	,,
Social quota	0.4	,,	,,
Management expenses	0.6	,,	,,
Retirement savings (SAR)	2.0	25	Employer
INFONAVIT	5.0	,,	Employer
New Scheme			
Disability and life	2.5	15-25	Tripartite[2]
Retirees' medical services	1.5	,,	,,
Retirement and old-age severance	4.5	,,	,,
Retirement savings (SAR)	2.0	,,	Employer
Social quota	365 pesos[3]	–	Government
INFONAVIT	5.0	10	Employer

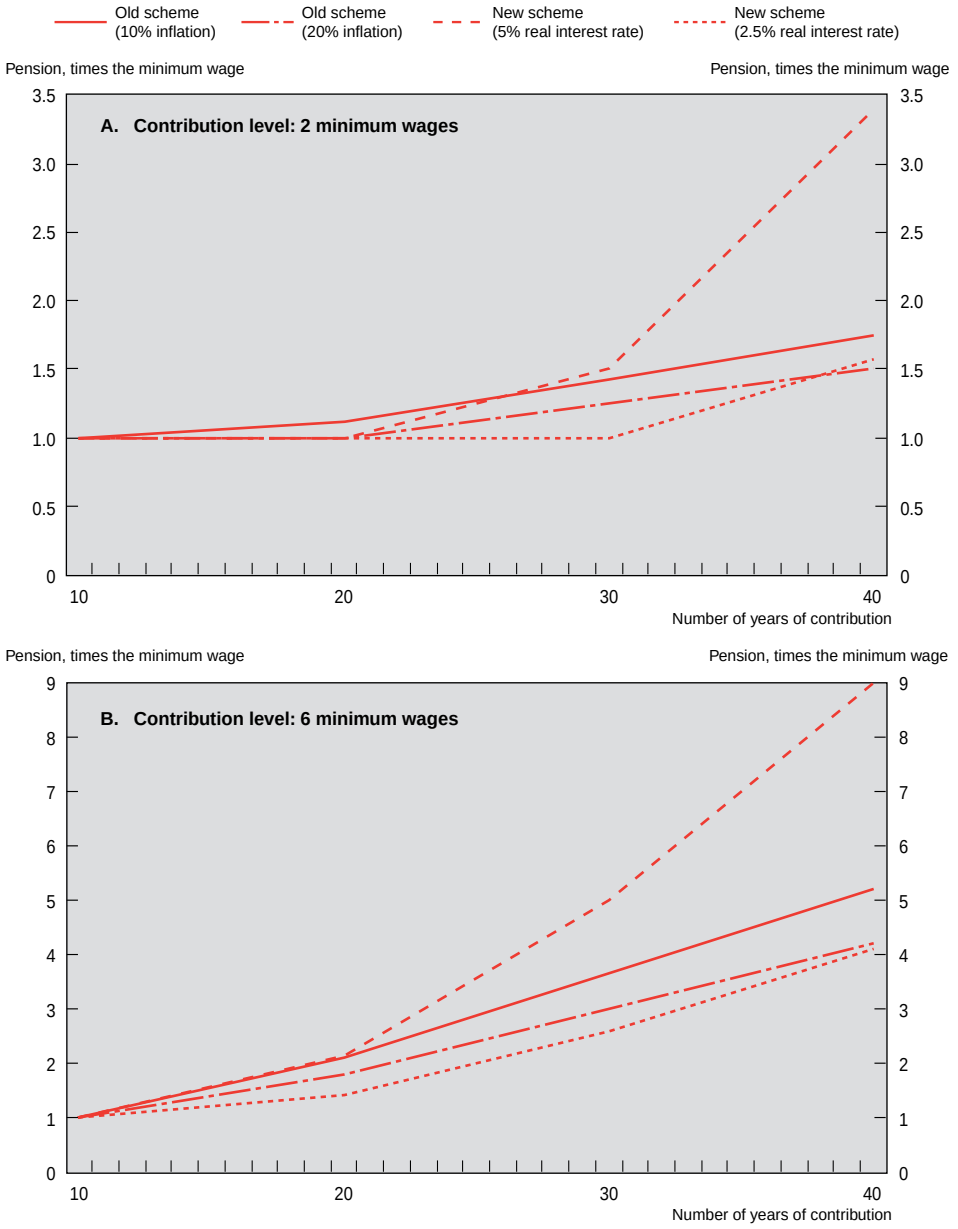
1. Rising from 15 minimum wages in January 1997, to 25 minimum wages in 2007.
2. Employer 70 per cent, worker 25 per cent and government 5 per cent.
3. At 1997 constant prices.

Source: OECD Secretariat based on IMSS.

Pension levels

Figure A5 shows that the level of pensions in the new scheme is highly sensitive to the level of real interest rates. If real interest rates are 2.5 per cent or less, pensions under the new regime are almost always less favourable than they would have been under the former regime (which was not viable). Workers already contributing to the pension system will be given the choice between the new and the old schemes at the age of retirement.

Figure A5. **COMPARISON OF PENSION LEVELS**[1]



1. It is assumed that the individual receives a pension during 21 years.
Source: IMSS.

Pension funds

The accounts will be managed by Administrators of Funds for Retirement (AFOREs), which will invest the funds in financial markets through specialised Mutual Funds (called SIEFOREs). Workers are free to choose the AFORE but they can only change AFORE once a year to avoid large administration costs such as these experienced in Chile; the worker can also choose to invest his funds in different SIEFOREs of the same AFORE. AFOREs are regulated by the *Comision Nacional del Sistema de Ahorro para el Retiro* (CONSAR), which replaces the regulatory body for the SAR. Regulations approved in April 1996 allow any entity (national and foreign financial intermediaries, IMSS, labour unions, etc.) to create an AFORE, provided that it is recognised as solvent, and has the required technical capacity. Foreign participation is authorised up to 100 per cent for investors from countries which have a free-trade agreement with Mexico (NAFTA in particular), and up to 49 per cent for the others. Banks that have been intervened by the government are excluded. In the first four years, no single AFORE is allowed to manage more than 17 per cent of the total national retirement funds.

Every AFORE will be able to offer various SIEFOREs with different risks, but has to offer at least one SIEFORE with fixed income, composed of inflation-indexed instruments. All papers must be graded and, for the time being, issued by a Mexican entity whether inside or outside Mexico, thus providing some possibility of diversification in terms of currency denomination. A committee for risk analysis will set the criteria for the type of security that can be invested in. SIEFOREs are not allowed to purchase securities on the primary market, nor securities issued by related firms if they belong to a group. Although the initial reform project included a guarantee by the AFOREs of some positive real return on the funds, this provision was withdrawn, in order to prompt the AFOREs to competition.*

* According to the regulating authorities, requiring an identical positive real return would tend to force the AFOREs to have all the same behaviour.

Annex III

Calendar of main economic events

1995

March

The government announces a new package of measures in the wake of the continuing peso depreciation. This includes more stringent targets for net credit creation, a further tightening of government spending, an increase in the VAT base rate and an adjustment of public tariffs.

New capitalisation regulation applicable to banks and securities brokerage are established, to become effective in September 1996. In addition to credit risks, the new rules also cover market risks.

The government launches the Temporary Capitalisation Programme (PROCAPTE) for banks.

Some restrictions on participation in the capital of commercial banks are eased to attract new investors, both foreign and domestic.

April

The UDI (*Unidades de Inversion*) – a unit of account with constant real value – is introduced to restructure credits. With the conversion of credits into UDIs, the value of credits remains practically constant in real terms with regard to both principal and interest, thus preventing accelerated amortisation caused by inflation. The restructuring mechanism also includes a lengthening of the loan maturity and grace period.

May

Laws for air transport and for railroad services are passed, setting the basis for opening up the sectors.

A bill is approved that allows private companies to distribute natural gas in Mexico, eliminating the monopoly of PEMEX.

A mechanism for capitalisation and loan purchase is set up, whereby banks can transfer their bad loans to FOBAPROA, as a counterpart for capital infusion by shareholders.

June

The Federal Telecommunication Act, approved by the Congress, sets the framework for a fully competitive environment.

September

An emergency programme of immediate support for some banking system debtors (ADE) is set up by the government (covering mortgages, credit card credits, consumer loans, etc.).

October

The new social pact (Alliance for Economic Recovery) is signed by the Mexican government, the Bank of Mexico and representatives of labour and business. It sets the broad lines of economic policies for 1996.

November

The budget for 1996 is approved; it provides for tax incentives to reduce the fiscal burden on enterprises, promote investment and encourage job creation.

Additional measures are taken to strengthen support to the banking system and debtors.

December

The new Social Security Act is approved, reforming the pension and health insurance systems; initially planned to come into force in January 1997, it was postponed to mid-1997.

The Airport Act, which opens up the sector to competition, is approved.

1996

February

A four-year energy plan is announced by the government; it allows the auctioning of concessions for private sector construction and operation of power plants.

A first agreement is concluded between the government and the Zapatist guerilla from Chiapas.

April

Regulations for the AFORES (pension funds administrators) are approved by the Congress.

Government arbitration of interconnection pricing is introduced as a means of determining the appropriate charges competitors of Telmex should pay for access to its network, if parties fail to agree.

May

The government launches an additional mortgage loans support programme.

The Ministry of Trade and Industrial Development discloses a ‘‘Foreign Trade and Industrial Policy Programme’’, aiming at improving the functioning of markets, in particular including the strengthening of links between SMEs and large enterprises.

European Union foreign ministers agree to negotiate a trade pact with Mexico, on a sector by sector basis.

June

A new guerilla group emerges in the state of Guerrero.

July

An agreement for the Financing of the Agricultural and Fishing sector (FINAPE) is set-up, which aims at alleviating indebtedness of producers and providing credits for production.

An agreement to promote a series of constitutional and legal reforms is signed by the four main political parties, after 18 months of negotiations, and approved by the Congress on 1 August. The changes dilute the power of the presidency and the ruling party, set limit on campaign spending, and allow the capital to elect a mayor.

August

The Central Bank introduces a new scheme of dollar purchase, allowing commercial banks to exert an option to sell dollars to the Central Bank when the peso is appreciating; the facility can serve to increase international reserves while reducing the volatility in the exchange rate.

The government prepays US$7 billion to the United States Treasury of the US$10.5 billion disbursed to Mexico in the form of medium-term swaps under the support programme; US$3.5 billion remain outstanding. US$1 billion has also been paid in advance to the IMF.

An agreement is signed between representatives of workers and employers setting ‘‘Principles for a new work culture’’.

September

An issue of US$1 billion of Global bonds (20-year maturity) is made to repay discounted Brady Bonds.

The Agreement of Financial Aid to the Micro-, Small and Medium Enterprises (FOPYME) is set up, providing additional support to restructure their debt and facilitate the allocation of new credits.

Mexico becomes a member of the Bank of International Settlements.

October

The government announces its new plans for the privatisation of secondary petrochemicals: the State will keep 51 per cent of the shares; 49 per cent will be sold to the private sector. Private investment (domestic and private) is allowed up to 100 per cent in new plants. Legislation intended to provide greater legal clarity for private investors in the sector was submitted to Congress and was approved at the end of the month.

The government, the Central Bank and representatives of workers and employers, sign the social pact for 1997 (Alliance for Economic Growth).

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1986-95 [1]	1980 price basis				1993 price basis						
		1986	1987	1988	1989	1989	1990	1991	1992	1993	1994	1995
A. Percentage changes from previous year												
Private consumption, volume	2.1	–2.8	–0.1	1.8	6.8	7.3	6.4	4.7	4.7	1.5	4.6	–6.9
Gross fixed asset formation, volume	1.1	–11.8	–0.1	5.8	6.4	5.8	13.1	11.0	10.8	–2.5	8.4	–29.1
Private sector	–0.8	–14.3	–12.3	–4.2	3.7	5.3	13.8	14.5	15.0	–3.2	9.8	–32.0
Public sector	0.8	–10.4	6.5	10.2	7.4	7.1	11.2	0.6	–3.3	0.4	2.9	–17.0
GDP, volume	1.7	–3.8	1.9	1.2	3.3	4.2	5.1	4.2	3.6	2.0	4.4	–6.2
GDP price deflator	45.7	74.1	138.5	99.9	25.8	26.5	28.1	23.3	14.4	9.5	8.3	34.5
Industrial production	1.4	–5.6	3.3	2.4	5.5	5.5	5.7	3.3	3.1	0.2	4.0	–8.1
Employment [2]	3.3	..	..	4.7	3.6	3.6	1.9	5.5	5.4	4.5	1.4	–1.0
Compensation of employees	50.2	66.4	129.3	97.0	27.7	30.8	34.6	34.3	26.3	18.0	15.0	..
Productivity (GDP/employment [3])	–0.6	..	..	–3.3	–0.2	1.4	2.2	1.4	–0.1	–1.7	1.2	–6.2
Unit labour cost (compensation/GDP)	47.0	72.9	125.1	94.6	23.6	25.5	28.1	28.9	21.8	15.7	10.1	..
B. Percentage ratios												
Gross fixed capital formation as % of GDP at constant prices	17.2	16.4	16.1	16.8	17.3	15.8	17.0	18.2	19.4	18.6	19.3	14.6
Stockbuilding as % of GDP at constant prices	1.1	–1.1	–0.2	0.7	0.5	1.8	1.7	1.6	2.2	2.4	2.8	–1.1
Foreign balance as % of GDP at constant prices	1.7	9.5	10.5	8.7	6.8	0.8	–1.0	–2.4	–4.8	–3.9	–5.0	4.2
Compensation of employees as % of GDP at current prices	30.5	28.5	26.9	26.2	25.7	29.5	29.5	30.9	32.9	34.7	35.3	..
Unemployment as % of labour force [2]	3.6	4.3	3.9	3.5	2.9	2.9	2.7	2.6	2.8	3.4	3.7	6.3
C. Other indicator												
Current balance (US$ billion)	–10.5	–1.4	4.2	–2.4	–5.8	–5.8	–7.4	–14.9	–24.4	–23.4	–28.8	–0.7

1. The 1980 price basis is used for sub-period 1985-88; the 1993 price basis from then on.
2. National Survey of Urban Employment.
3. National Survey of Employment.

Source: OECD.

Table B. **Gross domestic product and expenditure**

Million pesos, constant prices

	Constant 1980 prices				Constant 1993 prices							
	1985	1986	1987	1988	1988	1989	1990	1991	1992	1993	1994	1995
Private consumption	3 083	2 995	2 991	3 046	711 453	763 270	812 336	850 343	890 130	903 174	945 070	879 727
Public consumption	558	566	559	556	119 318	121 939	126 005	132 842	135 312	138 565	142 517	133 391
Gross fixed asset formation	881	777	776	821	162 548	171 896	194 456	215 833	239 227	233 179	252 745	179 130
Public	318	273	239	229	40 632	43 526	48 405	48 676	47 071	47 264	48 636	40 385
Private	563	504	537	592	121 916	128 371	146 051	167 157	192 156	185 916	204 109	138 745
Stockbuilding	20	–51	–9	36	25 874	19 493	19 041	18 895	26 755	30 597	36 706	–13 071
Total domestic demand	4 542	4 288	4 318	4 460	1 019 193	1 076 599	1 151 838	1 217 913	1 291 423	1 305 515	1 377 038	1 179 177
Exports of goods and services	746	788	862	912	144 376	152 550	160 643	168 788	177 201	191 540	224 953	306 918
Imports of goods and services	367	339	357	488	121 503	143 334	171 634	197 684	236 462	240 859	290 330	255 311
Foreign balance	379	448	505	424	22 873	9 216	–10 991	–28 896	–59 261	–49 319	–65 377	51 607
Gross domestic product	4 920	4 736	4 824	4 884	1 042 066	1 085 815	1 140 848	1 189 017	1 232 162	1 256 196	1 311 661	1 230 780

Source: OECD.

Table C. **Gross domestic product and expenditure**

Million pesos, current prices

	1980 price basis				1993 price basis							
	1985	1986	1987	1988	1988	1989	1990	1991	1992	1993	1994	1995
Private consumption	30 575	54 209	127 268	270 998	281 569	377 907	514 117	669 159	808 120	903 174	1 016 495	1 303 470
Public consumption	4 374	7 208	16 995	33 741	35 028	45 383	61 949	86 163	111 752	138 565	164 161	185 810
Gross fixed asset formation	9 048	15 415	35 667	75 199	77 110	94 670	132 113	177 044	220 545	233 179	274 861	286 736
Public	3 147	5 176	10 071	19 717	18 318	23 068	31 585	38 539	42 597	47 264	53 349	59 463
Private	5 902	10 239	25 596	55 482	58 792	71 602	100 528	138 505	177 949	185 916	221 512	227 272
Stockbuilding	987	–734	1 566	4 501	16 812	31 254	38 879	44 379	41 563	30 597	33 824	–34 894
Total domestic demand	44 984	76 098	181 496	384 439	410 518	549 214	747 059	976 745	1 181 981	1 305 515	1 489 342	1 741 122
Exports of goods and services	7 305	13 732	37 692	65 568	82 961	104 266	137 441	155 327	171 476	191 540	236 443	579 934
Imports of goods and services	4 897	10 639	25 877	59 555	77 174	104 622	145 603	182 924	228 123	240 859	305 625	528 358
Foreign balance	2 408	3 094	11 816	6 012	5 787	–356	–8 162	–27 597	–56 646	–49 319	–69 182	51 576
Gross domestic product	47 392	79 191	193 312	390 451	416 305	548 858	738 898	949 148	1 125 334	1 256 196	1 420 159	1 792 690

Source: OECD.

Table D. **Gross domestic product by industry of origin**

Million pesos, constant prices of 1993

	1985	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
Agriculture, forestry and fishing	68 612	67 340	68 317	65 980	65 892	69 604	71 222	70 533	72 703	73 373	71 516
Mining and quarrying	15 169	14 384	15 099	15 134	15 090	15 602	15 765	15 963	16 258	16 670	16 095
Manufacturing	177 961	168 068	172 365	178 416	192 501	205 525	212 578	221 427	219 934	228 892	218 438
Construction	47 095	42 236	43 416	43 240	43 995	48 040	50 385	53 754	55 379	60 048	46 057
Electricity, gas and water	14 137	14 651	15 199	16 114	16 835	17 270	17 337	17 869	18 327	19 201	19 606
Wholesale and retail trade, hotels and restaurants	210 742	197 649	199 347	202 530	211 892	225 058	238 750	251 402	251 629	268 696	230 694
Transportation, storage and communication	86 323	83 273	85 671	87 505	91 603	94 873	98 125	103 317	107 480	116 842	111 540
Financial services, insurance and real estate	134 849	139 803	144 730	146 785	151 916	158 670	166 125	173 740	183 208	193 146	192 384
Community services	227 292	225 419	225 312	226 562	233 484	240 835	251 629	255 443	263 922	267 243	259 556
Imputed bank service charge	–22 339	–22 904	–23 384	–24 039	–24 750	–26 414	–28 559	–30 416	–33 707	–37 436	–34 081
GDP at basic prices	959 840	929 919	946 073	958 230	998 459	1 049 064	1 093 358	1 133 032	1 155 132	1 206 674	1 131 805
Taxes on products less subsidies	83 977	81 360	82 773	83 837	87 356	91 784	95 659	99 130	101 064	105 526	98 979
Gross domestic product	1 043 818	1 011 278	1 028 846	1 042 066	1 085 815	1 140 848	1 189 017	1 232 162	1 256 196	1 312 200	1 230 784

Source: OECD.

Table E. **Cost components of GDP**

	1980 price basis				1993 price basis						
	1985	1986	1987	1988	1988	1989	1990	1991	1992	1993	1994
Million pesos											
Compensation of employees	13 590	22 605	51 878	102 179	123 951	162 130	218 203	293 064	370 021	436 483	501 897
Net operating surplus	24 043	39 396	97 421	205 898	209 268	284 011	386 459	485 016	551 640	597 279	667 538
Consumption of fixed capital	5 331	10 871	25 284	46 763	47 700	55 120	68 039	84 911	100 204	113 388	129 563
Indirect taxes	5 688	8 541	23 523	42 548	42 323	56 052	74 857	93 900	112 508	119 862	131 036
Less subsidies	1 261	2 222	4 795	6 937	6 937	8 455	8 660	7 743	9 039	10 816	9 875
Gross domestic product	47 392	79 191	193 312	390 451	416 305	548 858	738 898	949 148	1 125 334	1 256 196	1 420 159
Per cent of GDP											
Compensation of employees	28.7	28.5	26.8	26.2	29.8	29.5	29.5	30.9	32.9	34.7	35.3
Net operating surplus	50.7	49.7	50.4	52.7	50.3	51.7	52.3	51.1	49.0	47.5	47.0
Consumption of fixed capital	11.2	13.7	13.1	12.0	11.5	10.0	9.2	8.9	8.9	9.0	9.1
Indirect taxes	12.0	10.8	12.2	10.9	10.2	10.2	10.1	9.9	10.0	9.5	9.2
Less subsidies	2.7	2.8	2.5	1.8	1.7	1.5	1.2	0.8	0.8	0.9	0.7

Source: OECD.

Table F. **Prices and real wages**

	1980 price basis					1993 price basis						
	1985	1986	1987	1988	1989	1989	1990	1991	1992	1993	1994	1995[1]
Real earning by occupied person[2] (1988 = 100)												
Total	123.5	111.9	109.7	100.0	105.1	105.9	107.4	114.2	122.9	130.6	136.9	..
Agriculture	125.6	126.1	117.3	100.0	95.6	97.8	87.6	87.9	86.2	85.1	84.2	..
Manufacturing	110.1	101.4	100.5	100.0	106.7	108.4	107.9	111.5	117.3	118.7	123.2	..
Construction	132.1	118.0	113.9	100.0	95.5	94.3	93.0	94.4	97.5	100.1	103.0	..
Commerce, hotels et restaurants	132.6	119.8	113.0	100.0	103.1	108.2	112.3	119.4	126.1	132.9	136.5	..
Federal government	130.4	109.5	111.6	100.0	111.5	108.9	117.9	129.4	142.1	163.2	180.1	..
Prices (annual % changes)												
Deflators												
Gross domestic product	56.5	73.6	139.7	99.5	25.8	26.5	28.1	23.3	14.4	9.5	8.3	34.5
Private consumption	58.8	82.5	135.1	109.1	23.3	25.1	27.8	24.3	15.4	10.1	7.6	37.8
Exports of goods and services	49.3	78.0	150.7	64.5	21.0	18.9	25.2	7.6	5.2	3.3	5.1	79.8
Imports of goods and services	56.7	135.1	131.3	68.3	13.6	14.9	16.2	9.1	4.3	3.7	5.3	96.6
Terms of trade	–4.8	–24.3	8.4	–2.3	6.5	3.5	7.7	–1.4	0.9	–0.3	–0.2	–8.6
Producer prices	55.2	79.5	145.3	99.3	12.8	12.8	22.7	19.1	12.0	6.6	6.4	41.5
Consumer prices[3]	63.7	105.7	159.1	51.7	19.7	19.7	29.9	18.8	11.9	8.0	7.0	51.9
Basic basket[4]	61.3	125.3	155.9	41.6	15.4	15.4	33.6	22.3	8.1	7.5	8.1	60.6
Other goods and services	65.1	94.8	161.3	58.0	22.1	22.1	27.9	16.8	14.1	8.3	6.5	46.6

1. Provisional.
2. Deflated by the consumer price index.
3. December to December
4. Basic goods and services, of which some supplied by the public sector (gasoline, electricity).

Source: OECD and Banco de México.

Table G. **Federal government revenue and expenditure**

Million pesos

	1985	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995[1]
Total revenue	7 991	12 670	32 974	68 015	90 204	117 710	147 458	210 446	194 813	215 353	283 272
Tax revenue	7 578	11 902	30 891	60 757	78 872	105 206	134 724	161 002	178 016	191 389	243 939
Direct taxes	4 664	6 345	17 818	32 918	43 894	59 070	75 419	92 418	104 254	104 036	148 155
PEMEX	2 741	2 980	10 163	13 451	17 985	26 098	31 215	34 473	35 033	31 136	72 866
Income tax	1 923	3 365	7 655	19 468	25 909	32 972	44 205	57 945	69 221	72 900	75 288
Indirect taxes	2 914	5 557	13 073	27 839	34 978	46 136	59 305	68 584	73 762	87 353	95 784
VAT	1 478	2 498	6 266	14 024	17 024	26 636	32 533	30 452	33 125	38 537	51 291
Excise taxes	1 023	2 188	4 862	10 888	12 632	11 203	11 496	18 190	19 317	27 945	24 753
Gasoline	678	1 497	3 277	7 277	7 987	5 163	6 951	12 669	13 400	21 777	17 477
Other	345	690	1 585	3 611	4 645	6 039	4 545	5 521	5 918	6 168	7 276
Import duties	302	632	1 472	1 741	3 755	6 312	9 749	12 687	12 544	12 644	11 210
Other taxes	111	240	474	1 187	1 567	1 985	5 527	7 255	8 776	8 227	8 530
Non-tax revenue	413	768	2 082	7 258	11 333	12 505	12 734	49 444	16 797	23 964	39 334
Total expenditure	11 573	23 012	60 440	105 857	115 795	137 147	147 419	163 920	185 189	221 178	291 337
Current expenditure	9 780	20 514	54 241	98 325	105 864	118 881	125 964	139 018	162 864	188 859	258 579
Wages, acquisitions, general services and other services	1 824	3 124	7 364	13 400	18 476	22 523	33 086	28 322	34 999	42 277	47 853
Interest	4 217	11 168	34 463	60 919	59 752	59 917	43 354	36 514	28 870	27 097	70 277
Participations and transfers	3 417	5 332	11 503	22 197	27 198	34 366	47 714	71 964	96 747	116 400	137 654
Other[2]	322	890	911	1 809	438	2 075	1 810	2 217	2 249	3 085	2 796
Capital expenditure	1 793	2 498	6 199	7 532	9 931	18 266	21 456	24 903	22 325	32 319	32 724
Investment	451	860	1 864	2 228	2 934	5 775	8 360	10 729	12 159	16 972	15 355
Capital transfers	1 077	1 521	4 201	4 934	6 522	11 395	9 249	12 749	8 707	13 451	16 574
Other[2]	265	117	134	370	475	1 096	3 847	1 425	1 458	1 896	796

1. Preliminary figures.
2. Includes other current transfers, deferred payments and savings.

Source: Ministry of Finance.

Table H. **Public enterprises under budgetary control**[1]

Million pesos

	1985	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995[2]
Budgetary revenues	8 162	12 863	28 293	53 947	58 340	80 192	85 210	95 649	106 921	126 323	162 580
PEMEX	2 723	4 154	8 834	16 491	16 790	25 672	25 588	26 405	27 905	32 409	48 899
Public enterprises excluding PEMEX	3 673	6 419	15 303	31 452	33 793	45 475	52 143	61 028	67 716	80 966	93 597
Transfers	1 766	2 290	4 156	6 004	7 757	9 045	7 479	8 215	11 300	12 948	20 085
Budgetary expenditures	7 943	13 197	28 165	52 083	59 163	77 271	86 344	97 381	106 360	120 868	152 818
Current expenditures	6 574	11 009	22 897	42 206	47 908	62 463	67 628	77 953	86 855	95 512	122 967
Wages and salaries	1 408	2 343	5 260	9 976	11 983	16 072	20 967	27 135	30 055	33 318	38 833
Interest payments	1 337	2 221	3 912	6 019	7 358	7 201	4 865	4 333	4 463	5 823	14 492
Goods and services	3 656	6 096	13 076	25 118	28 297	36 202	37 743	44 408	50 481	56 022	68 538
Other expenditures	173	349	649	1 093	270	2 988	4 053	2 078	1 856	348	1 104
Capital expenditures	1 369	2 188	5 268	9 877	11 255	14 808	18 716	19 428	19 505	25 356	29 851
Investment	1 336	2 074	5 190	9 787	11 221	14 403	18 122	18 466	18 806	20 336	25 657
Other	33	114	78	90	34	405	594	962	699	5 020	4 195

1. Including social security and other agencies.
2. Preliminary figures.

Source: Ministry of Finance.

Table I. **Summary of the financial system**

Million pesos

	1985	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995
Bank of Mexico											
Net international reserves[1]	2 061	6 029	28 814	14 551	17 484	29 950	53 886	57 803	76 211	32 739	120 301
Net domestic credit	680	–605	–17 783	2 963	4 740	171	–15 304	–13 831	–29 018	24 196	–53 492
Net credit to public sector[2]	1 446	3 684	–3 308	9 327	2 951	91	–13 255	–14 673	–19 269	–15 212	–26 200
Securities holdings	4 289	6 179	13 174	22 138	35 102	39 979	34 668	30 123	9 865	0	13 212
Credit to financial intermediaries	–3 349	–4 593	–8 070	–7 887	–5 348	–3 409	4 283	11 988	15 981	127 272	85 136
Other (net)	–1 706	–5 875	–19 579	–20 615	–27 965	–36 490	–41 001	–41 269	–35 595	–87 863	–125 640
Note issue	1 732	3 059	7 318	13 159	17 992	24 603	32 416	38 012	43 228	51 870	60 655
Financial system											
Net foreign assets	2 927	8 187	36 167	18 934	23 218	30 884	47 671	54 648	67 933	26 180	
Net domestic credit	25 270	56 732	122 915	171 558	224 337	277 882	359 251	430 000	501 065	789 115	
Net credit to public sector	17 885	43 078	90 899	116 540	135 851	142 427	139 602	102 429	62 256	130 128	
Net credit to private sector	6 670	11 480	29 189	53 395	94 966	149 534	233 811	346 174	434 992	617 440	
Other (net)	715	2 174	2 827	1 623	–6 481	–14 079	–14 162	–18 603	3 817	41 547	
Medium and long-term foreign obligations	13 649	36 034	90 541	90 930	106 853	110 321	124 747	133 801	150 270	293 125	
Liabilities to nonbank financial intermediaries	1 832	4 269	10 705	16 562	21 500	26 743	29 247	32 859	48 862	75 102	
Liabilities to private sector	12 716	24 617	57 836	82 999	119 201	171 702	252 928	317 988	369 866	447 068	
Monetary aggregates (% of GDP)											
M1	7.5	7.8	7.3	5.4	5.7	6.8	11.6	11.2	11.9	10.9	9.2
M4	33.3	41.2	43.7	32.3	36.9	40.1	40.9	41.3	46.8	51.2	49.1
Interest rate											
3-month Cetes rate	63.69	73.93	102.83	58.65	44.77	35.03	19.82	15.89	15.50	14.68	48.24

1. As defined by the Bank of Mexico Law.
2. Net credit to federal government minus public enterprises deposits.

Source: Banco de México.

Table J. **Balance of payments, OECD basis**

Million dollars

	1985	1986	1987	1988	1989	1990	1991	1992	1993	1994
Exports, f.o.b.[1]	26 758	21 803	27 599	30 692	35 171	40 711	42 687	46 196	51 885	60 882
Imports, f.o.b.[1]	18 359	16 784	18 813	28 081	34 766	41 592	49 966	62 130	65 366	79 347
Trade balance[1]	8 399	5 019	8 786	2 611	405	–881	–7 279	–15 934	–13 481	–18 465
Services, net	–9 583	–7 970	–6 458	–7 240	–8 772	–10 545	–10 354	–11 893	–13 559	–14 334
Balance on goods and services	–1 184	–2 951	2 328	–4 629	–8 367	–11 426	–17 633	–27 827	–27 040	–32 799
Current balance	800	–1 377	4 247	–2 374	–5 824	–7 451	–14 887	–24 442	–23 400	–28 784
Long-term capital, net	1 670	1 414	3 434	–1 892	2 435	5 679	21 816	20 191	32 045	15 432
Private	–9 915	–6 928	–676	2 225	2 536	3 994	23 283	25 629	33 210	16 326
Official	11 585	8 342	4 110	–4 117	–101	1 685	–1 467	–5 438	–1 165	–894
Basic balance	2 470	37	7 681	–4 266	–3 390	–1 772	6 928	–4 251	8 645	–13 352
Non-monetary short-term capital	–5 141	133	–1 457	–2 464	4 064	802	–873	4 731	–3 087	–5 776
Private	–2 225	646	–4 181	723	–436	–399	1 392	6 011	12	–4 105
Official	1	226	–229	5	–3	–28	13	–429	29	–35
Errors and omissions	–2 917	–739	2 953	–3 192	4 503	1 229	–2 278	–851	–3 128	–1 636
Balance on non-monetary capital	–2 671	170	6 224	–6 730	674	–970	6 055	480	5 558	–19 128
Monetary capital, net	–58	–288	–641	93	–497	3 274	1 938	1 266	1 674	1 462
Assets	–105	–342	–888	–324	–494	–676	–1 156	26	–1 672	–998
Liabilities	47	54	247	417	–3	3 950	3 094	1 240	3 346	2 460
Balance on non-monetary and monetary transactions	–2 729	–118	5 583	–6 637	177	2 304	7 993	1 746	7 232	–17 666
Use of fund credit	295	712	402	–83	365	958	160	–572	–1 175	–1 198
Change in reserves	–2 434	595	5 985	–6 722	542	3 261	8 154	1 173	6 057	–18 865
Gold	–47	112	–47	18	–611	–268	282	–98	–39	–26
Currency assets	–2 384	477	5 384	–6 459	1 152	3 532	7 700	1 300	6 425	–18 784
Reserve position in the IMF	0	0	0	0	0	0	0	0	0	0
Special drawing rights	–3	6	648	–281	1	–3	172	–29	–329	–55

1. Including maquiladoras trade.

Source: OECD; Banco de México.

Table K. **Foreign trade by commodity group**

Million dollars

	Excluding maquiladoras						Including maquiladoras				
	1986	1987	1988	1989	1990	1991	1991	1992	1993	1994	1995 [1]
Total merchandise exports	16 157	20 494	20 546	22 842	26 839	26 855	42 687	46 195	51 886	60 883	79 541
Agriculture, forestry and fishing	2 098	1 543	1 670	1 754	2 163	2 373	2 373	2 112	2 504	2 679	4 016
Mining	510	576	660	604	617	547	547	356	278	357	545
Petroleum	6 307	8 630	6 711	7 876	10 104	8 166	8 166	8 307	7 419	7 445	8 422
Manufactures [2]	7 242	9 746	11 504	12 608	13 956	15 769	31 602	35 420	41 685	50 402	66 558
Food, beverages and tobacco	937	1 313	1 363	1 268	1 095	1 216	1 421	1 365	1 590	1 896	2 529
Textiles, clothing and leather	333	566	619	623	632	764	2 014	2 317	2 770	3 256	4 899
Chemicals	829	1 093	1 385	1 537	1 679	1 975	2 120	2 298	2 344	2 756	3 972
Metal and mineral manufactures	1 292	1 707	2 087	2 466	2 409	2 382	2 925	2 993	3 548	3 835	6 293
Automobiles, motors and parts	2 450	3 187	3 481	3 882	4 790	5 272	5 767	6 105	7 443	8 962	11 948
Machinery and equipment, electronics	885	1 159	1 589	1 855	2 276	2 761	13 133	15 413	18 265	23 284	28 000
Other manufactures	516	721	980	977	1 075	1 399	4 222	4 930	5 726	6 413	8 917
Total merchandise imports	12 433	13 305	20 274	25 438	31 272	38 184	49 967	62 129	65 367	79 346	72 453
Agriculture, forestry and fishing	938	1 109	1 773	2 003	2 071	2 131	2 131	2 858	2 633	3 371	2 644
Manufactures	11 202	11 854	18 120	22 831	28 523	35 473	46 967	58 235	61 568	74 425	67 500
Food, beverages and tobacco	490	460	1 233	2 014	2 679	2 584	2 635	3 336	3 356	3 989	2 616
Chemicals, petroleum derivatives	2 133	2 392	3 049	3 823	4 159	5 080	5 509	6 384	6 824	7 852	7 683
Metal and mineral manufactures	915	971	1 659	2 004	2 330	3 130	4 354	5 226	5 099	6 135	5 807
Metal products, machinery and equipment	6 732	6 872	10 248	12 250	15 963	20 212	26 903	33 731	35 673	43 930	39 709
Other manufactures	932	1 159	1 931	2 740	3 392	4 467	7 566	9 559	10 616	12 519	11 685
Other	292	343	381	604	678	618	869	1 036	1 166	1 550	2 309
Memorandum item:											
In-bond industries (maquiladoras), net	1 295	1 598	2 337	3 007	3 551	4 051	4 051	4 743	5 410	5 803	4 924

1. Preliminary figures.
2. Not including petrochemicals and petroleum derivatives which are included here in petroleum exports.

Source: INEGI.

Table L. **Foreign trade by area**

Million dollars[1]

	1985	1986	1987	1988	1989	1990	1991	1992	1993	1994	1995[2]
	Exports, f.o.b.										
Total	21 664	16 158	20 494	20 546	22 842	26 838	42 688	46 196	51 886	60 882	79 542
OECD countries	19 424	14 205	18 153	17 924	20 364	24 234	39 861	42 859	48 232	57 383	73 689
USA	13 158	10 627	13 361	13 556	15 924	18 456	33 953	37 468	43 116	51 943	66 700
Canada	400	191	316	278	277	458	1 125	1 000	1 541	1 470	1 979
Japan	1 719	1 057	1 348	1 231	1 314	1 506	1 241	793	700	988	928
European Union	4 044	2 173	2 970	2 691	2 663	3 548	3 339	3 398	2 658	2 748	3 382
Non-OECD countries	2 126	1 769	2 336	2 617	2 363	2 524	2 760	3 315	3 632	3 450	5 804
Asia[3]	270	303	410	500	328	324	325	321	436	414	961
Latin America	1 197	1 108	1 437	1 449	1 398	1 514	1 756	2 244	2 597	2 579	4 309
	Imports, f.o.b.										
Total	14 533	12 433	13 305	20 274	25 438	31 272	49 967	62 129	65 367	79 346	72 453
OECD countries	11 897	10 592	11 417	17 434	21 484	28 263	46 087	56 827	59 589	72 255	66 326
USA	8 675	7 432	7 905	12 631	15 867	20 521	36 868	44 279	46 540	57 009	54 017
Canada	238	223	355	338	421	458	670	1 052	1 163	1 600	1 374
Japan	735	683	794	1 125	1 081	1 470	1 783	3 041	3 369	3 812	3 608
European Union	1 801	1 826	1 980	2 783	3 393	5 199	6 196	7 651	7 701	8 952	6 724
Non-OECD countries	932	675	645	1 366	1 890	2 988	3 736	4 875	5 762	7 020	5 978
Asia[3]	152	155	180	482	760	1 078	1 523	2 199	2 889	3 574	3 686
Latin America	621	387	350	681	895	1 558	1 865	2 228	2 339	2 745	1 863

1. Including maquiladoras as from 1991.
2. Provisional data.
3. Excluding Middle East.

Source: INEGI.

Table M. **Production structure and performance indicators**[1]

	A. Production structure							
	Per cent share of GDP at current prices				Per cent share of total employment[2]			
	1980	1985	1990	1994	1980	1985	1990	1994
Agriculture, forestry and fishing	8.2	9.1	7.2	5.3	28.0	27.8	24.0	22.4
Mining	3.2	4.6	2.1	1.2	1.0	1.1	0.7	0.4
Manufactures	22.0	23.4	19.0	17.3	12.1	11.2	12.6	11.5
Food, beverages and tobacco	5.4	6.1	5.9	5.8	3.0	3.0	2.5	2.4
Textiles, clothing	3.0	2.6	2.2	1.6	2.2	1.9	2.0	1.8
Wood and wood products	0.9	0.9	0.8	0.6	0.7	0.6	0.6	0.5
Paper and paper products	1.2	1.3	1.4	1.2	0.6	0.6	0.7	0.7
Chemicals, rubber and plastic products	3.3	4.2	4.3	3.7	1.4	1.5	1.5	1.3
Non-metallic minerals	1.5	1.7	1.6	1.7	0.8	0.8	0.7	0.6
Basic metal products	1.4	1.3	1.4	0.9	0.5	0.5	0.4	0.4
Machinery and equipment	4.7	4.8	4.7	4.3	2.8	2.3	3.8	3.6
Other manufacturing	0.6	0.4	0.4	0.4	0.1	0.1	0.3	0.2
Construction	6.4	4.4	3.6	4.9	9.5	8.9	9.7	10.8
Electricity, gas and water	1.0	0.9	1.2	1.4	0.4	0.5	0.5	0.5
Commerce, restaurants and hotels	28.0	28.1	22.6	19.4	14.5	14.3	17.4	18.4
Transportation and communication	6.4	6.7	8.3	8.8	4.5	4.7	5.5	5.6
Financial services, insurance and real estate	8.6	7.7	12.1	14.9	1.8	2.2	2.0	2.0
Community services	17.2	16.6	16.3	21.9	28.2	29.2	27.5	28.3

	B. Manufacturing sector performance		
	Productivity growth by sector, real GDP / employment (annual rate)		
	1980/1970	1990/1980	1994/1990
Food, beverages and tobacco	2.4	1.2	2.4
Textiles, clothing	2.8	0.6	1.7
Wood and wood products	2.2	1.7	2.7
Paper and paper products	3.8	2.2	2.3
Chemicals, rubber and plastic products	5.5	1.8	2.6
Non-metallic minerals	4.3	0.5	4.9
Basic metal products	2.2	4.1	13.6
Machinery and equipment	3.6	2.2	3.4

1. Calculated on 1970, 1980 and 1993 price bases respectively.
2. National accounts data, refering to remunerated jobs.

Source: OECD.

Table N. **Labour market indicators**

	A. Labour market performance						
	1986	1990	1991	1992	1993	1994	1995
Unemployment rate [1]							
Total	4.3	2.8	2.6	2.8	3.4	3.7	6.3
Male	3.7	2.5	2.5	2.6	3.2	3.6	6.1
Female	5.3	3.1	2.9	3.2	3.9	3.9	6.5
Dispersion of regional unemployment rates [2]	1.55	0.83	1.34	1.31	1.57	1.52	1.64

	B. Structural and institutional characteristics				
	1960	1970	1980	1990	1995
Participation rate [3]					
Total	46.5	43.6 [4]	50.9	51.8	55.0
Male	78.7	71.7	75.1	72.0	73.9
Female	15.4	16.4	27.8	33.3	37.9
Age structure (% of total population)					
0-14	44.4	46.2	43.1	37.1	36.1
15-24	18.6	18.8	20.7	20.7	20.5
25-34	13.1	12.1	13.0	13.9	14.7
35-44	9.4	9.2	9.2	10.9	11.3
45-64	11.0	9.9	10.1	12.6	12.7
65 and over	3.4	3.7	3.8	4.7	4.7

	1960	1970	1990	1991	1993	1995
Employment: [5] share in total						
Primary sector	54.5	41.8	23.4	27.0	27.1	24.7
Secondary sector	19.1	24.4	28.8	23.2	22.2	21.3
Terciary sector	26.4	33.8	47.8	49.8	50.7	54.0

	Percentage changes (average annual rates)		
	1970/1960	1990/1970	1995/1988
Employment: [5]			
Total	0.89	3.13	2.69
Primary sector	–1.74	0.19	3.43
Secondary sector	3.39	3.99	–0.49
Terciary sector	3.43	4.92	3.84

1. Unemployed persons, 12 years and over in urban areas. Based on National Survey on Urban Employment.
2. Measured by standard deviation for 16 urban areas (1992, 32 urban areas; 1993, 34 urban areas; 1994 and 1995, 39 urban areas).
3. Labour force as a percentage of relevant population group, aged 12 years and over. Based on National Survey on Urban Employment.
4. Definition not comparable due to change in census methodology.
5. Based on National Survey of Employment.

Source: INEGI, different surveys and censuses.

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece
Population											
Total	Thousands	1994	17 840	8 031	10 124	29 251	5 206	5 088	57 960	81 407	10 430
Inhabitants per sq. km	Number	1994	2	96	332	3	121	15	106	228	79
Net average annual increase over previous 10 years	%	1994	1.4	0.6	0.3	1.6	0.2	0.4	0.5	2.9	0.5
Employment											
Total civilian employment (TCE)[2]	Thousands	1994	7 680 (93)	3 737	3 724 (92)	13 292	2 508	2 015	21 781 (93)	35 894	3 790
of which: Agriculture	% of TCE	1994	5.3 (93)	7.2	2.6 (92)	4.1	5.1	8.3	5.1 (93)	3.3	20.8
Industry	% of TCE	1994	23.7 (93)	33.2	27.7 (92)	22.6	26.8	26.8	27.7 (93)	37.6	23.6
Services	% of TCE	1994	71 (93)	59.6	69.7 (92)	73.3	68.1	64.9	67.2 (93)	59.1	55.5
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1994	331.6	198.1	227.9	544	146.7	97.2	1 328.5	1 832.3	73.1 (93)
Per capita	US$	1994	18 588	24 670	22 515	18 598	28 181	19 106	22 944	27 826	7 051 (93)
At current prices using current PPP's[3]	Bill. US$	1994	327.9	162.3	204.2	596.7	107	82.5	1 111.8	1 601.7	118
Per capita	US$	1994	18 382	20 210	20 166	20 401	20 546	16 208	19 201	24 325	1 450
Average annual volume growth over previous 5 years	%	1994	2.2	2.5	1.6	1.1	1.9	–1.6	1.1	2.6	1.4 (93)
Gross fixed capital formation (GFCF)	% of GDP	1994	21.4	24.8	17.4	18.7	14.8	14.3	18.1	18.5	17.4 (93)
of which: Machinery and equipment	% of GDP	1993	9.8	8.7	7.8	6.2	7.2	5.90	8.10	7.5	7.8
Residential construction	% of GDP	1993	5.2	6.3	4.6	6.1	2.9	3.7	4.9	6.5	3.6
Average annual volume growth over previous 5 years	%	1994	0.8	3.7	0.4	–0.1	–2.8	–12.9	–1	0.8	2.7 (93)
Gross saving ratio[4]	% of GDP	1994	16.8	25.3	22	16	17	16.6	19	21	15.5 (93)
General government											
Current expenditure on goods and services	% of GDP	1994	17.5	18.8	15	20.2	25.3	22.4	19.6	17.7	19.1 (93)
Current disbursements[5]	% of GDP	1993	36.9	48.4	55.3	49	61.1	58.9	51.5	45.6	51.2
Current receipts	% of GDP	1993	33.5	48.6	50.1	43	58.3	52.5	46.8	45.7	40.2
Net official development assistance	% of GNP	1993	0.34	0.31	0.41	0.46	1.03	0.76	0.66	0.44	..
Indicators of living standards											
Private consumption per capita using current PPP's[3]	US$	1993	10 803	10 546	12 090	11 863	10 042	8 814	11 395	10 733	6 367
Passenger cars, per 1 000 inhabitants	Number	1990	430	382	387	469	311	386	413	480[8]	169
Telephones, per 1 000 inhabitants	Number	1991	464	432	410	586	577	544	511	420[8]	413
Television sets, per 1 000 inhabitants	Number	1991	480	478	451	639	536	501	407	556[8]	197
Doctors, per 1 000 inhabitants	Number	1993	2.2 (91)	2.3	3.7	2.2	2.8 (92)	2.6 (92)	2.8	3.2 (92)	3.8 (92)
Infant mortality per 1 000 live births	Number		6.1	6.5	8	6.8	5.4	4.4	6.5	5.8	8.5
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1994	3	5.5	3.7	3.3	3.5	4.8	3.5	5.2	14.6
Consumer prices	%	1994	3	3.4	2.8	2.8	2.1	3.3	2.5	3.3	16.2
Foreign trade											
Exports of goods, fob*	Mill. US$	1994	47 363	44 881	137 259[7]	165 358	41 850	29 514	235 337	422 243	8 958
As % of GDP	%	1994	14.3	22.7	60.2	30.4	28.5	30.4	17.7	23	11.5 (93)
Average annual increase over previous 5 years	%	1994	5	6.7	6.5	7.1	8.3	4.9	5.6	4.4	3.4
Imports of goods, cif*	Mill. US$	1994	49 731	55 071	126 006[7]	148 297	35 932	23 091	220 508	376 566	21 111
As % of GDP	%	1994	15	27.8	55.3	27.3	24.5	23.8	16.6	20.6	30.1 (93)
Average annual increase over previous 5 years	%	1994	4	7.2	5	5.4	6.1	–1.3	3.5	6.9	5.4
Total official reserves[6]	Mill. SDRs	1994	7 730	11 523	9 505[7]	8 416	6 203	7 304	17 986	52 994	9 924
As ratio of average monthly imports of goods	Ratio	1994	1.9	2.5	0.9	0.7	2.1	3.8	1	1.7	5.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Iceland	Ireland	Italy	Japan	Luxembourg	Mexico	Netherlands	New Zealand
Population										
Total	Thousands	1994	267	3 571	57 190	124 960	398	93 010	15 382	3 526
Inhabitants per sq. km	Number	1994	3	51	190	331	153	47	377	13
Net average annual increase over previous 10 years	%	1994	1.1	0.1	0	0.4	0.8	2	0.6	0.8
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	138	1 168 (93)	20 152 (93)	64 530	162 (91)	32 439	6 631	1 560
of which: Agriculture	% of TCE	1994	9.4	12.7 (93)	7.5 (93)	5.8	3.7 (91)	25.8	4	10.4
Industry	% of TCE	1994	26.1	27.7 (93)	33 (93)	34	31.5 (91)	22.2	23	25
Services	% of TCE	1994	65.2	59.7 (93)	59.6 (93)	60.2	64.8 (91)	52.1	73	64.6
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	6.2	52	1 017.8	4 590	10.6 (92)	371.2	334.3	51.2
Per capita	US$	1994	23 199	14 550	17 796	36 732	27 073 (92)	3 991	21 733	14 513
At current prices using current PPP's[3]	Bill. US$	1994	5.1	54.3	1 068.4	2 593.7	11.7	673.3	285.9	57.3
Per capita	US$	1994	19 271	15 212	18 681	20 756	29 454	7 239	18 589	16 248
Average annual volume growth over previous 5 years	%	1994	0.6	4.7	1	2.1	4.1 (92)	3	2.3	2.5
Gross fixed capital formation (GFCF)	% of GDP	1994	15.2	15.1	16.4	28.6	20.4 (93)	20.7	19.3	20
of which: Machinery and equipment	% of GDP	1993	3.9	6.3	7.4	11.5	..	9.4	8.6	9.3
Residential construction	% of GDP	1993	4.4	4.1	5.3	5.4	..	4.9	5.1	4.9
Average annual volume growth over previous 5 years	%	1994	–4	1	–2.3	1.4	6.5 (92)	7.7	0.4	5.8
Gross saving ratio[4]	% of GDP	1994	16.9	19.5	18.8	31.2	60.2 (92)	15.1	24.4	20.7
General government										
Current expenditure on goods and services	% of GDP	1994	20.6	16	17.1	9.8	17.1 (92)	11.8[9]	14.2	14.7
Current disbursements[5]	% of GDP	1993	34.9	..	53.2	26.9	..	..	55.4	..
Current receipts	% of GDP	1993	35.9	..	47.1	32.9	..	..	54.5	..
Net official development assistance	% of GNP	1993	..	0.15	0.42	0.27	0.34 (92)	..	0.88	0.22
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	11 546	7 750	11 029	11 791	15 545	4 853	10 726	9 266
Passenger cars, per 1 000 inhabitants	Number	1990	464	228	478	282	470	85	356	440
Telephones, per 1 000 inhabitants	Number	1991	527	300	400	454	511	70	477	436
Television sets, per 1 000 inhabitants	Number	1991	319	276	421	613	267	148	485	443
Doctors, per 1 000 inhabitants	Number	1993	3	1.7 (92)	1.7 (91)	1.7 (92)	2.1 (92)	1	2.5 (90)	2
Infant mortality per 1 000 live births	Number		4.8	5.9	7.3	4.5 (92)	8.5 (92)	18	6.3	7.3
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	..	4.6	5.9	2.4	..	5.3	3.2	2.1
Consumer prices	%	1994	6.3	2.7	5.2	2	3.1	16.1	2.8	2.5
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	1 628	34 125	189 802	396 149	..	60 882	155 084	12 169
As % of GDP	%	1994	26.3	65.7	18.6	8.6	..	16.4	46.4	23.8
Average annual increase over previous 5 years	%	1994	2.7	10.5	6.2	7.6	..	21.7	7.6	6.5
Imports of goods, cif*	Mill. US$	1994	1 464	25 812	167 690	274 916	..	79 346	139 800	11 859
As % of GDP	%	1994	23.6	49.7	16.5	6	..	21.4	41.8	23.2
Average annual increase over previous 5 years	%	1994	0.7	8.1	1.9	5.5	..	25.5	6.1	6.1
Total official reserves[6]	Mill. SDRs	1994	201	4 189	22 102	86 214	..	4 301	23 655	2 540
As ratio of average monthly imports of goods	Ratio	1994	1.6	1.9	1.6	3.8	..	0.7	2	2.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population										
Total	Thousands	1994	4 337	9 900	39 150	8 781	6 994	60 573	58 375	260 651
Inhabitants per sq. km	Number	1994	13	107	78	20	169	78	238	28
Net average annual increase over previous 10 years	%	1994	0.5	–0.1	0.2	0.5	0.7	2.1	0.3	1
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	1970 (93)	4 372	11 760	3 926	3 772	19 664	25 044 (93)	123 060
of which: Agriculture	% of TCE	1994	5.6 (93)	11.5	9.8	3.4	4	44.8	2.2 (93)	2.9
Industry	% of TCE	1994	23.1 (93)	32.8	30.1	25	28.8	22.2	26.2 (93)	24
Services	% of TCE	1994	71.3 (93)	55.7	60.2	71.6	67.2	33	71.6 (93)	73.1
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	103.4 (93)	87	482.4	196.6	257.3	130.7	1 019.5	6 649.8
Per capita	US$	1994	23 984 (93)	8 792	12 321	22 389	36 790	2 157	17 468	25 512
At current prices using current PPP's[3]	Bill. US$	1994	95.3	122	531.7	153	167.4	319.3	1 030.2	6 649.8
Per capita	US$	1994	21 968	12 335	13 581	17 422	23 942	5 271	17 650	25 512
Average annual volume growth over previous 5 years	%	1994	2.1 (93)	1.4	1.5	–0.3	0.5	3.6	0.8	2.1
Gross fixed capital formation (GFCF)	% of GDP	1994	22 (93)	25.7	19.8	13.7	22.8	24.5	15	17.2
of which: Machinery and equipment	% of GDP	1993	..	..	5.7	5.7	7.5	10.3	7.3	7.7
Residential construction	% of GDP	1993	..	..	4.1	4	14.9[10]	9.1	3.1	4
Average annual volume growth over previous 5 years	%	1994	–3.93	2.7	–1.2	–7.6	–0.4	5.1	–2.1	4.6
Gross saving ratio[4]	% of GDP	1994	21.9 (93)	24.2	18.8	13.7	29.3	22.5	13.5	16.2
General government										
Current expenditure on goods and services	% of GDP	1994	22.1 (93)	17.2	16.9	27.3	14.1	11.7	21.6	16.4
Current disbursements[5]	% of GDP	1993	..	..	43.7	67.3	36.7	..	42.7	35.8
Current disbursements[5]	% of GDP	1993	..	..	40.1	59	36	..	36.8	31.7
Current receipts	% of GDP	1993	1.23	0.36	0.32	1.33	0.49	..	0.34	0.19
Net official development assistance	% of GNP	1993	9 826	7 780	8 412	9 240	13 730	3 617	10 942	16 444
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	378	260	307	418	441	29	361	568
Passenger cars, per 1 000 inhabitants	Number	1990	515	273	340	687	603	143	445	553
Telephones, per 1 000 inhabitants	Number	1991	423	187	400	468	406	175	434	814
Television sets, per 1 000 inhabitants	Number	1991	3.2 (92)	2.9	4.1	3	3	0.9	1.5 (92)	2.3 (92)
Doctors, per 1 000 inhabitants	Number	1993	5	8.7	7.6	4.8	5.6	52.6	6.6	8.5 (92)
Infant mortality per 1 000 live births	Number		4	..	7.2	5.4	..	..	6.7	2.8
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	2.7	9	5.6	5.7	3.9	73	4.6	3.6
Consumer prices	%	1994	34 645	17 072	73 129	61 122	70 467	18 456	205 170	512 627
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	30.9 (93)	19.6	15.2	31.1	27.4	14.1	20.1	7.7
As % of GDP	%	1994	5	6.1	10.5	3.4	6.4	9.5	6.1	7.1
Average annual increase over previous 5 years	%	1994	27 345	25 967	92 182	51 730	68 126	22 976	227 026	663 256
Imports of goods, cif*	Mill. US$	1994	23.3 (93)	29.9	19.1	26.3	26.5	17.6	22.3	10
As % of GDP	%	1994	2.9	6.6	5.2	1	3.2	37.9	2.8	7
Average annual increase over previous 5 years	%	1994	13 033	10 627	28 475	15 929	23 790	4 911	28 094	43 350
Total official reserves[6]	Mill. SDRs	1994	5.7	4.9	3.7	3.7	4.2	2.6	1.5	0.8

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
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